

Class of Business/CPD

Subject: Collective Investment Schemes

Subclasses: 7.7, 7.8

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Glossary of Terms

Absolute return

Funds which are managed to generate a positive return and do not concentrate on outperforming a benchmark or comparative index.

All Bond Index (ALBI)

The BEASSA All Bond index comprises of bonds from across the full range of maturities in the bond market and is a useful summary measure of the movement in the bond market.

All Share Index (ALSI)

The FTSE/JSE All Share index represents the top 99% of eligible companies listed on the JSE, weighted by full market capitalisation. It is a useful measure of the movement in the equity market.

Asset Allocation

An investment in cash usually refers to a savings or fixed deposit account with a bank, or to a money market investment. Cash is generally regarded as the safest investment. While it is theoretically possible to make a capital loss investing in cash, it is highly unlikely. Cash is an ideal short-term investment for investors with a low tolerance for volatility or a capital loss.

ASISA

Association for Savings and Investments South Africa

Assets

These are possessions such as buildings, furniture, vehicles, etc. However, relating to a CIS, it could be shares, bonds, deposits, money market instruments or real estate. Assets are paid for and form part of the portfolio.

Asset class

The main types of investment available. The traditional asset classes are equities, bonds and cash.

Bond

It is an investment strategy that aims to balance risk and reward by apportioning a portfolio's assets according to an individual's goals, risk tolerance and investment horizon. The three main asset classes - equities, fixed-income, and cash and equivalents - have different levels of risk and return, so each will behave differently over time.

Cash Equivalents (Money Market)

An investment in cash usually refers to a savings or fixed deposit account with a bank, or to a money market investment. Cash is generally regarded as the safest investment. While it is theoretically possible to make a capital loss investing in cash, it is highly unlikely. Cash is an ideal short-term investment for investors with a low tolerance for volatility or a capital loss.

CIS

Collective investments are investments in which investors' funds are pooled and managed by professional managers. Investing in shares and fixed income securities offer investors the opportunity to build real wealth. The large amounts of money required to purchase these securities are often out of reach for smaller investors. The pooling of investors' funds makes collective investments the ideal alternative, providing cost-effective access to the world's security markets. Investing in collective investments has become very popular and is a sound financial move by most investors.

Consumer Price Index (CPI)

When we talk about the rate of inflation in South Africa, this often refers to the rate of inflation based on the Consumer price index or CPI for short. The South African CPI shows the change in prices of a standard package of goods and services which South African households purchase for consumption. In order to measure inflation, an assessment is made of how much the CPI has risen in percentage terms over a given period compared to the CPI in a preceding period. If prices have fallen, this is called deflation (negative inflation).

Dividend

The portion of company net profits paid out to shareholders.

Dividend yield

The annual dividend per share, divided by the current share price.

Dividend withholding tax legislation

Dividend Withholding Tax legislation is tax at a shareholder level and is levied at a rate of 10% of dividends paid out (distribution paid out). It affects individuals and non-South African residents (foreign nationals) only. Dividends Withholding Tax legislation will become effective on a date determined by the Minister of Finance (at least three months after publication). This form of tax should be active by late 2010 / early 2011, but final dates are yet to be confirmed

Equities

A share represents an institution/individual's ownership in a listed company and is the vehicle through which they can share in the profits made by that company. As the company grows, and the expectation of improved profits increases, the market price of the share will increase, and this translates into a capital gain for the shareholder.

Similarly, negative sentiment about the company will result in the share price falling. Shares/equities are usually considered to have the potential for the highest return of all the investment classes, but with a higher level of risk, i.e. share investments have the most volatile returns over the short term. An investment in this type of asset should be viewed with at least a five-year horizon. However, stock markets can experience protracted periods of poor performance, in which case an even more extended period may be required.

Feeder Fund

A feeder fund is a portfolio that invests in a single portfolio of a collective investment scheme, which levies its charges, and which could result in a higher fee structure for the feeder fund. Management and performance fees are also paid at the feeder fund's level.

Fees

Listed below are the various fees related to investing in unit trusts outlined by CISCA.

- **Initial fund fees**

Some Collective Investments Limited does not charge initial fees on any of its funds. Some CIS managers levy initial fees on funds to cover marketing and administration costs. These fees are deducted from the amount invested and can range between 0- 5%. However, since the deregulation of fees in 1998, there are no maximum restrictions in terms of initial charges.

- **Ongoing fund fees**

CIS managers levy a service fee every month. This fee is recovered from the fund's income (interest and dividends). The fee is calculated daily, levied monthly but still expressed as a percentage per annum.

- **Financial adviser fees**

Investors can invest directly with the CIS manager or via a financial adviser. The adviser may charge fees for the advice given. It may be charged as a flat fee or an hourly rate. Alternatively, a percentage of the investment amount can be paid to the adviser in the form of commission. The fee can be structured as an initial fee and/or an ongoing fee.

Financial Intelligence Centre Act (FICA)

The Financial Intelligence Centre Act No. 38 of 2001 (FICA) requires all accountable institutions, in this case, Momentum Collective Investments Limited, to identify, verify and keep records of all clients with whom they establish a business relationship. Those who fail to comply with these requirements face severe penalties. As a result, Collective Investments Limited may not process transactions that are subject to FICA if the documents we have on our system are not up-to-date and complete.

Financial Markets

Financial markets are the institutional arrangements and conventions that exist for the issue and trading of financial instruments.

Financial Sector Conduct Authority (FSCA)

It is the regulatory body of the Collective Investment industry. The Registrar of Collective Investment Schemes is an official of the FSCA. Collective investment schemes must be registered with the FSCA in order to operate legally.

Fund

Some funds have multiple classes to cater to different fee structures for various types of investors (individuals, LISPs, FoF, institutions).

Fund of Funds

A fund of funds is a collective investment fund that invests in a range of other collective investment schemes. Every fund of funds is required to invest in a minimum of two underlying collective investments. The portfolio manager chooses these based on the fund's mandate and risk profile.

General Code

means the FAIS General Code of Conduct, Board Notice 80 of 2003.

Gross Domestic Product

Gross Domestic Product measures the total volume of goods and services produced in the economy. Therefore, the percentage change in the GDP from year to year reflects the country's annual economic growth rate.

Income

Payments to mutual fund shareholders of dividends, interest, and/or short-term capital gains earned on the fund's portfolio securities after deducting operating expenses.

Income Distributions

A unit trust earns dividends on the shares in the portfolio and interest on the fixed interest (bond and cash) investments. The net income received (after deduction of annual management fees) is divided equally among the number of units in issue on the income declaration date. Investors have the option to have these distributions either paid out to them or reinvested in the fund.

Income distributions, therefore, comprise interest and/or a dividend portion, depending on the underlying investments in the fund.

Investors who buy units in the fund on or before the income declaration date (cum div) will pay a higher unit price than investors who buy units in the fund after the income declaration (ex-div) and who do not qualify to receive the distribution, which has already been declared.

Inflation rate

The inflation rate indicates the rate of change in the price of goods and services from one year to the next. It also approximates the decrease in the purchasing power of money. Two commonly used indicators of inflation rates are the Consumer Price index (CPI) and the Producer Price index (PPI).

Interest

The price paid for borrowing money. It is expressed as a percentage rate over a period of time.

JSE Securities Exchange

The primary role of the JSE Securities Exchange is to provide a market where securities can be freely traded under-regulated procedures.

Linked Investment Service Provider (LISP)

A LISP is an independent investment administration company that offers investors access to collective investment schemes across several different management companies. A LISP acts purely as an administrator and does not manage fund assets, nor does it provide investment advice.

Management Company

The management company, or “manager” as it is more often referred to, is the central coordinating element of a Collective Investment Scheme (CIS). It is usually the company that launches a CIS, and which maintains overall responsibility for administration, appointing asset managers and trustees, and the marketing of the fund to investors. While some of these functions might be outsourced, it is the CIS manager who directs activities.

Master-Feeder Fund

A structure commonly used by to pool investment capital raised by investors - both taxable and tax-exempt - and overseas investors into one central vehicle called the master fund, with separate investment vehicles or feeders created for each investor group. Investors invest in the feeder funds, which in turn invest their assets in the master fund. The master fund makes all the portfolio investments and conducts the trading activity, while management and performance fees are payable at the feeder-funds level.

One master-feeder fund advantage is that its structure enables consolidation of multiple portfolios into one, which reduces trading and operation costs. It also has economies of scale and, by its size, can obtain better service and favourable terms from prime brokers and other institutions.

NAV price

A unit trust portfolio is divided into identical participatory interests (units), each with the same value. These units have a fixed price for the day, which is established each evening using the closing prices of the fund’s underlying investments for the day. Money Market funds are priced differently to other funds. This fund is not priced at market value but rather at a fixed price rate of R1.00 per unit. Interest is accrued daily and capitalised monthly.

$$\text{NAV} = \text{Total value of portfolio} / \text{Number of units in issue}$$

Portfolio Managers

The person(s) responsible for implementing a fund’s investing strategy and managing its portfolio trading activities. A fund can be managed by one person, by two people as co-managers and by a team of three or more people.

Price-to-earnings ratio (P/E)

Price-to-earnings ratio or P/E ratio is calculated by dividing the price per share by the earnings per share. This ratio provides a better indication of the value of a share than the market price alone. For example, all things being equal, an R10 share with a P/E of 75 is much more “expensive” than an R100 share with a P/E of 20.

Producer Price Index (PPI)

The Producer Price index (PPI) indicates the changes in production prices of locally produced commodities (which are locally sold or exported) and imported commodities. The PPI is compiled from a survey of the prices paid by samples of manufacturers, exporters and importers operating in the South African economy.

Property

Property has both bond and share attributes. Property yields are normally stable and predictable because they comprise of many contractual leases. These leases generate rental income that is passed through to investors. Property share prices, however, fluctuate with supply and demand and are counter-cyclical to the interest rate cycle. Property is an excellent inflation hedge as rentals escalate with inflation, ensuring distribution growth, and property values escalate with inflation ensuring net asset value growth. It ensures real returns over the long term.

Repurchase (Repo) Rate

The repo rate is the interest rate at which commercial banks can borrow money from the South African Reserve Bank. The benchmark rate at which the banks lend out to their clients is called a prime overdraft rate.

Risk/Award

The performance of a security or investment relative to its risk. There are several ways to calculate risk-adjusted performance: measuring the investment's volatility or comparing its performance to the performance of the market as a whole or relative to securities or investments with similar levels of risk.

SEC

Security and Exchange Commission

Securities

"securities" means-

- (i) shares, preference shares, whether redeemable, convertible or perpetual and exchange depository receipts in public companies, whether listed or not;
- (ii) listed participatory interests in a collective investment scheme in property;
- (iii) participatory interests in a collective investment scheme in securities, whether listed or not,
- (iv) bonds, debentures, debenture stock and debenture bonds,
- (v) notes, whether secured or not, and whether or not they have inherent option rights or are convertible;
- (vi) Islamic bonds (Sukuks); and
- (vii) Islamic compliant instruments.

Stock exchange

A stock exchange is a company that provides a market where financial instruments may be freely traded in a regulated environment. In South Africa, this is the JSE Limited. Companies listed on a stock exchange are public companies. It means that individuals and institutions can buy shares in companies, thereby becoming part owners of the company.

Total Expense Ratio (TER)

All CIS managers are required to calculate and publish the TER of a fund to be transparent regarding the impact of the fees and costs on the portfolio. It is a measure of the fund's assets that have been sacrificed as payment for services rendered in the ongoing management of the fund, such as:

- Management fees
- Administration costs
- Custody fees
- Trustee fees
- Audit fees
- Bank charges
- Taxes
- Stamp duty
- Interest charges where the fund's bank account is in overdraft

TERs are expressed as a percentage of the daily average value of the portfolio and are calculated over a financial year and published quarterly. These are historical figures and are not indicative of future TERs.

Units

An investment portfolio is divided into equal parts. These are referred to as "units". Each unit represents a direct proportionate interest in every asset in the portfolio. The investor will purchase units in the relevant fund and the amounts he or she will receive depend on the amount invested and the ruling NAV price. The price of the units will reflect the value of the underlying investments (e.g. shares, bonds). The price of the units varies according to the market value of the investments in its portfolio

Volatility Index (VIX)

The CBOE Volatility Index (VIX) is a key measure of market expectations of near-term volatility conveyed by S&P 500 stock index option prices. Since its introduction in 1993, VIX has been considered

by many to be the world's premier barometer of investor sentiment and market volatility. Values greater than 30 are generally associated with a large amount of volatility as a result of investor fear or uncertainty, while values below 20 generally correspond to less stressful, even complacent, times in the markets.

Yield

A yield is the income return on an investment expressed as a percentage of its current market value. It is derived from the interest and/or dividend income received from an investment. The yield calculations for money market and fixed interest unit trust funds are based on standards governing the unit trust industry. This yield provides an estimate of the income you could receive at a single point in time and is not an indication of income you will earn going forward. The actual income you receive depends on your investment start and end dates.

The income per share paid to a shareholder over a specified period. Yield is expressed as a percentage of the fund's current price per share. For example, if your fund distributed R1 per share over a year and, at the end of the year, its price was R20 per share; its yield would be 5%:

$$R1/R20 = 5\%$$

Learning Outcomes

Collective Investment Schemes Product Solutions

Discuss the different types of investments, including but not limited to:

- Discuss the legal requirements associated with Collective Investment Schemes according to CISCA and other relevant legislation;
- Analyse new developments reported in the media that could impact on the collective investment industry;
- Apply technical knowledge and insight into the management of collective investment portfolios:
 - Demonstrating knowledge and understanding the financial markets and instruments used in portfolios of collective investment schemes;
 - Explaining the techniques and practices used by portfolio/ fund managers;
 - Evaluating the effectiveness of the management of a portfolio;
 - Describing the regulatory and contractual parameters of investment management.

Apply technical knowledge and insight into the sales and marketing of participatory interest in collective investment scheme portfolios:

- Applying knowledge of collective investment portfolios to position a specific portfolio to meet an identified need;
- Demonstrating insight into the regulatory parameters that apply to the sales and marketing of participatory interest in collective investment portfolios;
- Explaining the methods that can be used to market participatory interest in the collective investment scheme portfolios;
- Explaining the market support required by clients of the collective investment scheme portfolios.

Outcome 1: Discuss the classification of Collective Investments Schemes as described in the Association for Savings and Investments for SA (ASISA) code of practice relating to funding classification for SA regulated CI portfolios.

Knowledge Outcome	Skills Outcome
• Explain the concepts of a collective investment scheme; • Explain the role of diversification; • List the advantages and disadvantages of collective investment schemes; • Explain the different investment instruments; • Discuss the Classification of Collective Investment Schemes; • Discuss the Asset Classes.	• Select an investments manager and classify their CIS as described in the ASISA code of practice relating to fund classification for SA regulated CI portfolios.

Outcome 2: Discuss the legal requirements associated with Collective Investment Schemes according to CISCA and other relevant legislation.

Knowledge Outcome	Skills Outcome
• Discuss the application of FAIS; • Discuss the application of FICA; • Discuss the application of CISCA.	

Outcome 3: List the relevant industry role players in collective investments and describe their functions, including but not limited to:

Knowledge Outcome	Skills Outcome
• Discuss the role and function of the CIS Manager (Management Co); • Discuss the role and function of the Trustee/ Custodian; • Discuss the role and function of the Registrar; • Discuss the role and function of ASISA; • Discuss the role and function of LISPs; • Discuss the role and function of Administrative FSPs; • Discuss the role and function of Pension fund benefit administrators.	

Outcome 4: Apply technical knowledge and insight into the management of collective investment portfolios.

Knowledge Outcome	Skills Outcome
- Describe the structure of a Collective Investment Scheme; - Demonstrating knowledge and understanding the financial markets and instruments used in portfolios of collective investment schemes; - Describe the unique characteristics of a collective investment scheme, including but not limited to: - Transparency; - Affordability; - Tax Effectiveness; - Liquidity. - Differentiate between the different types of CIS portfolios; - Explaining the techniques and practices used by portfolio/ fund managers; - Evaluating the effectiveness of the management of a portfolio.	Describe the different types of collective investments and explain the differences to the client in plain language and by the client's existing knowledge in order to assist the client make an appropriate investment decision.

Outcome 5: Apply technical knowledge and insight into the sales and marketing of participatory interest in the collective investment scheme portfolios.

Knowledge Outcome	Skills Outcome
- Applying knowledge of collective investment portfolios to position a specific portfolio to meet an identified need; - Demonstrating insight into the regulatory parameters that apply to the sales and marketing of participatory interest in collective investment portfolios; - Explaining the methods that can be used to market participatory interest in the collective investment scheme portfolios; - Investing in foreign collective investment schemes (FCIS).	

Outcome 6: Analyse new developments reported in the media that could impact on the collective investment industry.

Knowledge Outcome	Skills Outcome
- Single Pricing; - Historic vs. Future Pricing; - Multiple Classes of Units; - Basic Financial Concepts; - Health warnings; - How to read the data printed in the newspaper.	

Outcome 7: Analyse the impact of taxation and costs on the collective investment Scheme.

Knowledge Outcome	Skills Outcome
- Define the Income Tax on Foreign and Local Funds; - Define the Capital Gains Tax on Foreign and Local Funds; - Discuss the costs; - Discuss the different types of transactions.	- Process the CIS transaction timeously and per regulatory requirements; - Discuss client expectations after the purchase of a collective investment scheme portfolio.

Unit 1

Classification of Collective Investments Schemes



Discuss the classification of Collective Investments Schemes as described in the Association for Savings and Investments for SA (ASISA) code of practice relating to funding classification for SA regulated CI portfolios.



This chapter introduces the basic concepts of collective investments and introduces collective investment schemes.



You will need to achieve the following:

- Explain the concepts of a collective investment scheme;
- Explain the role of diversification;
- List the advantages and disadvantages of collective investment schemes;
- Explain the different investment instruments;
- Discuss the Classification of Collective Investment Schemes;
- Discuss the Asset Classes.



- Select an investments manager and classify their CIS as described in the ASISA code of practice relating to fund classification for SA regulated CI portfolios.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis).
- Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za
- Classification of Collective Investment Schemes:
 - <http://www.fsca.co.za>
 - <http://www.asisa.co.za>
 - <http://www.inseta.org.za>



Introduction¹

A collective investment scheme pools the money of several investors who want to invest in shares, bonds and money market instruments. The total fund is then divided into individual units containing the same portion of assets as the fund. The collective investment schemes concept offers full-time management by professionals. It allows investors to gain the benefit of investing in a diversified portfolio, even if investing a small amount.

The investor may purchase participatory interests in a collective investment scheme portfolio and, by so doing, participate proportionately in the income or profits of that managed portfolio. A portfolio usually consists of quoted shares but may also include fixed interest securities and cash. The price of a participatory interest is directly related to the underlying value of the trust's assets. As these are mainly shares on the stock market, the value of each participatory interest fluctuates with the change in prices of its shares.

After management fees have been taken, a collective investment scheme distributes all its income in the form of dividends and interest to its investors. Capital growth of the participatory interests is linked to the capital growth of the shares held in the collective investment scheme portfolio. Such investment provides an investor with professional portfolio management at a low cost and with a well-diversified portfolio to limit risk.

Capital profits realised when underlying units are sold unlikely to be taxed as income as this kind of investment is usually made on a long-term basis but will be subject to capital gains tax. Taxation would be according to standard tax principles. For further information, consult the chapters on tax.

The objectives of different collective investment schemes vary to include the growth of capital and income through dividend distributions. Some investors may require growth and income from their collective investment schemes. Collective investment schemes offer a higher degree of security than a direct investment in shares. They also offer the prospect of long-term superior performance. Investors share in the gains, losses, income and expenses of the fund proportionately. The management company decides on the minimum investment amount, which can be as low as R100 per month. The value of the fund fluctuates according to the value of the underlying securities.

KO1: Explain the concepts of a collective investment scheme.

1.1 What is A Unit Trust?²

A unit trust (also known as a 'fund') pools money from many investors to invest in assets like shares, bonds and property. Instead of having to pick individual investments yourself, a unit trust offers you exposure to a range of assets, which are selected and managed by investment professionals. Each fund is divided into equal units. The price of each of these units is based on the value of all the investments in the fund. As an investor, you own several units in a fund. Over time, the price of these units will track the value of the underlying investments. Some funds invest in the shares of companies, which may pay out a part of their profits in the form of dividends. Other investments – like government or corporate bonds – make periodic interest payments. You can choose to receive these distributions or use the money to buy more units and grow your investment.

How It Works:

You invest R10 000 in a unit trust. In return, you receive several units, which will be determined by the daily price of the fund on the date of investment.

If a unit in the fund is priced at R10 on that day, you will receive 1 000 units for your R10 000.

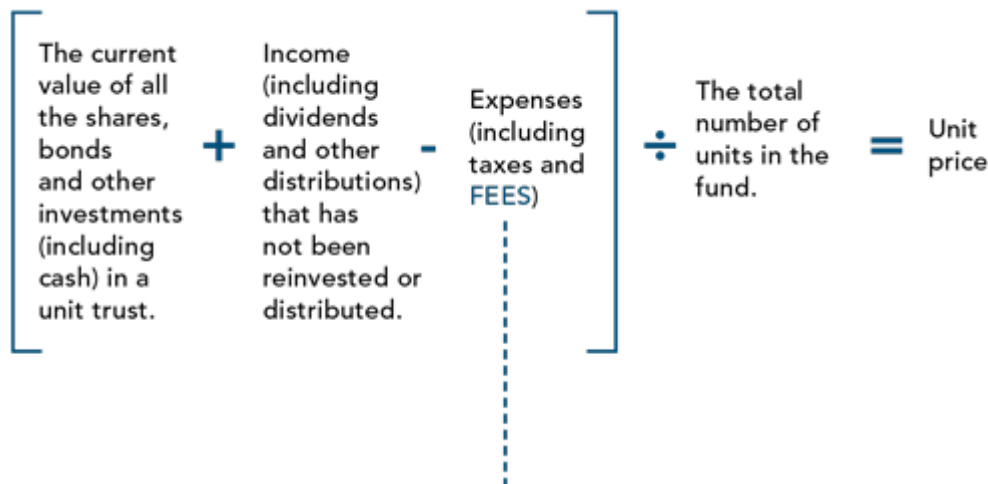
¹ South African Financial Planning Handbook 2019, 22.4.1

² https://www.coronation.com/personal/new-investor/about-unit-trusts?gclid=EAAlQobChMI8KDZzPHK4wIVC0PTCh3j_QMVEAAYASAAEgLvBvD_BwE

The price of unit trusts can go up and down, driven by the price of investments held by the fund. For example, the unit price may increase to R12, resulting in the value of the 1 000 units growing by R2 000, to R12 000. If the assets fall in value, the unit price will also reduce. Thus, if the unit price decreases to R9, the value of 1 000 units will be R9 000.

How Are Unit Trusts Priced?

All the investments in a unit trust are valued at a set time every business day (typically 15h00, Monday to Friday), at which point the daily unit price is fixed. All transactions are based on this daily price.



1.2 Definition

A CIS is a type of investment vehicle used by investment managers to pool investors' money to enable them to access investments which they might not otherwise be able to access in their capacities. Through a CIS, an investor can also achieve a spread of investments in assets such as shares, bonds, deposits, money market instruments, real estate etc. One of the main characteristics of a CIS is that investors get to share the risks and benefits of their investment in a scheme in proportion to the participatory interests in the scheme. The word "unit" refers to the portion or part of the CIS portfolio that is owned by the investor. The "trust" is the financial instrument that is created in order to manage the investment. The trust enables financial experts to invest the money on behalf of the CIS investor.

Collective investments (also known as unit trusts or participatory interests) are investments in which many different investors put their money together or pool their money into a portfolio, and then this pooled money is managed by professional investment managers. With a CIS, the money or funds from a group of investors are **pooled** or **collected** together to form a CIS portfolio.

1.3 The act makes provision for five different types of collective investment schemes:

- CIS in securities (the portfolio consists mainly of securities and includes all local and foreign funds registered with the FSCA. Most collective investment schemes fall in this category);
- CIS in properties (The portfolio consists mostly of property shares. It is different to a PUT);
- CIS in participation bonds (The portfolio consists mainly of participation bonds);
- Declared CIS (Any scheme the minister declares a CIS);
- Foreign CIS (Foreign schemes that solicit investments from South Africans and approved by the FSCA).

1.4 Units

A Collective Investment Scheme (CIS) is a trust-based scheme that comprises of a pool of assets that are managed by a CIS fund manager. CIS is a popular form of investment, as they are easily accessible to all investors. Each investor has a proportional stake in the CIS portfolio based on how much money he or she has contributed. In South Africa, CIS is also commonly referred to as Unit trusts. Each unit represents a direct proportionate interest in every asset in the portfolio. The investor will purchase units in the relevant fund and the amounts he or she will receive depend on the amount invested and the ruling NAV price (net asset value).

The investment portfolio is divided into equal parts. These are referred to as “units”. The word “unit” refers to the portion or part of the CIS portfolio that is owned by the investor. The “trust” is the financial instrument that is created in order to manage the investment. The trust structure enables financial experts known as fund managers to invest the money on behalf of the CIS investor. CIS provides a relatively secure means of investing in a securities exchange or other financial instruments. An individual investing in the securities exchange or money markets is faced with several expense barriers. With a CIS, the money or funds from a group of investors are pooled or collected together to form a CIS portfolio and ultimately spread the cost of investing. (ASISA – Facts on Collective Investment portfolios, 2012) Currently, there are five different types of CIS³:

- CIS in securities (the portfolio consists mainly of securities and includes all local and foreign funds registered with the Financial Sector Conduct Authority (FSCA). Most collective investment schemes fall in this category.)
- CIS in properties (The portfolio consists mostly of property shares)
- CIS in participation bonds (The portfolio consists mainly of participation mortgage bonds.)
- Declared CIS (Any scheme the Finance Minister declares a CIS)
- Foreign CIS (Foreign schemes that solicit investments from South Africans and are not registered with the FSB) CIS consist of a pool of various individual investors funds, it is then through the CIS that the fund manager purchases an investment portfolio. An investment portfolio consists of a wide variation of financial instruments such as bonds, equities, money market securities, etc.

1.5 Pooling⁴

Unit trusts are referred to as open-ended investments; they are a collective of investments that are pooled together towards a specific objective. A unit trust allows the financier to entrust their money in alignment with how much risk they are willing to take. The idea behind unit trusts is that by pooling their money and investing in a range of shares or bonds, shareholders spread the risk. A unit trust fund is typically divided into segments, each of which represents a share of the overall portfolio. Each day the portfolio is valued; this determines the worth of each part. When the portfolio's value increases, the price of the segments is boosted, and conversely, when the portfolio rate goes down, the cost of the individual units falls. The money of thousands of individual investors, who share a common investment objective, is pooled together to form a CIS portfolio. The CIS portfolio manager uses this pool to buy a diversified portfolio of investments on stock exchanges, for example, the Johannesburg Stock Exchange (known as the JSE), international equities, bonds, derivatives, and other financial instruments. The portfolio manager's decision will be based on the mandate of the portfolio and the economic house view of the portfolio manager.

³ According to the Collective Investment Schemes Control act no 45 of 2002 (Republic of South Africa - Government Gazette, Vol 450 December 2002, No. 24182)

⁴ <https://www.investonline.co.za/what-are-unit-trusts/>

1.6 Investment portfolio

An investment portfolio is a collection of securities owned by an individual or institution (such as a collective investment scheme). The portfolio may include a combination of financial instruments such as bonds, equities, money market securities, etc. The theory is that the investments should be spread over a range of options in order to diversify and spread risk. Each of the investors will own a portion of the investment portfolio of the fund of their choice, indicating where his/ her shares have been invested.

1.7 The Manager⁵

Typically, when you invest in unit trusts, you have experts handling the procedure for you. It is convenient for those who are not able to continually follow the stock market or lack experience in financial growth platforms. These expert services include obtaining quotations on shares that are being bought and sold and the safekeeping of cash, as well as the professional management of accounting and bookkeeping activities. The Manager is the bridge between the various investors and the portfolio manager. A Manager usually handles the administration, marketing and sales of collective investments. To be able to fulfil these functions, collective investments companies charge fees on every investment made in the fund. The structure of a Manager will differ depending on the size of the company and the type of core business that it is affiliated with.

1.8 The trustee⁶

A trust deed governs collective investment schemes under the authority of the Financial Sector Conduct Authority (FSCA). Collective investment schemes are obliged to appoint a trustee for exercising fiduciary control. This position is usually taken up by a bank.

The trustee is the custodian of all cash and securities within the fund. The fund's assets are held in the trustee's name. The appointed trustee ensures that the fund is managed within the specific terms of the trust deed. The job of the trustee is to protect the investor from the misappropriation of funds.

The deed specifies the goals of the fund. The deed shows the charges that are paid to the management company. The pricing and details of the formula for unit pricing are also set out.

1.9 The management company

This body acts as the administrator of the fund. A team of investment managers, either working within the company or outsourced, make the investment decisions and control the buying and selling of securities. The collective investment scheme manager charges a once-off fee at entry and an annual administration fee. The annual charges of certain collective investment schemes vary with the performance of the underlying portfolio.

1.10 The portfolio or investment manager

A portfolio manager is a person or group of people responsible for investing a mutual, exchange-traded or closed-end fund's assets, implementing its investment strategy and managing day-to-day portfolio trading. A portfolio manager is one of the most important factors to consider when looking at fund investing. The portfolio manager acts as the channel through which the investors invest their money. The portfolio manager is, therefore, responsible for investing in the pool of investors' money. He or she will decide which securities to hold when to buy, or when to sell.

⁵ <https://www.investonline.co.za/what-are-unit-trusts/>

⁶ South African Financial Planning Handbook 2019, 22.4.3.1.2

1.11 The asset manager

The asset manager of a collective investment scheme may be part of the CIS manager, or it could be a separate company. Often the CIS company outsources the management of the portfolio to an outside manager. The asset manager would normally be backed up by a team of analysts or researchers. In the past year, there has been a good deal of debate about the advantages of investment houses with in-depth support *vis-à-vis* smaller boutique management houses.

KO2: Explain the role of diversification.

2.1 Diversification

Funds typically spread their investment across different companies, asset types and geographical regions, providing a benefit known as 'diversification'. When one investment is down, another might be up, and you are not taking a chance on the fortunes of one single asset. It means your risk overall is reduced. Moreover, by pooling money with other investors, your buying power and access to assets and markets are greater than if you were buying single assets on your own. However, investors should be aware that diversification and asset allocation do not adequately protect against market risk.

2.2 Risk Spectrum Diagram



The risk-return spectrum

The South African retail unit trust industry alone consists of close to 1 500 funds spread across 32 different fund categories. It is an enormous number of funds to consider and the sheer magnitude often causes investors to procrastinate. The problem is that when it comes to investing, you want time on your side.

Fund categories can be defined by what you can expect from the following three positively correlated measures:

1. return;
2. risk (characterised by the volatility of returns and the probability of capital loss); and
3. time.

To increase your potential returns, you need to accept a higher level of risk and stay invested for longer. If you need to access your money within a short time frame, you need to either accept the risk of capital loss to maintain high return potential or lower your potential returns and invest in a lower risk category.

The ratio of interest-bearing assets (cash and bonds) relative to growth assets (equity) allowed within each fund category determines its return, risk and time frame profile. In general, interest-bearing assets offer consistency and capital protection but lower growth potential. Growth assets, on the other hand, offer much higher growth potential over the long-term, but also higher volatility and risk of capital loss over shorter time frames.

Achieving your savings or investment goals starts with determining an appropriate mix of fund categories for your unique financial needs. Key elements of this phase of financial planning for financial advisors are matching investors' needs and requirements to the appropriate fund categories and managing expectations throughout the respective time frames.

KO3: List the advantages and disadvantages of collective investment schemes.

3.1 Advantages of collective investment schemes⁷

Professional portfolio management

Collective investment scheme companies employ a team of expert analysts and portfolio managers, and unitholders receive the benefit of their expertise. Collective investment scheme companies generally use the expertise of portfolio managers who manage large pension funds and insurance portfolios. The collective investment schemes are thus in a position to receive the research data and information needed for successful portfolio management techniques. Portfolio managers possess expertise in many fields, including quantitative science, economics, accounting, finance, statistics, computer science and investments.

Large banks and insurance companies manage the majority of collective investment schemes in South Africa. They use collective investment schemes to show their investment expertise.

Portfolio managers are responsible for the investment decisions that will influence the performance of the collective investment scheme. These include security selection, risk and return characteristics and trading decisions.

Smaller limits

Few stockbrokers would be interested in managing a client's R100 per month investment. This money can be placed with a collective investment scheme company offering a small investor exposure to a fully diversified portfolio.

Marketability

It refers to the speed at which units can be converted to cash should the need arise. Collective investment schemes are the most marketable of share and fixed interest mediums. Collective investment scheme holders can redeem their units at any time for the current value of the investment. At present, there need not be a buyer in order to sell, as the management company is obliged to buy back the unit at the current selling price.

Diversification

The definition of this term is the spread of capital among different shares and industries so that an unfavourable development in a specific company or sector of the market does not mean a financial disaster. Diversification into different industries is very important. Collective investment schemes provide diversification in a manageable and compact manner (diversification decreases portfolio risk).

Diversification may also take place in the bonds market with government, semi-government and corporate bonds, fixed deposits and money market securities. Sector funds have limited diversification options because, according to their mandate, they may not hold securities that are not relevant to the sector on which they are concentrating.

Because of diversification, collective investment schemes are more likely to move in the direction of the general market than individual shares. It makes them less volatile and more attractive.

⁷ South African Financial Planning Handbook 2019, 22.4.7.1

Reduction of transaction costs

An investor requires less time to select an excellent collective investment scheme than several desirable individual stocks. Therefore, less time is spent on investment research, and the result is often better.

Record keeping is simplified

Collective investment scheme management companies provide the investor with information relating to income tax, investment performance and income distributions.

Services to unitholders

Unitholders receive statements detailing their investments, fund earnings and the annual reports of the management company. Investors have the choice of reinvesting the income earned or having it paid out to them. An investor can invest a lump sum of cash or make regular monthly contributions to the fund. Income tax statements are provided detailing the interest and dividends earned by the units held.

3.2 Disadvantages of collective investment schemes⁸**Costs**

Although negotiable, the most significant disadvantage is the up-front fee, which can be around 5%. However, if the investor bought and sold shares via a stockbroker, they would incur both buying and selling costs.

Types of assets

Collective investment schemes provide no exposure to investments such as gold coins, diamonds and stamps in which an individual investor might invest. They are limited to investing their holdings in listed financial assets such as shares, bonds, derivative instruments and money market instruments.

Excessive turnovers

Collective investment schemes share turnover may be significantly higher than the average individual investor; therefore, the trading cost incurred will be higher. The turnover rate is the measure of the buying and selling activities of the portfolio managers.

Strict legislation

Mandated diversification in certain portfolios leads to less concentrated portfolios.

KO4: Different investment instruments

The objectives of different collective investment schemes vary to include the growth of capital and income through dividend distributions. Some investors may require growth and income from their collective investment schemes. Collective investment schemes offer a higher degree of security than a direct investment in shares. They also offer the prospect of long-term superior performance. Investors share in the gains, losses, income and expenses of the fund proportionately. The management company decides on the minimum investment amount, which can be as low as R100 per month.

The value of the fund fluctuates according to the value of the underlying securities. You are not expected to know these instruments in detail, but you will be expected to be able to differentiate between them. Beginning to decipher this complex mass of information and concepts will help you make better choices.

⁸ South African Financial Planning Handbook 2019, 22.4.7.2

4.1 Equities⁹

When engaging in leveraged margin trading, your **equity** is the total value of your open positions minus the total amount of debt used to open those positions. **Equity** can also refer to an asset class or the shares of companies that together add up to its total ownership (also known as stocks).

4.2 Money Market

The money market provides short-term funds to borrowers from the government and the corporate sector. A **short-term** typically means a period not exceeding twelve months. The investors are financial institutions as well as other lenders who have short-term surplus funds available. Banks, corporate and large financial institutions issue instruments for borrowing and lending purposes in this specific market, known as the money market. The instruments of the money market offer high liquidity and low risk.

The money market can be divided into a primary market and a secondary market. The primary market refers to the initial issue of the money market instrument. Instruments of the money markets are negotiable and transferable. Payments are made to the bearer of the relevant document. These instruments offer a low level of risk and are highly liquid. For this reason, there is also a secondary market.

The interest rate on these investments varies daily, and they are regarded as a haven for investment. The effective rate is the annual rate at which an investment grows in value when interest is credited over a year. The nominal rate is often referred to as the daily interest rate.

4.2.1 Examples of Money Market instruments

- **Banker's Acceptance (BA's):** It is a bill of exchange, drawn on and accepted by a bank. The maturity period is usually between 30 and 120 days; the most popular period is 90 days. The face value is the amount the investor will receive on the maturity date.

Short-term finance may come in the form of an overdraft or a bank acceptance. The interest rates will dictate which option is most cost-effective. The fixed rate of the BA is preferable to fluctuating interest rates of an overdraft, but if funds are needed only intermittently over the 30–120-day period an overdraft may prove to be cheaper.

A drawer applies for a credit acceptance from a bank. The bankers accept the bills by signing across the face of the bills. The drawer can then sell them at the ruling discount rate. BAs are no longer issued or traded in South Africa, though they are used in other countries.

- **Treasury Bills:** It involves a short-term debt issued by the government which usually have maturities of 91 or 182 days. TBs are issued for two main reasons: to fund part of the government budget deficit and for monetary policy purposes. They are an essential source of information as interest rates on TBs serve as a benchmark indicator of money market conditions and act as a reference rate for the calculation of interest rates on several other money market assets. Financial institutions consider these bills as liquid assets, and because they involve government debt, they offer excellent security; they are readily negotiable and offer good short-term investment opportunities.
- **Promissory Notes and Commercial Paper:** A promissory note is an unconditional promise in writing made by one person to another, signed by the maker who agrees to pay on demand or at a fixed or determinable future time, a certain sum to a specified person or order or bearer. A bank is usually approached to endorse the note.

⁹ South African Financial Planning Handbook 2019, 22.4.4.4

Banks will accept a promissory note in lieu of funds as an alternative to overdrafts or loans. A promissory note does not affect the bank's liquid assets in the way that these alternatives do. The bank discounts the note on the open market, and the bearer is then paid the face value. The debt will appear as a liability only on the maturity date. Banks must reflect their dealings in promissory notes on their balance sheets.

- **Negotiable Certificate of Deposits:** A negotiable certificate of deposit (NCD) is issued as a receipt in bearer form for time deposits. They are liquid as a negotiable asset and offer a market-related rate of interest. They are payable to the bearer but may also be made out to a specific person. The institution issuing the certificate undertakes to pay the amount of the deposit plus interest to the holder on maturity. They are normally issued for less than a year, but banks do tailor the maturity period to the needs of their clients.

NCDs are not eligible for a rediscount at the Reserve Bank, but they remain very popular due to their higher yields, negotiability and status as a claim on a bank.

- **Call Notice and Fixed Deposits:** Money is deposited in an interest-bearing account and can be called back on demand. Normally, the larger the amount invested, the higher the interest rate. Interest rates are subject to daily fluctuations. Interest is calculated on a daily balance and paid monthly.

4.3 Bonds

There are various types of bonds. Interest-bearing investments provide the investor with a regular bi-annual interest payment, together with the original capital invested at maturity. On the other hand, discounted instruments do not provide the investor with a regular income, but instead, give a discount on the initial nominal amount.

4.3.1 Types of Bonds

Coupon bonds

Coupon bonds, also called straight or vanilla bonds are, simply speaking, an IOU that obligates the issuer to pay the bondholder a fixed sum of money at the bond's maturity along with constant, periodic interest payments during the life of the bond.

In addition to a straight bond component, bonds can have additional features attached. These features are sometimes designed to enhance a bond's appeal to investors and marketability. For example, convertible bonds have a conversion feature that grants bondholders the right to convert their bonds into shares of the issuing company. Bonds may have a call or put options embedded in them. A callable bond grants the issuer the right to repurchase the bond, for example, if interest rates decrease. A bond with a put option has a feature that grants bondholders the right to sell their bonds back to the issuer at a special put price.

Inflation-linked bonds

Inflation-linked bonds pay an interest rate that adjusts to keep track with inflation. The amount that is repaid on maturity would also be adjusted for inflation. It contrasts with a vanilla bond where the rate of interest is fixed for the life of the bond and the amount paid out on maturity is known when one invests in the bond. For example, if the coupon on the bond is 8% per annum, and the investment is R1 million, the interest paid per annum is R80 000. If inflation in the next year is 5%, the capital value of the bond is adjusted to R1 050 000. The coupon rate of 8% per annum remains unchanged but is payable on the higher capital value; it is, therefore, R84 000 ($R1\,050\,000 \times 8\%$). Inflation-linked bonds are attractive for those investors who want to protect their investments from the impact of inflation. However, their yields are usually initially lower compared to vanilla bonds.

Government stock:

A government bond is a type of debt-based investment, where you loan money to a government in return for an agreed rate of interest. Governments use them to raise funds that can be spent on new projects or infrastructure, and investors can use them to get a set return paid at regular intervals. Also known as RSA stock.

Semi-Government stock (semi-gilts):

Issued by semi-government institutions to finance capital projects and assets such as power stations, new railway lines, for example, Eskom and Transnet.

Corporate bonds:

Since the first **Corporate Bond** was issued in 1992, we currently have more than 1500 **corporate debt** instruments listed on the JSE **Debt** Board. These instruments provide a way for the **corporate** entities concerned to raise money for large capital projects. **Zero-Coupon Bonds:**

Zero-coupon bonds are discount bonds that do not pay periodic interest. They pay the par value at maturity and the interest results from the fact that zero-coupon bonds are initially sold at a price below par value.

Inflation-Linked Bonds:

The value of the bond is adjusted according to changes in inflation. In terms of section 24J of the Income Tax Act, interest on bonds is taxed on a yield to maturity basis. It is important to note that both coupon payments and the difference between the acquisition cost and the nominal value of a bond is defined as interest and is taxable for income tax purposes. A CPI (inflation) linked bond is a variable rate instrument for purposes of section 24J. Variable-rate is defined as a rate determined concerning an interest or indexation rate or similar factor, being a rate or factor that varies or may vary during the term of the instrument.

Furthermore, all bonds are included in the definition of an instrument for purposes of section 24J. The effect of these provisions is that amounts in respect of adjustments for inflation in the case of CPI bonds will be treated as interest and subject to the accrual rules contained in section 24J. The full amount of the inflation adjustment is therefore taxable.

4.4 Derivatives

Derivatives, as the name applies, derive their value fundamentally from the price performance of an underlying asset. However, the holder of a derivative does not own the underlying asset. What they have is the right option at some future, predetermined date to deal in that asset. Derivatives are risk-shifting devices, assisting those with certain risk to relocate them to others willing to carry the risks. They are usually based on a contract to buy or sell something in the future. It is why you often hear the term “future derivatives”.

4.4.1 Types of derivative instruments**Futures:**

Futures markets have existed in one form or another for centuries. There are records, for example, of future contracts on rice in Japan.

In the United States, a market developed for the trading of agricultural commodity futures in the middle of the 19th century. In 1972, the Chicago Mercantile Exchange introduced standardised contracts in currency futures. Three years later, it introduced trading in interest rate futures. Today it is estimated that there are over 50 exchanges trading futures.

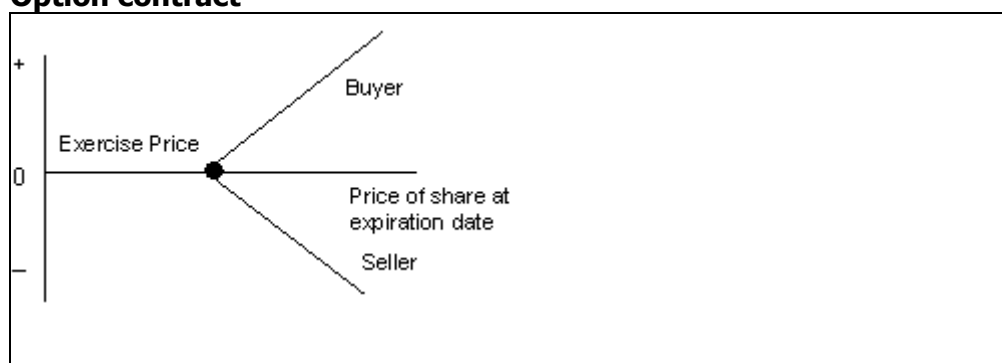
Futures consists of an agreement between a buyer and a seller for the sale and purchase of a commodity (product), security or currency in a specified quantity at a fixed price on a certain date in the future. Derivatives, i.e. futures, are medium to high-risk investments.

Futures and options

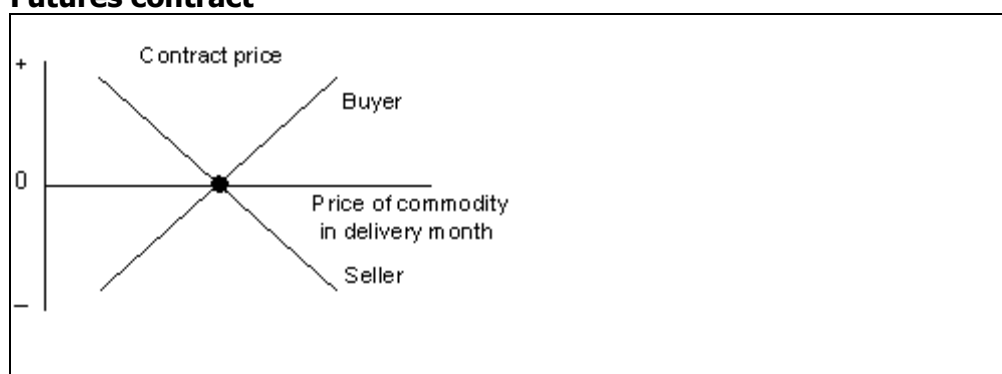
It is also essential to distinguish between a futures contract and an option contract. There is one very significant difference: An option does not have to be exercised. Once the premium has been paid, the investor can decide whether to exercise the option or not. If the option strategy has been, unfavourable, they do not have to conclude the deal. All that will be lost by the option holder is the option premium paid to acquire the option. In the case of a futures contract, the deal will have to be concluded, that is, closed out. Both parties involved in the future have no choice in this regard while the future is open. Futures, therefore, have an open-ended risk that can only be stopped by ending the contract prematurely.

Options give the buyer the right, but not the obligation, to buy or sell an asset at a set price on or before a given date: investors, not companies, issue options.

Option contract



Futures contract



This difference is so significant that it needs to be repeated. In an option contract, only the premium stands to be lost. In a future contract, the investor can lose the margins that have been deposited, and additional money may have to be paid in when the contract is settled. The risk in futures is indeed open-ended.

4.5 Pricing of a futures contract

The price of a futures contract is mainly determined by three elements, namely:

- the **spot price** of the underlying asset;
- the **financing cost** for the underlying asset. This could be interest only or interest and storage costs; and
- the **cash flow**, if any, generated by the underlying asset. In contrast to the case of a share option contract, in a futures contract the holder of the contract receives any dividends declared on the share.

The future price = cash price + financing cost – cash flow.

The net carrying cost of the contract would therefore be the financing cost minus the cash flow.

4.6 The use of futures contracts

Futures contracts can be used for a number of purposes, for example, to gain an immediate exposure to the underlying asset.

Consider the case of an investor who receives a large sum of money from a pension fund. He wants part of that money exposed to the stock market immediately. If he rushes in and buys, then he may either not get the shares he wants or, in getting those shares, he may have to bid prices up to an unacceptable level.

If he purchases a futures contract on the JSE ALSI40 index, he immediately has an exposure to the 40 companies with the largest share capitalisation on the JSE Limited.

Let us assume that the same investor believes that his portfolio is unbalanced. Perhaps he has too much in shares and too little in bonds. He can use a futures contract to adjust the asset allocation of his portfolio quickly.

Consider another investor who, in April 1998, had a large share portfolio and was concerned about the future performance of the JSE Limited. Instead of selling her shares, she could have sold a futures contract. If the value of her share portfolio declined, the profit on the futures contract would have helped to compensate her for the loss on the portfolio.

Futures contracts (as is the case with option contracts) can therefore be used to hedge an existing portfolio of assets against unfavourable movements in market prices.

The hedger would need to take a number of factors into account in deciding upon the correct strategy to be followed:

- The investor has to decide exactly what they would like to hedge, for example a portfolio of gold shares. Then a contract with a value closely correlated with the changes in the value of the underlying asset has to be found. Using a futures contract on the JSE ALSI40 index would not be an appropriate contract with which to hedge a portfolio of gold shares as the two underlying assets can move in opposite directions.
- The investor has to consider the period of time to hedge for, so that a futures contract with the appropriate closing out date is bought. The number of contracts to be used to hedge a position can be calculated mathematically.

4.7 Investment Characteristics

Element	Money Market	Bonds	Equities
Term	Short term	Medium-term	Medium to long-term
Investment Return	Relatively low	Should outperform cash in a low-interest environment and underperform equities or shares over the long term.	Should provide the greatest potential for capital gains over cash and bonds.
Income or Capital Growth	Provides income in the form of interest. The interest can be reinvested, which will increase in capital value.	Provides both interest income and potential for capital growth if the price of the bond strengthens.	Potential income will be provided in the form of dividends. It is, however, not guaranteed, and the investment return is more in the form of capital growth if the share price rises.
Risk	Low	Medium	Medium to High
Tax	Interest income will incur an income tax event.	Both the coupons and increase the capital value are considered to be income, which will result in an income tax event.	Dividends are not taxable in the hands of the investor. Any capital growth made since October 2001 will incur a Capital Gains Tax event.

KO5: Classification of Collective Investment Schemes¹⁰

ASISA classifies collective investment schemes to achieve the following objectives:

- (a) promote investor awareness and understanding of the various fund types;
- (b) assist investors in selecting funds;
- (c) facilitate the comparison of funds both across and within categories;
- (d) facilitate the analysis of different types of funds.

In choosing names, managers must ensure that the names of their funds will not confuse investors as to the type of fund they are investing in.

ASISA's guidelines also stipulate that:

- Funds of funds must have the wording "funds of funds" included in their names.
- Index portfolios must have the word "index" or "tracker" included in their names.
- Money market portfolios must have the wording "money market" in their names.
- Feeder portfolios must have the wording "feeder funds" in their names.
- Portfolios may only use the word "institutional" in their names if they are exclusively available to retirement funds, long-term insurers, investment managers or collective investment schemes.

The ASISA classification of collective investment follows the "Where" and "What" principle, i.e. where is it invested and in what. This principle established the first two of the three tiers. The first tier indicates the geographic exposure of the fund.

5.1 Basis for classification Overview

Funds are **classified** according to the asset classes, or the mix of classes, in which a fund invests. Real estate **portfolios**, which **invest** at least 80% of their assets in listed property shares, other **collective investment schemes investing** in property and real estate **investment** trusts. The first step in the classification process is where Collective Investment Schemes in Securities are categorised according to where they geographically invest. **(First Tier)**.

It could be in:

- **South African Portfolios:** These are portfolios that invest at least 60% of their assets in South African investment markets. These collective investment portfolios may invest a maximum of 30% of their assets outside of South Africa plus an additional 10% of their assets in Africa, excluding South Africa.
- **Worldwide Portfolios:** These are portfolios that invest in both South African and foreign markets. There are no limits set for either domestic or foreign assets.
- **Global Portfolios:** These are portfolios that invest at least 80% of their assets outside South Africa, with no restriction to assets of a specific geographical country (for example the USA) or geographical region (for example Africa).
- **Regional Portfolios:** These are portfolios that give investors at least 80% exposure to assets in a specific country (for example the USA) or geographical region (for example, Africa) outside South Africa.

Second-tier

The second tier indicates the main asset class the fund is invested in, i.e. the "what" principle. It is divided into four asset classes.

- **Equity.** A minimum of 80% of the Net Asset Value (NAV) must be invested in equity.
- **Multi-asset.** It comprises all asset classes as defined in CISCA.
- **Interest bearing.** 100% of NAV is in interest-bearing investments.

¹⁰ ASISA

- **Real estate.** A minimum of 80% of NAV must be invested in listed real estate.

Detailed Sub-Categories of Second Tier of Classification

Equity portfolios • Equity – General • Equity – Large-cap • Equity – Mid & Small-cap • Equity – Resource • Equity – Financial • Equity – Industrial • Equity – Unclassified • Equity – General–Africa	Multi-Asset portfolios • Multi-Asset Flexible • Multi-Asset High Equity • Multi-Asset Medium Equity • Multi-Asset Low Equity • Multi-Asset Income • Multi-Asset Target Date
Interest Bearing portfolios • Interest Bearing – Variable Term • Interest Bearing – Short Term • Interest Bearing – Money Market	Real Estate portfolios • Real Estate – General

Third-tier

Tier three is summarised in more detail below:

Equity – General	No restrictions
Equity – Large-cap	80% of funds NAV must be in investable universe plus: 100% of share purchases must be in the investable universe at the time of purchase Investable universe defined as any share with a market cap greater or equal to the smallest constituent of the JSE Top 40 Index or appropriate foreign index as published by an international stock exchange
Equity – Mid/small-cap	80% of funds NAV must be in investable universe plus: 100% of share purchases must be in the investable universe at the time of purchase Investable universe defined as all shares with a market capitalisation value smaller than that of the last constituent of the JSE Top 40 Index or appropriate foreign index as published by an international stock exchange
Equity – Resources	80% of funds NAV must be in investable universe plus: 10% may be invested in shares not included in the investable universe. (Rationale is to allow for resources shares that are not classified in the resources sector) Investable universe defined as all shares falling in the Oil, Gas and Basic Materials sectors of the JSE or a similar sector of an international stock exchange, excluding funds investing exclusively in gold and other precious metals
Equity – Financial	80% of funds NAV must be in investable universe plus:

	10% may be invested in shares not included in the investable universe. (Rationale is to allow for financial shares that are not classified in the financial sector) Investable universe defined as all shares in the Financial sector of the JSE or similar sector of an international stock exchange
Equity – Industrial	80% of funds NAV must be in investable universe plus: 10% may be invested in shares not included in the investable universe. (Rationale is to allow for industrial shares that are not classified in the industrial sector.) Investable universe defined as all shares in the Industrial sector of the JSE or similar sector of an international stock exchange
Equity – Unclassified	To be used if a fund cannot be classified in another equity sector, e.g. gold, dividend, technology, etc.
Multi asset – Low equity	Min 0% / max 40% equity
Multi asset – Medium equity	Min 0% / max 60% equity
Multi asset – High equity	Min 0% / max 75% equity
Multi-asset – Flexible	No restrictions
Equity – General	No restrictions
Multi Asset – Income	Min 0% / max 10% equity
Interest bearing – Variable term	Modified duration unlimited 100% of purchases must be in money market instruments, government or corporate bonds No exposure to equity, real estate or cumulative preference shares
Interest bearing – Short term	Max weighted modified duration of 2 100% of purchases must be in money market instruments, government or corporate bonds No exposure to equity, real estate or cumulative preference shares
Interest bearing – Money market	Money market instruments as defined in CISCA
Real Estate – General	80% of funds NAV must be in investable universe plus: 10% may be invested in shares not included in the investable universe. (Rationale is to allow for real estate shares that are not classified in the real estate sector) Investable universe defined as all shares falling in the Real Estate sector of the JSE or similar sector of an international stock exchange

Source: ASISA

ASISA then gives a further classification on each subcategory as well as the benchmark against which the fund can be measured.

5.2 Geographical Categories

5.2.1 Domestic Collective investment schemes¹¹

These are collective investment portfolios that invest at least 60% of their assets in South African investment markets. These collective investment portfolios may invest a maximum of

30% of their assets outside of South Africa plus an additional 10% of their assets in Africa excluding South Africa.

5.2.2 Worldwide Collective investment schemes¹²

These are collective investment portfolios that invest in both South African and foreign markets. There are no limits set for either domestic or foreign assets.

5.2.3 Global Collective investment schemes¹³

These are collective investment portfolios that invest at least 80% of their assets outside South Africa, with no restriction to assets of a specific geographical country (for example the USA) or geographical region (for example Africa).

5.2.4 Regional Portfolios¹⁴:

These are collective investment portfolios that give investors at least 80% exposure to assets in a specific country (for example, the USA) or geographical region (for example Africa) outside South Africa.

Note: For this first tier of classification, inward-listed equities are deemed to be South African assets.

K06: Asset Classes

An asset class can be defined as a group of securities that exhibit similar characteristics, behave similarly in the marketplace, and are subject to similar laws and regulations. We can classify investments into four major asset classes, which are:

- cash;
- bonds;
- shares; and
- property.

Based on this way of defining an asset class, the correlation between the returns of different asset classes would be low. We can extend the four major asset classes to create other sub-asset classes. For example, we can separate foreign shares from domestic shares.

Shares are the ownership interests in a company, whereas bonds are indebtedness of an entity. Cash and cash equivalents are liquid, low-risk investments that can be converted quickly into cash. Cash equivalents include treasury bills, negotiable certificates of deposit and money market accounts. The property includes physical property, as well as interests in real estates, such as through real estate investment trusts. We also have investments whose prices are derived from the value of the underlying asset they track called derivatives, for example, futures and options.

¹¹ <https://www.absainvestments.co.za/wealth-and-investment-management/e-docs/unit-trust/bu-docs/Overview%20of%20ASISA%20Classification%20Structure.pdf>

¹² <https://www.absainvestments.co.za/wealth-and-investment-management/e-docs/unit-trust/bu-docs/Overview%20of%20ASISA%20Classification%20Structure.pdf>

¹³ <https://www.absainvestments.co.za/wealth-and-investment-management/e-docs/unit-trust/bu-docs/Overview%20of%20ASISA%20Classification%20Structure.pdf>

¹⁴ <https://www.absainvestments.co.za/wealth-and-investment-management/e-docs/unit-trust/bu-docs/Overview%20of%20ASISA%20Classification%20Structure.pdf>

Now we shall categorise the funds according to **HOW and WHERE** they invest money. In this context, the “where” does not refer to the geographical area, but to the financial tools or instruments in which they invest.

The categories are:

Equity	A minimum of 80% of the fund must be invested in equities at all times.
Asset Allocation	Invest in a widespread of investments in the equity, bond, money and property markets.
Fixed Interest	Invest in bond, money market instruments and other income-earning securities.
Real Estate	These portfolios invest in listed property shares, collective investment schemes in property and property loan stock and real estate investment trusts.

Equities¹⁵

These portfolios invest a minimum of 80% of the market value of the portfolios in equities and generally seek maximum capital appreciation as their primary goal.

- (a) **Equity – General portfolios:** These portfolios invest in selected shares across all industry groups as well as across the range of large, mid and smaller-cap shares. While the managers of these portfolios may subscribe to different investment styles or approaches, they intend to produce a risk/return profile that is comparable with the risk/return profile of the overall JSE equities market. The portfolios in this category offer medium to long-term capital growth as their primary investment objective.

SA Benchmark: FTSE/JSE All Share Index (J203T)

- (b) **Equity – Large-cap portfolios:** These portfolios invest at least 80% of the market value of the portfolios in large market capitalisation shares which have a market capitalisation greater than or equal to the company with the lowest market capitalisation in the FTSE/JSE Top 40 Index, or an appropriate foreign index published by an exchange. 100% of share purchases must be in this investable universe at the time of purchase.

SA Benchmark: FTSE/JSE Large Cap Index (J205T)

- (c) **Equity – Mid and small-cap portfolios:** These portfolios invest at least 80% of the market value of the portfolios in shares which have a market capitalisation smaller than the company with the lowest market capitalisation in the FTSE/JSE Top 40 Index, or an appropriate foreign index published by an exchange. 100% of share purchases must be in this investable universe at the time of purchase. Due to both the nature and focus of these portfolios, they may be more volatile than portfolios that are diversified across the broader market.

SA Benchmark: FTSE/JSE Mid Cap Index (J201T)

- (d) **Equity – Resources portfolios:** These portfolios invest at least 80% of the market value of the portfolios in shares listed in the FTSE/JSE Oil & Gas and Basic Materials industry groups or a similar sector of an international stock exchange. Up to 10% of a portfolio may be invested in shares outside the defined sectors in companies that conduct similar business activities as those in the defined sectors. Due to both the nature and focus of these portfolios, they may be more volatile than portfolios that are diversified across a broader range of FTSE / JSE industry groups.

SA Benchmark: FTSE/JSE Resources Index (J258T)

¹⁵ South African Financial Planning Handbook 2019, 22.4.4.4

- (e) **Equity – Financial portfolios:** These portfolios invest at least 80% of the market value of the portfolios in shares listed in the FTSE/JSE Financials industry group or a similar sector of an international stock exchange. Up to 10% of a portfolio may be invested in shares outside the defined sectors in companies that conduct similar business activities as those in the defined sectors. Due to both the nature and focus of these portfolios, they may be more volatile than portfolios that are diversified across a broader range of FTSE / JSE industry groups.

SA Benchmark: FTSE/JSE Financials Index (J580T)

- (f) **Equity – Industrial portfolios:** These portfolios invest at least 80% of the market value of the portfolios in industrial shares listed on the Johannesburg Stock Exchange or in a similar sector of an international stock exchange. Industrial shares include all companies listed on the JSE other than those shares listed in the FTSE / JSE Oil & Gas, Basic Materials, and Financials industry groups.

SA Benchmark: FTSE/JSE All Share Industrials index (J257T)

- (g) **Equity – Unclassified portfolios:** These portfolios invest in a single industry or sector or in companies that share a common theme or activity as defined in their respective mandates. Due to both the nature and focus of these portfolios, they may be more volatile than portfolios that are diversified across the broader market. The performance of these portfolios cannot be compared to others in this category. Should it be considered appropriate, where five or more portfolios focus on a, theme a new category will be created and the funds transferred?

The risk attached to the equities can vary from low risk for blue-chip companies, high risk for others. The individuals who invest their capital in the company, are known as shareholders.

These shareholders are entitled to the following privileges within the company:

- Share in the profits of the company, which is referred to as dividends;
- Stand a chance to make a capital gain;
- Attend annual general meetings;
- Have voting rights depending on the specific type of shares.

Multi-Asset Portfolios:

Multi-Asset portfolios are portfolios that invest in a widespread of investments in the equity, bond, money and property markets to maximise total returns (comprising capital and income growth) over the long term.

Multi-Asset – Income portfolios – These portfolios invest in a spectrum of equity, bond, money market, or real estate markets with the primary objective of maximising income. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolios mandate and stated investment objective and strategy. These portfolios can have a maximum effective equity exposure (including international equity) of up to 10% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio.

Multi-Asset - Low Equity portfolios - These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to display reduced short-term volatility, aim for long term capital growth and can have a maximum effective equity exposure (including international equity) of up to 40% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolios mandate and stated investment objective and strategy.

Multi-Asset - Medium Equity portfolios - These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to display average volatility, aim for medium to long term capital growth and can have a maximum effective equity exposure (including international equity) of up to 60% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolio's mandate and stated investment objective and strategy.

Multi-Asset - High Equity portfolios - These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to have an increased probability of short-term volatility, aim to maximise long term capital growth and can have a maximum effective equity exposure (including international equity) of up to 75% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolio's mandate and stated investment objective and strategy.

Multi-Asset – Flexible portfolios - These portfolios invest in a flexible combination of investments in the equity, bond, money and property markets. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolio's mandate and stated investment objective and strategy. These portfolios may be aggressively managed with assets being shifted between the various markets and asset classes to reflect changing economic, and market conditions and the manager is accorded a significant degree of discretion over asset allocation to maximise total returns over the long term.

Multi-Asset – Target Date portfolios – These portfolios invest in a spectrum of equity, bond, money market, or real estate markets where the asset mix changes over time in a predetermined manner as the target date approaches. Due to the change in asset mix over time, portfolios in this category cannot be compared and consequently cannot be ranked.

Interest bearing portfolios

Interest bearing portfolios are collective investment portfolios that invest exclusively in bond, money market investments and other interest-earning securities. These portfolios may not include equity securities, real estate securities or cumulative preference shares.

- (a) **Interest bearing – Variable term portfolios:** These portfolios invest in bonds, fixed deposits and other interest-bearing securities. These portfolios may invest in short, intermediate and long-dated securities. The composition of the underlying investments is actively managed and will change over time to reflect the manager's assessment of interest rate trends. These portfolios offer the potential for capital growth, together with a regular and high level of income.

These portfolios may not include equity securities, real estate securities or cumulative preference share.

SA Benchmark: JSE/ASSA All Bond Index (ALBI)

- (b) **Interest bearing – Short term portfolios:** These portfolios invest in bonds, fixed deposits and other interest-earning securities which have a fixed maturity date and either have a predetermined cash flow profile or are linked to benchmark yields, but exclude any equity securities, real estate securities or cumulative preference shares. To provide relative capital stability, the weighted average modified duration of the underlying assets is limited to a maximum of two. These portfolios are less volatile and are characterised by a regular and high level of income.

SA Benchmark: STeFI Composite index

- (c) **Interest bearing – Money market portfolios:** These portfolios seek to maximise interest income, preserve the portfolio's capital and provide immediate liquidity. It is achieved by investing in money market instruments with a maturity of less than 13 months while the average duration of the underlying assets may not exceed 90 days and a weighted average legal maturity of 120 days. The portfolios are typically characterised as short-term, highly liquid vehicles.

SA Benchmark: STeFI 3-month index

Real estate portfolios

- (a) **Real estate – General portfolios:** These portfolios invest in listed property shares, collective investment schemes in property and property loan stock and real estate investment trusts. The objective of these portfolios is to provide high levels of income and long-term capital appreciation. These portfolios invest at least 80% of the market value of the portfolio in shares listed in the FTSE/JSE Real Estate industry group or similar sector of an international stock exchange and may include other high yielding securities from time to time. Up to 10% of a portfolio may be invested in shares outside the defined sectors in companies that conduct similar business activities as those in the defined sectors.

SA Benchmark: FTSE/JSE SA Listed Property Index (J253T)

ASISA Fund Classification								
Tier 1 (Geographic)	Tier 2 (Asset type)	Tier 3 (Category)						
South Africa	Equity	General	Large cap	Medium cap	Resources	Industrial	Financial	Un-classified
	Multi-asset	Income	Low equity	Medium equity	High equity	Flexible	Target date portfolios	
	Real estate	General						
	Interest bearing	Variable term	Short term	Money market				
Worldwide	Equity	General	Un-classified					
	Multi-asset	Flexible						
	Interest bearing	Variable term	Short term					
Global	Equity	General	Un-classified					
	Multi-asset	Flexible						
	Interest bearing	Variable term	Short term					
Regional	Equity	General	Africa	Un-classified				
	Multi-asset	Flexible						
	Interest bearing	Variable term	Short term					

Source: www.asisa.org.za
Graphic: Altwant Advisors

Source: www.asisa.org.za Graphic: Robert Abrahams

This is a summary of the various categories.

EQUITY	MULTI ASSET	REAL ESTATE	FIXED INTEREST
General funds	Income	General funds	Variable term
Large Cap	Low Equity		Short-Term
Mid & Small Cap	Medium Equity		Money Market
Resources	High Equity		
Industrials	Flexible		
Financial	Target date portfolios		
Unclassified			

6.1.2 Growth Funds¹⁶

These funds seek maximum capital appreciation as their primary objective through investment in growth companies.

Growth companies can be defined as those whose earnings are on or are anticipated to enter a strong and sustainable upward trend and typically trade on a high price to earnings ratios (PE ratios).

These funds are invested in growth companies across all economic groups of the JSE Securities Exchange South Africa.

Determination of a company as “growth share” takes into consideration the company’s sustainable earnings growth based on a combination of:

- The 2-year historical earnings growth; and
- 1-year consensus I-net forecasts.

SA Benchmark: FTSE/JSE All Share Index (J203T)

6.1.3 Value Fund¹⁷

These funds seek medium to long-term capital appreciation as their primary investment objective.

The funds seek out “value” situations by typically investing in shares with low relative PE ratios as well as shares that are trading at a discount to their net asset value. These funds frequently offer a higher than FTSE/JSE All Share Index average level of income. These funds are invested in selected “value” shares across all economic groups of the JSE Securities Exchange South Africa.

Determination of a share as “value share” takes into consideration:

- The current PE trading at a discount to the average PE of the market;
- The dividend yield of the company significantly exceeding the dividend yield of the market.

SA Benchmark: FTSE/JSE All Share Index (J203T)

6.1.4 Large-cap funds¹⁸

These funds seek long-term growth as their primary objective through investment in large market capitalisation shares, which fall within the top 40 JSE Securities Exchange South Africa listed shares ranked by market capitalisation, i.e. included in the FTSE/JSE Top 40 Index.

SA Benchmark: FTSE/JSE Top 40 Index (J200T)

¹⁶ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

¹⁷ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

¹⁸ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

6.1.5 Smaller Companies funds¹⁹

These funds invest in established smaller companies as well as in emerging companies that are in the initial phase of their life.

New investment by the funds are restricted to fledgeling, small and mid-cap shares only, and at least 80% of the fund will always be invested in these shares. Due to both the nature and focus of these funds, they may be more volatile than funds that are diversified across the broader market.

SA Benchmark: FTSE/JSE Mid Cap Index (J201T)

6.1.6 Resource and basic industries fund²⁰

These funds invest in industries whose principal business operations involve the exploration, mining, distribution and processing of metals, minerals, energy, chemicals, forestry and other agricultural and natural resources or where at least 50% of their earnings are derived from such business activities and excludes service providers to these companies.

These funds invest primarily in securities listed in the FTSE/JSE.

Resources and Basic Industries economic groups and may be more volatile than funds that are diversified across a broader range of FTSE/JSE economic groups.

SA Benchmark: FTSE/JSE Mining Index (J177T)

6.1.7 Financial funds²¹

These funds invest in shares of financial services companies including banks, insurance companies, brokerage firms and other companies whose principal business operations involve the provision of various financial service or where at least 50% of their earnings are derived from the provision of such financial services.

The funds invest primarily in companies listed on the FTSE/JSE Financials Economic Group. These funds may be more volatile than funds that are diversified across a broader range of FTSE/JSE economic groups.

SA Benchmark: FTSE/JSE Financials Index (J580T)

6.1.8 Industrial funds²²

These funds invest in selected industrial companies listed on the JSE Securities Exchange South Africa but exclude all companies listed in the FTSE/JSE Resources and Financial Economic Groups.

SA Benchmark: FTSE/JSE Industrial (J257T)

6.1.9 Varied specialist funds²³

These funds invest in a single economic group or industrial sector or in companies that share a common theme or activity, as defined in their respective mandates.

However, due to the unique nature of their mandates, they cannot be categorised into any of the categories.

¹⁹ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²⁰ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²¹ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²² <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²³ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

The performance of these funds cannot be compared to others in this category. Due to both the nature and focus of these funds, they may be more volatile than funds that are diversified across the broader market.

Should it be considered appropriate, where five or more funds share a common focus or theme as defined in their mandates, a new category will be created, and, the funds reclassified, provided that a suitable benchmark can be established.

6.2 Asset Allocation Funds²⁴

Asset Allocation funds are funds that invest in a widespread investment in the equity, bond, money and property markets.

These funds are also known as “balanced” funds or “managed” funds.

Managed funds aim to achieve medium to a long-term performance by investing in a combination of markets. It is a way of decreasing the risk associated with investing in a single market.

6.2.1 Prudential Low equity funds²⁵

These funds invest in a spectrum of investments in the equity, bond, money, or property markets.

These funds tend to display reduced short-term volatility, aim for long-term capital growth and typically would have an actual equity exposure below 40%.

These funds generally conform to legislation governing retirement funds, (Regulation 28 of the Pension Fund Act) and are thus suitable as investment vehicles for retirement funds.

The underlying risk and return objectives of individual funds may vary, as dictated by each fund’s mandate and investment objective strategy.

6.2.2 Prudential Medium Equity funds²⁶

These funds invest in a spectrum of investments in the equity, bond, money, or property markets.

These funds tend to display average volatility, aim for medium to long-term capital growth and typically would have an actual equity exposure between 40% and 65%. These funds generally conform to legislation governing retirement funds, (Regulation 28 of the Pension Funds Act) and are thus suitable as investment vehicles for retirement funds. The underlying risk and return objectives of individual funds may vary as dictated by each fund’s mandate and stated investment objective and strategy.

6.2.3 Prudential High Equity funds²⁷

These funds invest in a spectrum of investments in the equity, bond, money, or property markets.

These funds tend to have an increased probability of short-term volatility, aim to maximise long-term capital growth and typically would have an equity exposure above 65%.

These funds generally conform to legislation governing retirement funds, (Regulation 28 of the Pension Funds Act) and are thus suitable as investment vehicles for retirement funds. The underlying risk and return objectives of individual funds may vary, as dictated by each fund’s mandate and investment objective and strategy.

²⁴ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²⁵ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²⁶ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²⁷ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

6.2.4 Prudential Variable Equity funds²⁸

These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to have an increased probability of short-term volatility, aim to maximise long-term capital growth and would always have an effective equity exposure (including international equity) between 0% and 75%.

These portfolios conform to legislation governing retirement portfolios, (Regulation 28 of the Pension Funds Act) and are thus suitable as investment vehicles for retirement portfolios. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolio's mandate and stated investment objective and strategy.

6.2.5 Flexible property funds²⁹

These funds invest at least 50% in securities listed in the Real Estate industrial sector of the JSE Securities Exchange South Africa and liquid assets. The objective of these funds is to provide high levels of income and long-term capital appreciation.

6.2.6 Targeted Absolute and Return Funds³⁰

These funds invest in a combination of equity, bond, money market, Property or derivative instruments. The underlying risk and return objectives of the individual funds may vary, as dictated by each fund's mandate and investment objective and strategy. These funds tend to display below average short-term growth volatility and are mandated to manage towards a predetermined, explicit benchmark. These funds may not conform to legislation governing retirement funds and do not necessarily offer capital or performance guarantees.

6.3 Real Estate³¹

6.3.1 General funds

Real Estate - General portfolios – These portfolios invest in listed property shares, collective investment schemes in property and property loan stock and real estate investment trusts. The objective of these portfolios is to provide high levels of income and long-term capital appreciation. These portfolios invest at least 80% of the market value of the portfolio in shares listed in the FTSE / JSE Real Estate industry group or similar sector of an international stock exchange and may include other high yielding securities from time to time. Up to 10% of a portfolio may be invested in shares outside the defined sectors in companies that conduct similar business activities as those in the defined sectors.

SA Benchmark: FTSE/JSE SA Listed Property Index (J253T)

6.4 Fixed Interest Funds³²

These funds invest only in interest-bearing assets. The level of risk for these funds is relatively low, but so is the likelihood of enormous growth. The sub-sectors of this category are:

6.4.1 Bond funds

These funds invest in bonds, fixed deposits and other interest-bearing securities. These funds may invest in short; intermediate and long-dated securities. The composition of the underlying investments is actively managed and will change over time to reflect the manager's assessment

²⁸ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

²⁹ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

³⁰ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

³¹ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

³² <https://www.asisa.org.za/codes-standards-guidelines/standards/>

of interest rate trends. These funds offer the potential for capital growth, together with a regular and high level of income.

Benchmark: BEASSA All Bond Index

6.4.2 Income funds

These funds invest in bonds, fixed deposits and other interest-earning securities, which have a fixed maturity date, and either has a predetermined cash flow profile or are linked to benchmark yields but excluding any equities. To provide relative capital stability, the average modified duration of the underlying assets is limited to a maximum of two years. These funds are less volatile and are characterised by a regular and high level of income.

Benchmark: BEASSA All Bond 1 to 3-year split Index

6.4.3 Money market funds

These funds seek to maximise interest income, preserve the fund's capital and provide immediate liquidity. It is achieved by investing in money market instruments that at the time of its inclusion in a money market portfolio a money market instrument may not have a residual maturity exceeding 13 months. The weighted average legal maturity of money market instruments included in a money market portfolio, based on the value of the total money market portfolio, may not exceed 120 days and the weighted average duration of money market instruments included in a money market portfolio, based on the value of the total money market portfolio, may not exceed 90 days. The funds are typically characterised as short-term, highly liquid vehicles.

Benchmark: Alexander Forbes Money Market Index

6.4.4 Varied Specialist

These funds invest in bonds, fixed deposits, structured money market instruments, listed debentures and other high yielding securities. They seek to maximise income with either preservation or stability of capital, or an offer of potential growth of capital.

The underlying risk and return objectives of individual funds may vary as dictated by each fund's mandate and investment objective and strategy.

However, in terms of the investment mandates of these funds, they fall outside the existing sub-categories of the Fixed Interest sector. Should it be considered appropriate, where five or more funds have a similar focus, a new category will be created, and the funds reclassified.

6.5 Index, Property and Balanced Funds³³

Index Funds and Fund of Funds are found within the various sectors we have discussed, but no longer have their respective categories, as they did before the reclassification.

6.5.1 Index Funds

These funds are designed to replicate the performance of a specific benchmark. As Index Funds are passively managed, they have a substantially reduced initial and annual management fee. These funds do not have their category but instead, are classified into a category based on the index/benchmark that the fund is tracking. The best index fund will be the one that tracks its chosen index the closest.

³³ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

6.5.2 Property Collective investments (PUTS)

A property collective investment is a portfolio of investment properties, which is divided into units. The objective of these funds is to provide high levels of income and long-term capital growth. It can be used as a higher risk alternative to bonds or income funds.

Property collective investments differ from other collective investments in that they are listed on the JSE and are closed-ended funds, with a limited number of units in issue. The value of these units is linked to supply and demand forces on the JSE, and not on the underlying properties.

6.6 Specialised Funds³⁴

In addition to these collective investments' funds, there are specialised funds regarded as packaged products that include several collective investment schemes or investment portfolios in one "bundle". Do not confuse them with Specialist Equity Funds, which are funds that invest in one specialised area of the JSE.

They enable the investor to spread his/ her investment through a range of collective investments and are also known as split investments. These packaged products include:

- Funds of funds;
- Wrap funds; and
- Multi-manager funds.

Multi-manager funds differ from the two given above because multi-manager funds do not invest in collective investment schemes as such but in specific investment portfolios. It may sound somewhat confusing so that we will explore the funds in more detail.

6.6.1 Fund of Funds

These funds made their entry to the CIS industry in June 1998. It was introduced as an alternative to collective investment scheme link products.

A fund of funds product is a collective investment fund that invests in a range of other collective investments.

When an investor purchases unit in a fund of funds, the investor only owns the units in the fund and not in the underlying collective investments, which make up the fund.

The collective investments chosen may originate from the same Manager (in which case they would be called an internal fund of funds), or they may be those of a different Manager. Every fund of funds must invest in more than two underlying collective investments.

The portfolio manager chooses the underlying funds, and his choice is based on the fund's mandate and risk profile. Investors can choose between a fund of fund investment locally or offshore.

6.6.2 Wrap Funds

A wrap fund is a portfolio or collection of investment products "wrapped" into a single product.

The investments made by the fund are not necessarily in collective investments; although many wrap funds include both collective investments and other money market accounts.

The combination used in the wrap fund will depend on the needs of the investor, in terms of the risk the investor is prepared to take, and the returns he/ she expects to get.

³⁴ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

Wrap funds are not controlled by the same legislation as collective investments and can be managed by anyone who has registered with the Financial Sector Conduct Authority as a portfolio manager.

They are not considered suitable investments for the small investor.

6.6.3 Multi-manager or Combination funds

A multi-manager collective investments fund invests in a combination of specialist equity and fixed interest portfolios, by bringing together several different fund managers into one investment product.

Each of the managers is responsible for his/ her portion of the entire portfolio.

The portfolio managers are chosen for their expertise in an area, and the combination of the managers will be tailored to suit the investor's needs. The same legislation controls Multi-manager funds as collective investments, and therefore offer a high level of protection to the investor.

These specialised funds charge higher management fees than regular collective investment schemes, but they may bring higher returns to the investor if he/ she chooses the fund carefully.

WORLDWIDE PORTFOLIOS³⁵

These are collective investments that invest in both South African and foreign markets. No minima are set for either domestic or foreign assets.

6.7 Equity Portfolios:

These portfolios invest a minimum of 80% of the market value of the portfolios in equities and generally seek maximum capital appreciation as their primary goal.

6.7.1. Equity – General portfolios - These portfolios invest in selected shares from equity markets. They do not subscribe to a particular theme or investment style and will be invested across all market sectors, as well as across the range of large, mid and smaller market capitalisation shares. The portfolios offer a medium to long-term growth as their primary investment objective.

6.7.2. Equity – Unclassified portfolios - These portfolios invest in both local and foreign markets, but only in a single industry or sector or in companies that share a common theme or activity as defined in their respective mandates. Due to both the nature and focus of these portfolios, they may be more volatile than portfolios that are diversified across the broader market. The performance of these portfolios cannot be compared to others in this category. Should it be considered appropriate, where five or more portfolios focus on a particular theme, a new category will be created and the funds transferred?

6.8. Multi-Asset Portfolios:

Multi-Asset portfolios are portfolios that invest in a widespread of investments in the equity, bond, money and property markets to maximise total returns (comprising capital and income growth) over the long term.

6.8.1. Multi-Asset– Flexible portfolios - These portfolios invest in a flexible combination of investments in the equity, bond, money, or property markets. The portfolios have complete or stipulated limited flexibility in their asset allocation both between and within asset classes, countries and regions. No minimum or maximum holding applies to South African or offshore investment. These portfolios are often aggressively managed with assets being shifted between

³⁵ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

the various markets and asset classes to reflect changing economic and market conditions to maximise total returns over the long term.

6.8.2. Multi-Asset – Income portfolios - These portfolios invest in a spectrum of equity, bond, money market, or real estate markets with the primary objective of maximising income. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolio's mandate and stated investment objective and strategy. These portfolios can have a maximum effective equity exposure (including international equity) of up to 10% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio.

GLOBAL PORTFOLIOS³⁶

These are collective investment portfolios that invest at least 80% of their assets outside South Africa, with no more than 80% exposure to assets of a specific geographical region.

6.9. Equity Portfolios:

These portfolios invest a minimum of 80% of the market value of the portfolios in equities and generally seek maximum capital appreciation as their primary goal. All equity investments must conform 100% to the defined investment requirement of each category.

6.9.1. Equity – General portfolios - These portfolios invest in selected shares from equity markets. They do not subscribe to a particular theme or investment style and will be invested across all market sectors, as well as across the range of large, mid and smaller market capitalisation shares. The portfolios offer a medium to long-term growth as their primary investment objective.

Benchmark: MSCI All Countries World Index (Total Return)

6.9.2. Equity – Unclassified portfolios - These portfolios invest in a single industry or sector or in companies that share a common theme or activity as defined in their respective mandates. These portfolios may invest in selected shares across all sectors of stock exchanges. The performance of these portfolios cannot be compared to others in this category. Should it be considered appropriate, where five or more portfolios focus on a particular theme, a new category will be created and the funds transferred?

6.10. Multi-Asset Portfolios:

Multi-Asset portfolios are portfolios that invest in a widespread of investments in the equity, bond, money and property markets to maximise total returns (comprising capital and income growth) over the long term.

6.10.1. Multi-Asset – Flexible portfolios - These portfolios invest in a flexible combination of investments in international equity, bond, money, or property markets. The portfolios have complete or stipulated limited flexibility in their asset allocation both between and within asset classes, countries and regions. These portfolios are often aggressively managed with assets being shifted between the various markets and asset classes to reflect changing economic and market conditions to maximise total returns over the long term.

³⁶ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

6.10.2. Multi-Asset - High Equity portfolios - These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to have an increased probability of short-term volatility, aim to maximise long term capital growth and can have a maximum effective equity exposure (including international equity) of up to 75% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolios mandate and stated investment objective and strategy.

6.10.3. Multi-Asset - Medium Equity portfolios - These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to display average volatility, aim for medium to long term capital growth and can have a maximum effective equity exposure (including international equity) of up to 60% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolios mandate and stated investment objective and strategy.

6.10.4. Multi-Asset - Low Equity portfolios - These portfolios invest in a spectrum of investments in the equity, bond, money, or property markets. These portfolios tend to display reduced short-term volatility, aim for long term capital growth and can have a maximum effective equity exposure (including international equity) of up to 40% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolios mandate and stated investment objective and strategy.

6.10.5. Multi-Asset – Income portfolios – These portfolios invest in a combination of equity, bond, money market, property or derivative instruments with the primary objective of maximising income. The underlying risk and return objectives of individual portfolios may vary as dictated by each portfolios mandate and stated investment objective and strategy. These portfolios may have a maximum effective equity exposure (including international equity) of up to 10% and a maximum effective property exposure (including international property) of up to 25% of the market value of the portfolio.

6.11. Interest Bearing Portfolios:

Interest Bearing portfolios are collective investment portfolios that invest in bond and money market investments and other interest-earning securities. These portfolios may not include equity securities, real estate securities or cumulative preference shares.

6.11.1. Interest Bearing - Variable Term portfolios – These portfolios invest in bonds, fixed deposits and other interest-bearing securities from markets around the world. These portfolios may invest in short; intermediate and long-dated securities. The composition of the underlying investments is actively managed and will change over time to reflect the manager's assessment of interest rate trends. These portfolios offer the potential for capital growth, together with a regular and high level of income. These portfolios may not include equity securities, real estate securities or cumulative preference shares

6.11.2. Interest Bearing – Short Term portfolios – These portfolios invest in bonds, fixed deposits and other high interest-earning securities in international markets, which have a fixed maturity date and either have a predetermined cash flow profile or are linked to benchmark yields, but exclude any equity securities, real estate securities or cumulative preference shares. To provide relative capital stability, the weighted modified duration of the underlying assets is limited to a maximum of two. These portfolios are less volatile and are characterised by a regular and high level of income.

6.12. Real Estate Portfolios:

6.12.1. Real Estate - General portfolios – These portfolios invest in listed property shares, collective investment schemes in property and property loan stock and real estate investment trusts. The objective of these portfolios is to provide high levels of income and long-term capital appreciation. These portfolios invest at least 80% of the market value of the portfolio in real estate shares and may include other high yielding securities from time to time. Up to 10% of a portfolio may be invested in shares outside the defined sectors in companies that conduct similar business activities as those in the defined sectors.

REGIONAL PORTFOLIOS³⁷

These are collective investment portfolios that give investors at least 80% of their exposure to assets in a specified geographical region, including Africa, outside South Africa.

6.13. Equity Portfolio:

These portfolios invest a minimum of 80% of the market value of the portfolios in equities and generally seek maximum capital appreciation as their primary goal. All equity investments must conform 100% to the defined investment requirement of each category.

6.13.1. Equity – General portfolios - These portfolios invest in selected shares from equity markets in a specified geographic region. They do not subscribe to a particular theme or investment style and will be invested across all market sectors, as well as across the range of large, mid and smaller market capitalisation shares. The portfolios offer a medium to long-term growth as their primary investment objective.

6.13.2. Equity – General – Africa portfolios – These portfolios invest in selected shares from equity markets in Africa excluding South Africa. They do not subscribe to a particular theme or investment style and will be invested across all market sectors, as well as across the range of large, mid and smaller market capitalisation shares. The portfolios offer a medium to long-term growth as their primary investment objective.

6.13.3. Equity – Unclassified portfolios - These portfolios invest in a single industry or sector or in companies that share a common theme or activity as defined in their respective mandates. These portfolios may invest in selected shares across all sectors of stock exchanges. The performance of these portfolios cannot be compared to others in this category. Should it be considered appropriate, where five or more portfolios focus on a particular theme, a new category will be created, and the funds transferred?

6.14. Multi-Asset Portfolios³⁸:

Multi-Asset portfolios are portfolios that invest in a widespread of investments in the equity, bond, money and property markets to maximise total returns (comprising capital and income growth) over the long term.

6.14.1. Multi-Asset – Flexible portfolios - These portfolios invest in a flexible combination of investments in regional equity, bond, money, or property markets to maximise total returns over the long term. The portfolios have complete or stipulated limited flexibility in their asset allocation both between and within asset classes, countries and regions. These portfolios are often aggressively managed with assets being shifted between the various markets and asset classes to reflect changing economic and market conditions to maximise total returns.

³⁷ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

³⁸ <https://www.asisa.org.za/codes-standards-guidelines/standards/>

6.15. Interest Bearing Portfolios:

Interest Bearing portfolios are collective investments that invest in bond and money market investments and those which seek to maximise interest income. These portfolios may not include equity securities, real estate securities or cumulative preference shares

6.15.1. Interest Bearing - Variable Term portfolios – These portfolios invest in bonds, fixed deposits and other interest-bearing securities from markets in a specified region. These portfolios may invest in short; intermediate and long-dated securities. The composition of the underlying investments is actively managed and will change over time to reflect the manager's assessment of interest rate trends. These portfolios offer the potential for capital growth, together with a regular and high level of income. These portfolios may not include equity securities, real estate securities or cumulative preference shares

6.15.2. Interest Bearing – Short Term portfolios – These portfolios invest in bonds, fixed deposits and other high interest-earning securities in international markets, which have a fixed maturity date and either have a predetermined cash flow profile or are linked to benchmark yields, but exclude any equity securities, real estate securities or cumulative preference shares. To provide relative capital stability, the weighted modified duration of the underlying assets is limited to a maximum of two. These portfolios are less volatile and are characterised by a regular and high level of income.

Summary

Fund Classification Diagram



Unit 2

Legal requirements associated with CIS



Discuss the legal requirements associated with Collective Investment Schemes according to CISCA and other relevant legislation.



In order to advise your client in a compliant manner, you need to understand the legal requirements.



You will need to discuss and explain the application of the following:

- Financial Advisory and Intermediary Services Act (FAIS);
 - Financial Intelligence Centre Act (FICA);
 - Collective Investment Scheme Control Act (CISCA);
 - Regulatory Reporting of Collective Investment Schemes.
-
- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
 - Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis).
 - Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za
 - Classification of Collective Investment Schemes:
 - <http://www.fsca.co.za>
 - <http://www.asisa.co.za>
 - <http://www.inseta.org.za>



Legal requirements³⁹

All collective investment schemes, local and international, are required to register with the FSCA. It is a statutory body that regulates the collective investment scheme industry. Details of collective investment scheme portfolios are sent to the FSCA every three months. The FSCA ensures that management companies stick to their mandate.

ASISA represents the collective investment scheme industry. This association negotiates with legal bodies, including the FSCA on behalf of management companies. It also ensures that collective investment scheme advertising meets the required standards.

Collective investment schemes are presently subject to the following legal provisions:

Responsibility for the management and control of the scheme falls to the collective investment scheme manager. It includes the issuing of unit certificates.

The management company must register with the FSCA before commencing operations, and each portfolio must be approved.

CISCA allows investment managers to invest up to 10% of the fund in unlisted shares.

Funds which invest across all sectors of the JSE Limited can invest 20% of their fund in a single share. If the fund is a specialist fund, the limit is 35% in any single share.

Net interest and dividend income must be fully distributed between the investors.

The management company is obliged to repurchase all units offered to it.

Units may only be sold for cash.

The management company must be a public company with at least R2 million in non-distributable reserves and issued share capital.

The management company must have a trust deed and trustee approved by the FSCA.

The fund may not sell shares it does not own (that is selling short).

The trustee holds the collective investment scheme's assets on behalf of unitholders. The trustee must maintain a minimum level of capital and no less than R1 million in unimpaired reserves.

Management companies must hold at least 10% of the total amount of units in each portfolio. It can be limited to R1 million, subject to FSCA approval.

The Act also stipulates which accounts a management company must keep and when and to whom they must be submitted.

Advertising is under strict control, and the companies submit all advertising to the Registrar for approval. One of the reasons for this is that the 1969 crash highlighted several instances of seemingly unethical advertising by certain management companies at the time.

Taxation and the qualifications of a trustee are also addressed.

³⁹ South African Financial Planning Handbook 2019, 22.4.5

Background

In 2008, the ACI (Association of Collective Investments) became part of ASISA, the (Association for Savings and Investment South Africa). Their staff, assets and activities were transferred to ASISA.

The Unit Trusts Control Act 54 of 1981 governed the unit trust industry until 2002.

The new Collective Investment Schemes Control Act 45 of 2002 (CISCA) now governs the industry and offers fund managers more flexibility.

The Financial Sector Conduct Authority (FSCA), an independent regulatory body established by the government, oversees the industry and ensures that all legislation and guidelines are adhered to.

To align the South African investor landscape to that of global developments, the Collective Investment Schemes Control Act of 2002 ("CISCA") was introduced with effect from 3 March 2002. CISCA recognises and attempts to regulate the much more comprehensive concept of collective investments, not only through the well-known vehicle of a trust (from the term "unit trust") but also through other vehicles such as an open-ended investment company (a concept not widely used in South Africa). CISCA also specifically regulates collective investment schemes security, property and bonds (more about these later in this module).

Today, the collective investment scheme is a highly regulated investment vehicle, and financial services providers ("FSPS") will be well advised to ensure that they understand the obligations of the various role-players, the different types of collective investment schemes and fees associated with them, to name but few. Only then will it be possible to advise and service clients effectively.

KO1: Financial Advisory and Intermediary Services Act (FAIS)⁴⁰

FAIS is an acronym for Financial Advisory and Intermediary Services Act. The main objectives underlying the Financial Advisory and Intermediary Services Act 37 of 2002 (the FAIS Act) are to regulate market conduct thereby protecting the financial interests of clients and to professionalise the industry and those who provide advice and/or intermediary services on financial products to clients. As discussed previously, while many clients have lost millions of rands in a variety of schemes that have come to the attention of the regulators, the FAIS Ombud and the media, there are many smaller, undocumented cases where clients have lost money due to inappropriate or fraudulent financial advice. Compliance with the requirements of the FAIS Act should not involve a tick-box approach; it should be approached with an attitude of giving effect to the spirit of the law, namely, the protection of the client. When engaging with and providing clients with financial advice, at all times, your actions must be in the best interests of your client.

This legislation impacts on the financial services industry and aims to regulate the giving of advice and rendering of intermediary services to clients, as well as specific other issues. FAIS can be regarded as putting on record the principles on which good business with consumers should be based.

The advantages that can be offered to consumers by the Act are often emphasised, but financial intermediaries will benefit from it as well - particularly as the giving of financial advice will now enjoy greater prestige.

As we all know (at this stage), the Financial Advisory and Intermediary Services Act 37 of 2002 ("FAIS") governs the rendering of intermediary services and the provision of advice in respect of a financial product.

Section 1 of FAIS includes participatory interests in CISs in the definition of a financial product, and it is, therefore, necessary to consider FAIS and subordinate legislation to it when providing

⁴⁰ South African Financial Planning Handbook 2019, 4.1

advice or rendering intermediary services in respect of, *among other things*, participatory interests in CIS.

The Act has as its primary objective, that of investor protection. The intention is not only to benefit the interests of clients, but also that of the financial services industry as a whole. A provider has the general duty to, at all times, render financial services honestly, fairly, with due skill, care and diligence and in the interest of clients.

KO2: Financial Intelligence Centre Act (FICA)⁴¹

To remain a competitive player in the global economy, South Africa must have an effective system of anti-money laundering and counter-terrorist financing in place. The Financial Intelligence Centre Act 38 of 2001 (FIC Act), as amended, together with the Regulations and Guidance Notes provides a framework for deterring the use of South Africa as an easy money laundering and terrorist financing jurisdiction. Given the intangible nature of financial products, the financial services sector provides a perfect environment in which to launder illegal funds or hide funds used in the financing of terror. Financial service providers (FSPs) are defined as accountable institutions for the FIC Act, and as such, they are required to comply with the legislation.

The Financial Intelligence Centre has stated: "Today, governments, banks and other financial institutions around the world are under pressure to comply with international standards for anti-money laundering and combating of terror financing. For example, banks and other financial institutions may not transact with a correspondent bank if it cannot show that it is fully compliant. The inability to demonstrate full compliance carries the risk of large penalties and reputational damage for a non-compliant bank."¹ As accountable institutions, the same fate will befall any FSP who fails to comply with the anti-money laundering and counter-terrorist financing legislation.

While the Financial Intelligence Centre Act ("FICA") does not specifically refer to a CIS registered in terms of Cisca, it does refer to a Unit Trust Company registered in terms of the Unit Trust Control Act, Act 54 of 1981, and the predecessor to Cisca. In our view, this does not mean that a CIS is not an accountable institution, and we are further of the view that a CIS must comply with FICA.

The Financial Intelligence Centre Act was signed in December 2002. The reporting of unusual or suspicious transactions to the Centre is in operation from 03 February 2003. The identification and verification of clients (excluding the transactions of clients that are exempted) came into operation on 30 June 2003.

The objective of FICA is to complement POCA (Prevention of Organised Crime Act), by introducing mechanisms and measures aimed at preventing and combating money-laundering activities. It sets up an anti-money laundering regulatory regime, which encourages compliance and self-regulation by institutions, which may be exploited for money laundering purposes.

⁴¹ South African Financial Planning Handbook 2019, 5.1

Financial Intelligence Centre Amendment Act 1 of 2017⁴²

The 2017 amendments to the Financial Intelligence Centre Act were aimed at addressing the regulatory gaps that existed in the anti-money laundering and terror financing legislation. The amendments include enhancing and simplifying the customer due diligence requirements by moving from a rules-based approach (all clients must be identified and verified) to a risk-based approach (only clients identified as high risk are identified and verified). The amendments also ensure that South Africa complies with the international anti-money laundering and combating of financial terrorism standards as required by the Financial Action Task Force. The amendments “will assist institutions to strengthen their internal compliance regimes and concentrate their resources more effectively on addressing risks that their products and services may be abused for illicit purposes”. Also, the changes to the customer due diligence will allow for the inclusion of previously excluded sectors of society by bringing them into the formal economy.

KO3: Collective Investment Schemes Control Act (CISCA)^{43, 44}

Section 2 of CISCA provides that the assets of a portfolio must at all times be adequately protected by application of the principle of segregation and identification (e.g., section 105 of CISCA requires that the manager must, within one business day of receiving cash from investors, deposit such amounts in a trust account controlled by the trustee).

Section 5 of CISCA stipulates that no person may perform any act or enter into any agreement or transaction with the purpose of administering a collective investment scheme unless that person is registered as a manager by the Registrar of Collective Investment Schemes (“the Registrar”), or unless such a person (who is administering CISs) is exempted by the Registrar from having to comply with CISCA.

Section 6 of CISCA goes further to prohibit the use of misleading names or acts, which may result in the public believing that the business carried on by a person consists of or is connected to the administration of a CIS unless that person has the specific permission of the Registrar.

Section 41 of CISCA requires any person who wants to administer a CIS in securities to be registered as a company under the Companies Act of 1973, Act 61 of 1973. Furthermore, this company must retain capital reserves and liquidity as determined by the Registrar in terms of Section 88 of CISCA.

Section 71 of CISCA provides that any money or other assets received from an investor and assets of a portfolio are regarded as being trust property for the Financial Institutions (Protection of Funds) Act (with the effect, for example, that the manager may not derive improper advantage from the investment activities of the portfolio and must declare relevant conflicts of interest) and a manager, its authorised agent, a trustee or custodian must deal with such money or other assets in terms of CISCA and the applicable deed and the best interests of investors.

Section 93 of CISCA provides for a closed list of permissible deductions against the portfolio for fees, charges and so forth.

Section 104 of CISCA provides that the assets of a portfolio are not available to satisfy third-party claims against the manager or trustee.

Board Notice 91 issued by the Registrar in 2014 prescribes (in terms of Section 88) that the manager must maintain a basic capital which must be a sum equivalent to 13 weeks' annual fixed expenditure for the whole of the collective investment scheme business of a manager or such other amount as the registrar may determine; plus

⁴² See Draft Memorandum on the objects of Financial Intelligence Centre Amendment Bill 33 of 2015 – National Treasury website, www.treasury.gov.za or Financial Intelligence Centre website, www.fic.gov.za.

⁴³ <https://www.gov.za/documents/collective-investment-schemes-control-act>

⁴⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, pg 59

(b) seed capital of R1 million to be invested by the manager in each portfolio administered by the manager: Provided that-

(i) The prescribed amount may be withdrawn once the portfolio reaches a size of R50 million net asset value under management, and (ii) the sum of R1 million is to be re-invested in the portfolio where the net asset value of the portfolio has been reduced to below R50 million for a continuous period of 6 months. CISCA also requires a CIS in the property to apply to exchange to list their securities there. The sale and purchase of participatory interests in Property CISs occur through the exchange.

CISs in participation bonds must, in addition to the requirements stipulated in CISCA for CIS security, also appoint an approved independent nominee company to be the registered holder of the assets. The minimum investment period stipulated in Section 58 of CISCA is five years.

Foreign CISs wanting to market or solicit investment in South Africa are also required to be registered by the Registrar before conducting CIS business in South Africa. This registration requirement is stipulated in Section 65 of CISCA and requires the foreign CIS to manage its portfolio subject to the investment restrictions stipulated in Board Notice 90 of 2014 issued under CISCA. A person who solicits investments in a foreign collective investment scheme which is not approved is guilty of an offence and liable on conviction to a fine or imprisonment for a period not exceeding five years or to both a fine and such imprisonment.

Additional subordinate directives, notices and guidelines provide the legislative framework in which collective investment schemes may operate.

As stated above, CISCA requires a manager who wants to administer CISs securities to be registered as a company in terms of the Companies Act. It means that the manager must also comply with the provisions of the Companies Act.

While listing all legislation applicable to CISs proves difficult, legislation such as the Financial Institutions (Protection of Funds) Act (Act 28 of 2001), The Inspection of Financial Institutions Act (Act 80 of 1998), and the Financial Markets Act 19 Of 2012 must be complied with.

Recent legislative developments such as the Consumer Protection Act (Act 68 of 2008) are also applicable to CIS managers. The Protection of Personal Information Act (once the effective date is announced) will be applicable on CISs as well.

3.1 Legislative management of risk

A manager must be registered with the FSCA before it can manage any funds. It must comply with specific stringent rules before it can market any products. The Manager acts on behalf of the investor and does not hold any assets in its name. All funds are kept in a nominee account in a trust fund controlled by a trustee. It ensures that if the asset Manager goes insolvent, this investment will not form part of its assets. As mentioned before, the trustee company may not be affiliated with the Manager in any way.

New legislation obliged collective investment scheme companies to administer each fund according to its mandate. There are various levels of classification, making it easier for the investor to distinguish which asset class or region he invests in. The Manager must always adhere to the mandate and stay within the classification parameters. Each Manager must report to the FSCA regularly regarding its portfolio holdings to ensure it complies with the stipulated mandate.

3.2 The mandate⁴⁵

The mandate of a collective investment scheme fund comprises the rules and guidelines regarding where the funds may be invested. An example is the Investec Growth Fund. The mandate of this

⁴⁵ <https://www.gov.za/documents/collective-investment-schemes-control-act>

fund is that it must always be invested in growth stocks in South Africa. Each fund has its mandate stipulating the areas of investment.

The Manager must invest at least R1 million of its funds into each fund that it administers until the fund reaches R50m. There are other limitations placed on shareholding; for example, a fund may invest a more significant number of shares in those companies constituting more than 10% of the relevant JSE Index.

Regulation 28 of the Pension Funds Act 24 of 1956 stipulates that 25% of the holding must be in cash, bonds or property. This stipulation is only applicable where the fund mandate stipulates that the fund will comply with Regulation 28.

The fund manager needs to comply with the fund mandate here as it is governed by legislation.

The Collective Investment Schemes Control Act has removed the requirement for all unit trusts to hold 5% of the portfolio in liquid assets such as cash. It will enable fund managers to be fully invested and to take maximum advantage of growth potential. The Funds may borrow up to 10% of its market value to bridge insufficient liquidity. The portfolios may be capped at any time for them to be managed by their mandate. It will be beneficial, especially when the market is down, and it is not ideal to sell.

KO4: Regulatory Reporting of Collective Investment Schemes^{46,47}

We will be discussing some of the reporting tools used by the Registrar to ensure that the various CISs report in a standard format. It assists the Registrar in distilling the information.

In terms of Section 41 of Cisca, no person may administer a CIS in securities unless that person is a company registered as a manager.

In other words, in order to administer CIS security, the manager must be a registered company. In terms of the Companies Act 61 of 1973, a company was required to prepare audited financial statements. This requirement is due to be relaxed in the new Companies Act 71 of 2008. In terms of Section 30 of the new Companies Act, companies will no longer be required to prepare audited financial statements unless they are public companies or companies that are required by regulation to prepare audited financial statements.

As most managers are private companies, it remains to be seen whether audited financial statements will still be compulsory. The expectation is that audited financial statements will still be required.

Circular 3 issued by the Registrar on 10 April 2006 prescribe specific requirements that must be addressed in the annual financial statements. In addition to annual audited financial statements, managers are required to submit quarterly reports to the Registrar containing the details listed below.

⁴⁶ <https://www.gov.za/documents/collective-investment-schemes-control-act>

⁴⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Pg 174

PORTFOLIO REPORT FOR THE QUARTER ENDED _____							
NAME OF PORTFOLIO: INDEX PORTFOLIO							
DETAILS (NAME OF INSTRUMENT)	HOLDINGS	HOLDINGS	MARKET	% OF	% WEIGHTING	% OF	
	AT (PREVIOUS QTR)	AT (CURRENT QUARTER)	VALUE	ISSUED CAPITAL	IN INDEX	PORTFOLIO	
EXCHANGE SECURITIES - LOCAL							
Oil & Gas							
Oil & Gas							
Basic Material							
Chemicals							
Basic Resources							
Industrials							
Construction & Material							
Industrial Goods & Services							
Consumer Goods							
Automobiles & Parts							
Food & Beverage							
Personal & Household Goods							
Health Care							
Healthcare							
Consumer Services							
Retail							
Media							
Travel & Leisure							
Telecommunication							
Telecommunication							
Financials							
Banks							
Insurance							

[illegible]

(NAME OF PORTFOLIO): CERTIFICATE TO QUARTERLY REPORT AS AT (DATE)**(All references relating to Board Notice 90 of 2014)****[In respect of a portfolio other than a money market portfolio]**

I,, Managing Director / Compliance Officer, hereby certify that the portfolio complied with the following:

1. The limits of –
 - 1) 20% and 35% determined in paragraphs 3(1)(a)(i) and (ii), respectively;
 - 2) 15%, and 24% determined in paragraphs 3(1)(b)(i) and (ii), respectively; and
 - 3) the percentages with reference to Annexure C referred to in paragraphs 25(f) and (g).
2. No financial instruments were included during the quarter in any of the portfolios.

(Where instruments have been included, a certificate in the form contemplated in Annexure A must be submitted.)

3. Instruments included in the report in terms of paragraph 25(a)(ii):
 - 1) not assigned any rating but carrying an explicit guarantee by the Government;
 - 2) issued or guaranteed by the government of a foreign country which is assigned a foreign currency sovereign rating of at least investment grade; or
 - 3) issued by, or any other exposure to, the S. A. Reserve Bank, do not exceed 30% of the value of the portfolio.
4. As regards non-equity securities, the total investment exposure to –
 - 1) a single issuer does not exceed the percentage applicable to the long-term issuer rating assigned to that issuer in the corresponding band in the relevant Table (paragraph 25(c)(i));
 - 2) all issuers which have been assigned a rating relative to the 5% limit (*i. e.* included in band 3 of the Table), does not exceed 30% (paragraph 25(c)(ii)); and
 - 3) all qualifying, rated instruments issued by a single issuer that has not been assigned a rating, does not exceed an overall limit of 10% (paragraph 25(c)(iii))
5. Any instrument included in the report in terms of paragraph 25(e) and not assigned any rating carries an explicit guarantee by the Government and the value thereof does not exceed 30% of the value of the portfolio.
6. Any funds borrowed on behalf of the portfolio, are less than 10% of the value of the portfolio and repayable within 61 days as determined in the Act and the Deed, respectively.

.....

Signature Date

[In respect of a money market portfolio]

I,, Managing Director / Compliance Officer, hereby certify that the portfolio complied with the following:

1. The total investment exposure to –
 - 1) a single issuer does not exceed the percentage applicable to the short-term issuer rating assigned to that issuer in the corresponding band in the relevant Table (paragraph 13(2)(a) or 18(2)(a), as the case may be);

- 2) all issuers which have been assigned a rating relative to the 5% limit (i.e. included in band 3 of the Table), do not exceed 30% (paragraph 13(2)(b) or 18(2)(b), as the case may be); and
 - 3) all qualifying rated instruments issued by a single issuer that has not been assigned a rating does not exceed an overall limit of 10% (paragraph 13(2)(c) or 18(2)(c), as the case may be).
2. The value of all instruments issued by a public entity contemplated in, and included in the report in terms of, paragraph 13(4) and not assigned any rating but carries a guarantee by the Government, does not exceed 30% of the value of the portfolio.
 3. The percentages with reference to Annexure C referred to in paragraphs 13(6) and (7).

.....

Signature Date

[In respect of a fund of funds]

I,, Managing Director / Compliance Officer, hereby certify that –

1. the fund of funds is invested in not less than two other portfolios;
2. the investment in any one portfolio does not exceed 75 per cent of the market value of the fund of funds;
3. any investment by the fund of funds in another fund of funds complies with the requirement that at least 85 per cent of the value of the latter fund's portfolio is held in participatory interests outside the Republic; and
4. the fund of funds complies with paragraph 22(h).

.....

Signature Date

[In respect of a feeder fund]

I,, Managing Director / Compliance Officer, hereby certify that –

1. the feeder fund, apart from assets in liquid form, invests solely in participatory interests of a single portfolio/fund, namely (insert name of portfolio/fund);
2. any investment by the feeder fund in a fund of funds complies with the requirement that at least 85 per cent of the value of the latter fund's portfolio is held in participatory interests outside the Republic; and
3. the feeder fund complies with paragraph 24(c).

.....

Signature Date

Summary

All collective investment schemes, local and international, are required to register with the FSCA. It is a statutory body that regulates the collective investment scheme industry. Details of collective investment scheme portfolios are sent to the FSCA every three months. The FSCA ensures that management companies stick to their mandate.

To align the South African investor landscape to that of global developments, the Collective Investment Schemes Control Act of 2002 ("CISCA") was introduced with effect from 3 March 2002. CISCA recognises and attempts to regulate the much more comprehensive concept of collective investments, not only through the well-known vehicle of a trust (from the term "unit trust") but also through other vehicles such as an open-ended investment company (a concept not widely used in South Africa). CISCA also specifically regulates collective investment schemes security, property and bonds (more about these later in this module).

As we all know (at this stage), the Financial Advisory and Intermediary Services Act 37 of 2002 ("FAIS") governs the rendering of intermediary services and the provision of advice in respect of a financial product.

The Act has as its primary objective, that of investor protection. The intention is not only to benefit the interests of clients, but also that of the financial services industry as a whole. A provider has the general duty to, at all times, render financial services honestly, fairly, with due skill, care and diligence and in the interest of clients.

To remain a competitive player in the global economy, South Africa must have an effective system of anti-money laundering and counter-terrorist financing in place. The Financial Intelligence Centre Act 38 of 2001 (FIC Act), as amended, together with the Regulations and Guidance Notes provides a framework for deterring the use of South Africa as an easy money laundering and terrorist financing jurisdiction. Given the intangible nature of financial products, the financial services sector provides a perfect environment in which to launder illegal funds or hide funds used in the financing of terror. Financial service providers (FSPs) are defined as accountable institutions for the FIC Act, and as such, they are required to comply with the legislation.

The 2017 amendments to the Financial Intelligence Centre Act were aimed at addressing the regulatory gaps that existed in the anti-money laundering and terror financing legislation.

While listing all legislation applicable to CISs proves difficult, legislation such as the Financial Institutions (Protection of Funds) Act (Act 28 of 2001), The Inspection of Financial Institutions Act (Act 80 of 1998), and the Financial Markets Act 19 of 2012 must be complied with.

Recent legislative developments such as the Consumer Protection Act (Act 68 of 2008) are also applicable to CIS managers. The Protection of Personal Information Act (once the effective date is announced) will be applicable on CISs as well.

New legislation obliged collective investment scheme companies to administer each fund according to its mandate. There are various levels of classification, making it easier for the investor to distinguish which asset class or region he invests in. The Manager must adhere to the mandate at all times and stay within the classification parameters. Each Manager has to report to the FSCA regularly regarding its portfolio holdings to ensure it complies with the stipulated mandate.

In terms of Section 41 of CISCA, no person may administer a CIS in securities unless that person is a company registered as a manager.

Unit 3

Role players in collective investments



List the relevant industry role players in collective investments and describe their functions.



To effectively market CIS products, it is essential to understand the functions and to empower provisions of CISCA relating to the role players.



You will need to describe the role and functions of the following:

- CIS Manager (Management Co);
- Trustee/ Custodian;
- False and influential information;
- Auditors;
- Registrar;
- ASISA;
- LISPs;
- Administrative FSPs;
- Pension fund benefit administrators.



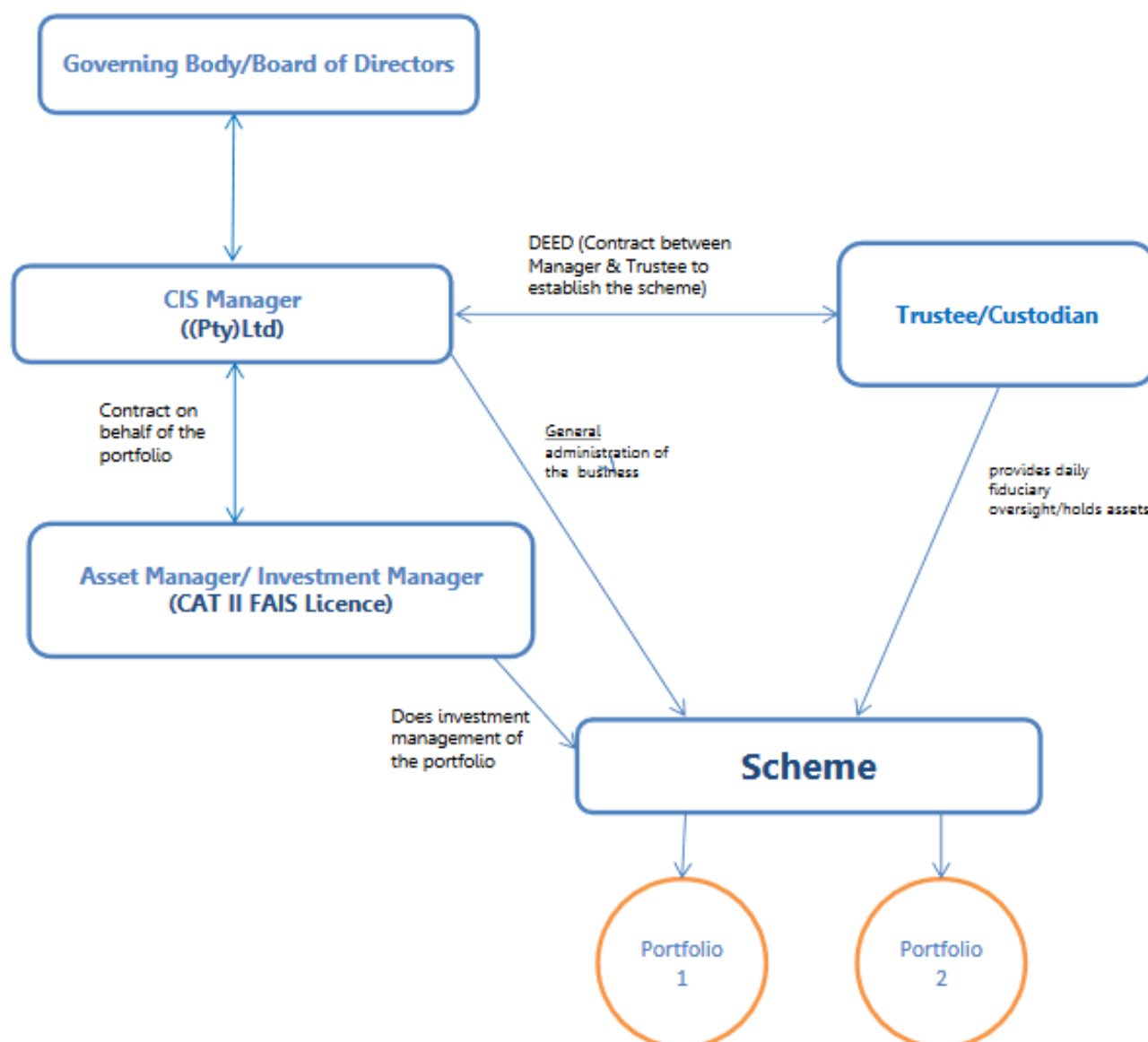
- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis).
- Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za
- Classification of Collective Investment Schemes:
 - <http://www.fsca.co.za>
 - <http://www.asisa.co.za>
 - <http://www.inseta.org.za>



Purpose

The initial and most crucial role-player in this process would be you, the investor. Without investors, there will be no demand and the market will cease to exist.

Current Collective Investment Schemes in Securities Structure⁴⁸



KO1: CIS Manager (Management Company)^{49,50}

No person may administer a CIS unless registered as a manager with the Registrar or unless exempted from having to comply with CISCA. Section 42 prescribes that a person wanting to administer a CIS in securities must be a registered company.

Section 4 of CISCA prescribes the primary responsibilities of a manager. These primary responsibilities are the following:

⁴⁸ http://www.treasury.gov.za/comm_media/press/2014/20140210%20Annexure%20B.%20Hedge%20Funds%20Structures.pdf

⁴⁹ <https://lawfulliving.co.za/book/text/financial-services--collective-investment-schemes.html>

⁵⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, page 68

1. You must be authorised to administer collective investment schemes. It means you must be registered with the Registrar as a manager, or such a manager authorises you. It is an offence if, otherwise you perform an act amounting to administration.⁵¹
2. If you are not, so registered, it is also a criminal offence:
 - to name or describe your business by any reference to a collective investment scheme, unit trust, mutual fund, etc. (a 'scheme').
 - to perform any act which is likely to lead the public to think that your business is, or which amounts to, the administration of a scheme.⁵²
3. It is a criminal offence for a manager of a scheme (and his employee) to have any personal interest or derive any financial advantage from the acquisition or sale by them of any assets of a portfolio in a scheme. The manager must disclose the interests of its directors and management to the investors^{53 54}
4. Managers may only deduct the following from a portfolio as charges or fees, and commit an offence by doing otherwise:
 - brokerage and trustee fees, taxes and stamp duties;
 - auditors' fees and bank charges;
 - fees payable to the Registrar of Companies for the creation of authorised share capital, or participatory interests;
 - agreed and disclosed service charges; and
 - listing costs in the case of a property scheme listing on an exchange.⁵⁵
5. In the case of a collective investment scheme in securities, only a company with specific capital and reserves can be a manager. It is an offence to administer a collective investment scheme in securities if you are not such a registered manager.⁵⁶
6. The same applies to the administration of a collective investment scheme in participation bonds.⁵⁷
7. When it comes soliciting investments from members of the public in South Africa for foreign schemes, this is only permissible if the Registrar has approved it. It is an offence to do otherwise.⁵⁸
8. A manager must maintain adequate financial resources to meet its commitments and to manage the risks to which its collective investment scheme is exposed;
9. A manager must —
 - a. organise and control the collective investment scheme in a responsible manner;
 - b. keep proper records;
 - c. employ adequately trained staff and ensure that they are properly supervised;
 - d. have well-defined compliance procedures;

⁵¹ Section 115(b) read with section 5(1).

⁵² Section 6 read with section 115.

⁵³ This does not apply in the case of differential pricing or underwriting of participatory interests.

⁵⁴ Section 92 read with section 115.

⁵⁵ Section 93 read with section 115.

⁵⁶ Section 41.

⁵⁷ Section 53.

⁵⁸ Section 65.

- e. maintain an open and cooperative relationship with the office of the Registrar and must promptly inform that office about anything that might reasonably be expected to be disclosed to such office; and
- f. promote investor education, either directly or through initiatives undertaken by an association.

These responsibilities should not be regarded as an exhaustive list. Further responsibilities as prescribed in CISC and various other pieces of legislation such as the Companies Act are required to be satisfied by the manager. In addition to the previously mentioned, the Manager is required to comply with notices issued by the Registrar from time to time. These notices include investment limitations, requirements when investing in foreign CISCs, etc.

Where the Manager administers the CIS through a trust structure, as is usually the case, at least at this point, the trust deed governs the responsibilities of the Manager towards the CIS and investors. This deed is entered into between the trustee and the Manager. The Registrar drafted a template trust deed that sets the minimum requirements for the content of the trust deed.

KO2: Trustee/custodian^{59,60}

Section 68 or CISC stipulates that a manager must appoint a trustee or custodian for its CIS. The appointment of a trustee or custodian by the manager is dependent on the nature of the CIS, i.e. is it a unit trust or is it an open-ended investment company? Section 68 further prescribes that:

1. Depending on the structure of the scheme, a manager must appoint either a trustee or a custodian for the scheme. It is an offence for someone to act as a trustee or custodian if he is not registered with the Registrar.⁶¹
2. Companies and certain banking and insurance institutions can act as trustees or custodians (if registered), but they must maintain capital and reserves. An offence is committed if a provision is not complied with.⁶²
3. If the appointment of a trustee to a scheme is terminated, he must lodge a report with the Registrar giving full details about
 - o any likely or actual irregularity; or
 - o undesirable practice in the conduct of the affairs of the scheme; and
 - o the reasons for the termination of his appointment;

It is an offence not to comply with these provisions.⁶³

4. Trustees and custodians have several duties, set out in Section 70 of the Act. The failure to perform any one duty constitutes a criminal offence.⁶⁴
 - i. a person may not become or act as a trustee or custodian unless that person is registered in terms of Section 69;
 - ii. when an appointment is terminated, otherwise than in terms of Section 69(3), the trustee or custodian must as soon as possible submit a report to the Registrar stating —
 - a) whether any irregularity or undesirable practice, has taken place or is taking place in the conduct of the affairs of the CIS which has caused or is likely to cause financial loss to investors in a portfolio of the CIS;

⁵⁹ <https://lawfulliving.co.za/book/text/financial-services--collective-investment-schemes.html>

⁶⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, page 69

⁶¹ Section 68(1) read with section 115.

⁶² Section 69(4) read with section 69(1) and (2).

⁶³ Section 68(3) read with section 115.

⁶⁴ Section 70(6).

- b) particulars of any such irregularity or undesirable practice; and
- c) the reason, if known, for the termination of the appointment.
- iii. a trustee or custodian intending to retire from an appointment must give the manager and the Registrar notice of at least six months of such intention to retire. During this notice period, the manager must take steps to appoint a replacement trustee or custodian. The replacement trustee or custodian must be competent to act as a trustee or custodian in terms of Section 69.
- iv. if a manager fails to take steps to appoint a replacement trustee or custodian within the six months, the Registrar may, after consultation with the manager, direct the manager to appoint a person as the replacement trustee or custodian provided that the person meets the competency requirements as prescribed in terms of Section 69.
- v. when it is impracticable for a trustee or custodian to perform any or all its duties under Section 70, the trustee or custodian may appoint a representative who is independent of the manager and any of its agents, to perform such duties.

In terms of section 68, a representative trustee or custodian also has to comply with all the duties of a trustee/ custodian as set out in section 70.

2.1 Requirements for trustee^{65,66,67,68}

As stated above, any custodian or trustee appointed to a CIS must comply with the qualification and registration requirements as stipulated in Section 69. Section 69 prescribes that:

The following types of companies or institutions may become or act as a trustee or as a custodian—

- i. A public company under the Companies Act, 1973 (Act No. 61 of 1973);
- ii. A company or institution incorporated under a particular Act, excluding a close corporation, referred to in the Close Corporations Act, 1984 (Act No. 69 of 1984);
- iii. An institution or branch of a foreign institution which is entitled to carry on the business of a bank under the Banks Act, 1990 (Act No. 94 of 1990); or
- iv. An institution which is registered as an insurer under the Long-term Insurance Act, 1998 (Act No. 52 of 1998).

In terms of Section 69, these companies or institutions may not become or act as trustees or custodians unless they—

- a) maintain capital and reserves together amounting to not less than R10 million; and
- b) have been registered by the Registrar as a trustee or custodian.

Furthermore, the Registrar may not register any company or institution as a trustee or custodian under this section unless the Registrar is satisfied that—

- i. the company or institution is not, in relation to the manager, either a holding company or a subsidiary or fellow subsidiary company within the meaning of those terms as defined in the Companies Act, 1973 (Act No. 61 of 1973); and
- ii. the general financial and commercial standing and independence of the company or institution is such that it is fit for performing the functions of a trustee or custodian and that the company or institution is because of the nature of its business sufficiently experienced and equipped to perform such functions.

⁶⁵ <https://www.fscaconsumered.co.za/Resources/Publication%20Documents/Collective%20Investment%20Schemes.pdf>

⁶⁶ https://www.gov.za/sites/default/files/gcis_document/201409/a45-020.pdf

⁶⁷ Government Gazette, 13 December 2002, No. 24182

⁶⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 70

The Registrar may also revoke or suspend any registration if at any time after registration, the Registrar is not satisfied that the trustee or custodian meet the requirements contained in paragraphs (i) and (ii). The Registrar must, before revoking or suspending a registration, notify the trustee or custodian concerned of the grounds upon which such revocation or suspension is based. The Registrar must give the trustee or custodian a reasonable opportunity to provide reasons why the proposed revocation or suspension should not be taken. The trustee or custodian has the right to present its case verbally to the registrar and in doing so to be represented by any other person.

Any person who contravenes the provisions of Section 69 is guilty of an offence and liable on conviction to a fine or to imprisonment for a period not exceeding one (1) year or to both a fine and such imprisonment.

2.2 Duties of trustee^{69,70,71}

Section 70 of CISC prescribes the following duties that a trustee or custodian must perform:

- a) Ensure that the basis on which the sale, issue, repurchase or cancellation, as the case may be, of participatory interests effected by or on behalf of a collective investment scheme, is carried out in accordance with this Act and the deed;
- b) Ensure that the selling or repurchase price of participatory interests is calculated in accordance with this Act and the deed;
- c) Carry out the instructions of the manager unless they are inconsistent with this Act or the deed;
- d) Verify that transactions are performed and settled within industry acceptable time limits;
- e) Verify that the income accruals of a portfolio are applied in accordance with this Act and the deed;
- f) Enquire into and prepare a report on the administration of the collective investment scheme by the manager during each annual accounting period, in which it must be stated whether the collective investment scheme has been administered in accordance with —
 - i. the limitations imposed on the investment and borrowing powers of the manager by this Act; and
 - ii. the provisions of this Act and the deed;
- g) If the manager does not comply with the limitations and provisions referred to in paragraph (f) (i) or (ii), state the reason for the non-compliance and outline the steps taken by the manager to rectify the situation;
- h) Send the report referred to in paragraph (f) to the Registrar and to the manager in good time to enable the manager to include a copy of the report in his annual report;
- i) Ensure that —
 - iii. there is a legal separation of assets held under custody and that the legal entitlement of investors to such assets is assured;
 - iv. appropriate internal control systems are maintained and that records clearly identify the nature and value of all assets under custody, the ownership of each asset and the place where documents of title about each asset are kept.

⁶⁹ https://www.gov.za/sites/default/files/gcis_document/201409/a45-020.pdf

⁷⁰ Government Gazette, 13 December 2002, No. 24182

⁷¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 71

The Registrar may, in terms of section 21 of CISCA, declare certain practices undesirable. A trustee or custodian must report to the manager any irregularity or undesirable practice, whether declared in terms of Section 21 or not, concerning the collective investment scheme of which the trustee or custodian becomes aware and if steps to rectify the irregularity or practice in question are not taken to the satisfaction of the trustee or custodian, it just as soon as possible report such irregularity or undesirable practice to the Registrar.

The trustee or custodian must satisfy itself that every income statement, balance sheet or other return prepared by the manager in terms of Section 90 fairly represent the assets and liabilities, as well as the income and distribution of income, of every portfolio of the collective investment scheme administered by the manager.

At the request of the trustee or custodian, every director or employee of the manager must submit to the trustee or custodian any book or document or information relating to the administration by the manager of its collective investment scheme which is in his or her possession or at his or her disposal, and which the trustee or custodian may consider necessary to perform its functions.

Section 70 also prohibits a person from interfering with the performance by a trustee or custodian of its functions. Any trustee or custodian of a collective investment scheme that fails to perform any of its duties is guilty of an offence.

2.3 False and influential information⁷²

1. It is a criminal offence to make any false or misleading statement which is likely to:
 - induce others to purchase or deal in a participatory interest;
 - inflate, or depress, or maintain the price of a participatory interest.⁷³
2. It is also an offence to disseminate any false or misleading information likely to do the same thing.⁷⁴
3. You may not publish or circulate any written comment which may influence the value of any participatory interest unless it is accompanied by:
 - the name of the person who compiled the comment or who the editor (of the newspaper or periodical, if applicable) regards as having compiled it; or
 - disclosure of the source from which the comment was obtained; or
 - disclosure of the information on which it was based.
 - It is a criminal offence to contravene this prohibition.⁷⁵

2.4 Auditors^{76,77,78}

1. Independent auditors must be appointed by a manager to audit the whole of the business of a scheme it administers.⁷⁹ That auditor has several obligations set out in the Act, and he commits a criminal offence if he fails to perform any of these duties.⁸⁰

⁷² <https://lawfulliving.co.za/book/text/financial-services--collective-investment-schemes.html>

⁷³ Section 106 read with section 115.

⁷⁴ Section 107 read with section 115.

⁷⁵ Section 110 read with section 115.

⁷⁶ <https://lawfulliving.co.za/book/text/financial-services--collective-investment-schemes.html>

⁷⁷ https://www.gov.za/sites/default/files/gcis_document/201409/a45-020.pdf,

⁷⁸ Government Gazette, 13 December 2002, No. 24182

⁷⁹ See Section 73(1) of the Act.

⁸⁰ Section 74(6) and section 75(3).

2.5 General

1. Any person who fails to comply with any notification, direction or ruling given in terms of the Act commits an offence.⁸¹
2. There are several fairly esoteric provisions regarding the sale of participatory interests and where there is insufficient liquidity in a portfolio. The Act makes it an offence to contravene their prohibitions.⁸²

KO3: Registrar^{83,84}

Section 7 of CISCA appoints the executive officer and deputy executive officer of the Financial Sector Conduct Authority ("FSCA") as the Registrar and Deputy Registrar of CISs. CISCA further empowers the Registrar to:

- investigate the business of any person;
- request any person to provide the Registrar with information, documents or records about that person's business;
- appear in person before the Registrar at a date and time determined by the Registrar where the Registrar has reason to believe that the person is contravening or failing to comply with CISCA.

In terms of Section 15 of CISCA, the Registrar, after having conducted an investigation, where the Registrar believes that the interest of investors in the CIS or the interests of members of the public require, may:⁸⁵

- a) apply to the court under Section 346 of the Companies Act, 1973 (Act No. 61 of 1973), for the winding-up of a manager or a CIS as if he or she were a creditor thereof;
- b) apply to the court under Section 427 (2) of the Companies Act, 1973, for a judicial management order in respect of a manager or of a CIS as if he or she were a creditor thereof;
- c) apply to the court under Section 5 of the Financial Institutions (Protection of Funds) Act, 2001 (Act No. 28 of 2001), for the appointment of a curator for the business of the manager or the business of a portfolio;
- d) require a manager to appoint, by the Registrar's directions, in place of the serving trustee or custodian, a competent person nominated by the Registrar;
- e) require a manager to take steps, in accordance with the Registrar's directions and the provisions of Section 102, for the winding-up of a portfolio of its CIS, and for the realisation of the assets and the distribution of the nett proceeds thereof, together with any income accruals or other moneys available for distribution among the investors in proportion to their respective participatory interests;
- f) direct a manager or trustee or custodian to take any steps, or to refrain from performing or continuing to perform any act, in order to terminate or remedy any irregularity or undesirable practice or state of affairs disclosed by an investigation or inspection: Provided that the Registrar may not make an order contemplated in Section 6D (2) (b) of the Financial Institutions (Protection of Funds) Act, 2001 (Act No. 28 of 2001).
- g) direct a manager to withdraw from the administration of a collective investment scheme, whereupon the trustee or custodian must act in accordance with the registrar's directions but

⁸¹ Section 115(c).

⁸² Section 94-96 read with section 115.

⁸³ Government Gazette, 13 December 2002, No. 24182

⁸⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 73

⁸⁵ Government Gazette, 13 December 2002, No. 24182

subject to this Act arrange for another manager to take over the administration of the collective investment scheme; or

- h) if a person administers a collective investment scheme in contravention of this Act, apply to the court to have the CIS wound up, in which case the court may make any order it considers appropriate for the winding-up of the CIS.

Any person who refuses or fails to comply with a request or direction referred to in paragraphs (d), (e), (f) or (g) above is guilty of an offence and on conviction liable to a fine or to imprisonment for a period not exceeding one year or to both a fine and such imprisonment.

The Registrar may also oppose any application in terms of the Companies Act, 1973 (Act No. 61 of 1973), for —

- a) the winding-up of a manager;
- b) a judicial management order in respect of a manager; or
- c) the winding-up of a portfolio of a collective investment scheme in terms of Section 102 of CISA.

Any person who intends to make an application for the winding-up of a manager, a judicial management order in respect of a manager or the winding-up of a portfolio of a CIS must give timeous notice of such application to the Registrar.

Further powers of the Registrar are:

- the power to request an audit;
- to attend or nominate a subordinate to attend meetings of an Association;
- to request the executive officer of an association to provide the Registrar with documents;
- to declare certain practices irregular and undesirable;
- to issue exemptions from any provision of the Act to any manager or category of persons.

Necessarily the Registrar enjoys expansive powers under CISA. Further provisions of CISA call upon the Registrar to intervene, e.g. appointment of a custodian or trustee.

KO4: ASISA^{86,87}

ASISA was formed in 2008 by members of the Association of Collective Investments (ACI), the Investment Management Association of South Africa (IMASA), the Linked Investment Service Providers Association (LISPA) and the Life Offices' Association (LOA). These associations disbanded and their staff, assets and activities were transferred to ASISA.

This coming together of the four associations marked the beginning of a new chapter for the savings and investment industry.

ASISA operates as a non-profit company and is empowered by a mandate from an industry that manages assets of nearly R7.7 trillion and is therefore considered a formidable partner around Government's negotiation table where we proactively engage on policy, regulatory and issues of common concern.

ASISA's strategic purpose and mandate are to continue to strengthen relationships with key stakeholders and to remain a trusted partner to these stakeholders in the financial services industry.

⁸⁶ <https://www.asisa.org.za/>

⁸⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 75

While it is ASISA's role to ensure that the key contributions by ASISA members to support the nation's savings, development and transformation initiatives are valued and recognised, we have also been tasked with ensuring that as a collective our industry remains relevant and sustainable.

ASISA's website www.asisa.org.za has as its introductory page the following paragraphs:

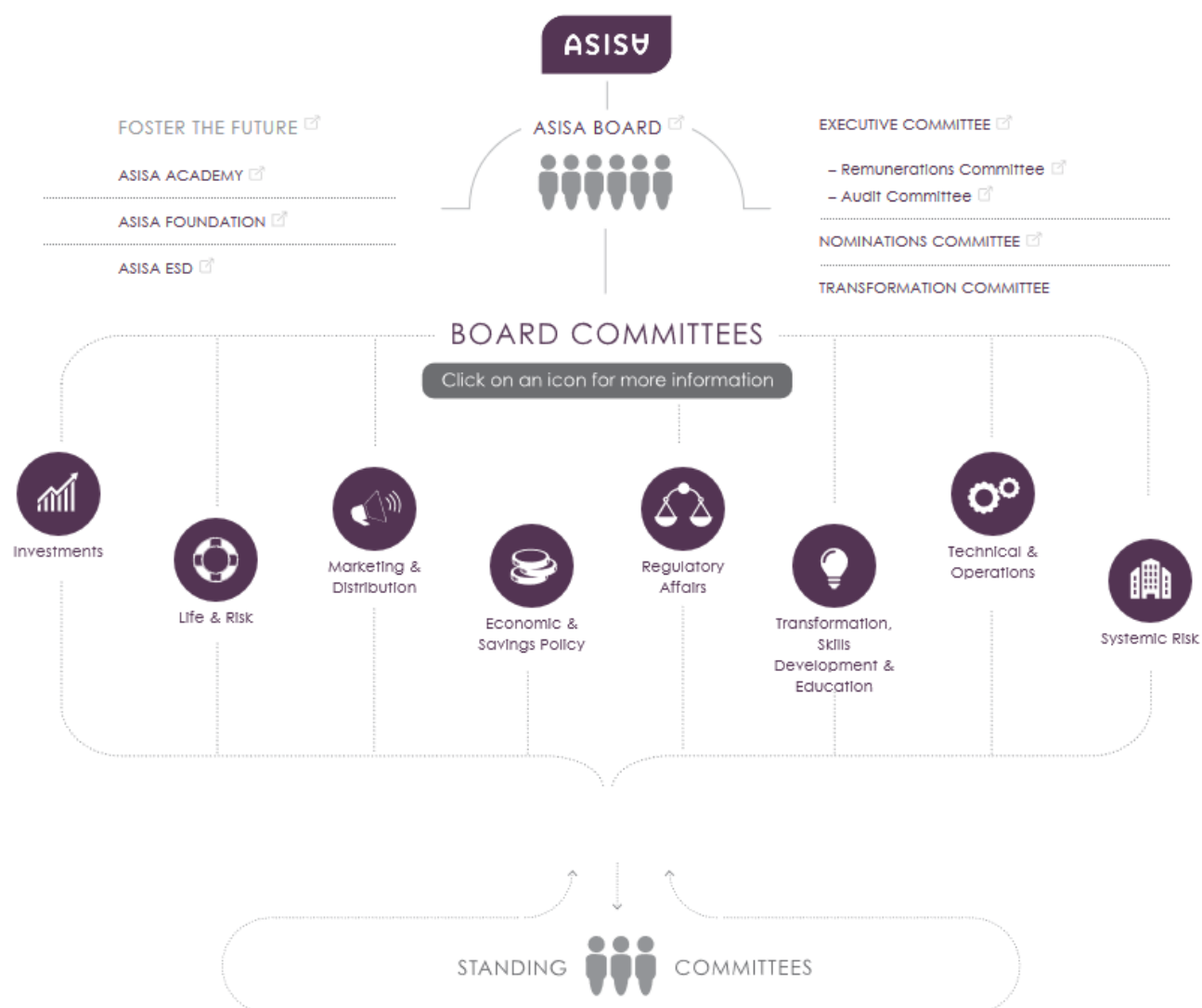
"ASISA represents the majority of South Africa's asset managers, collective investment scheme management companies, linked investment service providers, multi-managers, and life insurance companies.

United by one representative body for the first time, the members of ASISA have mandated this new association to pro-actively engage with the policymaker and regulator, as well as intermediaries and consumers on regulatory and other relevant issues of common concern.

ASISA will be an active participant in creating an environment that promotes equal opportunities for its members through holistic legislation, while at the same time looking after the interests of consumers and ensuring the sustainability of the industries we represent and the intermediaries who promote us."

It is evident from the above paragraph that ASISA has as its focus the self-regulation of its members, protection of consumers and interaction with relevant regulators for the common interests of the industry and consumers.

In order to accomplish its goals, ASISA has established structures to manage and do the work required to regulate and interact in a meaningful manner. The ASISA structure looks as follows:



KO5: LISP's (Administrative FSP)^{88, 89}

A Linked Investment Service Provider (LISP) is an independent administration company that offers investors access to collective investment schemes (or unit trusts) across several different management companies. One could use a LISP to invest proceeds in one of the following, although each would have different tax implications and fund restrictions:

- a unit trust investment;
- an endowment policy;
- a living annuity;
- a retirement annuity.

It is important to note that a LISP acts purely as an administrator and does not manage the fund assets, nor does it provide investment advice.

This discounted administrative fee model was, to a greater extent, negated by the costs charged by the LISP. These entities were created in terms of the conditions approved in terms of the Stock Exchanges Control Act of 1985 and the Financial Markets Control Act of 1989. The Financial Markets Control Act and the Stock Exchanges Control Act have since been repealed, and the registration of new LISPs is not possible.

In order to accommodate the needs of investors still wanting to access investments through this type of structure, provision has been made in FAIS for a similar structure. Section 1 of the Financial Advisory and Intermediary Service Act, 37 of 2002 ("FAIS"), defines a "financial service" as:

"any service contemplated in paragraph (a), (b) or (c) of the definition of 'financial services provider', including any **category** of such services;"

FAIS goes further in Section 8(4)(ii) to authorise the Registrar of Financial Services Providers and Representatives to issue the "applicant" with a licence for:

"the category of financial services which the applicant could appropriately render or wishes to render;"

FAIS, therefore, makes provision for a category of financial services providers ("FSPs"). One of these categories is the Administrative FSP or Category III FSP. This FSP has taken over the role of LISPs in the linked investment universe.

Benefits:

- Easy to understand investment solutions
- Eliminates the burden of buying unit trusts from different companies
- Available for discretionary investments as well as retirement funds
- Wide range of investment options
- No penalties relating to stopping your contributions (if there is a regular one being made as opposed to a lump sum)
- The investor is responsible for any income tax payable as well as CGT when a withdrawal is made from a fund
- Consolidated investment reporting
- Provides a single view of your investment portfolio

⁸⁸ <https://www.pwharvey.co.za/2019/01/07/what-is-a-linked-investment-service-provider-lisp/>

⁸⁹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes., pg 71

- 3 LISP fees:
 1. Platform (Admin)
 2. Independent adviser (Broker)
 3. Unity Trust Fund (Manager)
- Flexible investment terms
- There are no guarantees (unless money market funds are used)
- Unit Trust Funds are classified between “low risk, and aggressive” and the ones used would depend on the client’s risk profile (Rating 1 to 5)
- Often provide funds at reduced costs compared to stand-alone funds
- Facilitates switching between funds
- 24-hour access to statements, valuations and transactional history
- A dedicated service team
- Funds are available within 7 working days should a withdrawal be necessary

An Endowment has several similar features but differs from a LISP as a result of the following:

- Choosing to use an endowment should be based on tax and estate planning reasons (not for investment reasons).
- The proceeds from an endowment are paid out after the administrator has already withheld income and capital gains tax (deducted during the term) — income tax at 30% and CGT at a rate of 12%.
- Investing a family trust’s money in an endowment makes sense as we can reduce the income tax rate from 45% to 30% and the rate of CGT from 40% to 12%.
- Traditionally, an endowment is a long-term investment (minimum term 5 years).
- There are limited withdrawal opportunities during the first 5 years, although a client is entitled to capital plus 5% at any stage during the term.
- A beneficiary may be appointed on an endowment thereby ensuring speedy transfer of Funds as well as executors’ fees saving on the death of the contracting party.
- An endowment can also be used as security and may be ceded to a financial institution for this purpose

Summary

CIS Manager (Management Company)⁹⁰

No person may administer a CIS unless registered as a manager with the Registrar or unless exempted from having to comply with CISC. Section 42 prescribes that a person wanting to administer a CIS in securities must be a registered company.

Trustee/custodian⁹¹

Section 68 of CISC stipulates that a manager must appoint a trustee or custodian for its CIS. The appointment of a trustee or custodian by the manager is dependent on the nature of the CIS, i.e. is it a unit trust or is it an open-ended investment company?

Requirements for trustee^{92,93,94}

As stated above, any custodian or trustee appointed to a CIS must comply with the qualification and registration requirements as stipulated in Section 69.

Duties of the trustee^{95, 96}

Section 70 of CISC prescribes the following duties that a trustee or custodian must perform

Section 70 also prohibits a person from interfering with the performance by a trustee or custodian of its functions. Any trustee or custodian of a collective investment scheme that fails to perform any of its duties is guilty of an offence.

Registrar⁹⁷

Section 7 of CISC appoints the executive officer and deputy executive officer of the Financial Sector Conduct Authority ("FSCA") as the Registrar and Deputy Registrar of CISs.

ASISA⁹⁸

ASISA was formed in 2008 by members of the Association of Collective Investments (ACI), the Investment Management Association of South Africa (IMASA), the Linked Investment Service Providers Association (LISPA) and the Life Offices' Association (LOA). These associations disbanded and their staff, assets and activities were transferred to ASISA.

LISP's (Administrative FSP)⁹⁹

A Linked Investment Service Provider (LISP) is an independent administration company that offers investors access to collective investment schemes (or unit trusts) across several different management companies.

⁹⁰ <https://lawfulliving.co.za/book/text/financial-services--collective-investment-schemes.html>

⁹¹ <https://lawfulliving.co.za/book/text/financial-services--collective-investment-schemes.html>

⁹² <https://www.fscacconsumered.co.za/Resources/Publication%20Documents/Collective%20Investment%20Schemes.pdf>

⁹³ https://www.gov.za/sites/default/files/gcis_document/201409/a45-020.pdf

⁹⁴ Government Gazette, 13 December 2002, No. 24182

⁹⁵ https://www.gov.za/sites/default/files/gcis_document/201409/a45-020.pdf

⁹⁶ Government Gazette, 13 December 2002, No. 24182

⁹⁷ Government Gazette, 13 December 2002, No. 24182

⁹⁸ <https://www.asisa.org.za/>

⁹⁹ <https://www.pwharvey.co.za/2019/01/07/what-is-a-linked-investment-service-provider-lisp/>

Unit 4

The structure and management of collective investment schemes



Structure and management of Collective Investment Schemes.



It is essential to understand the structure of a CIS as well as the different types of CISs. It is also essential to understand the different investment philosophies applied by some managers.



You will need to achieve the following:

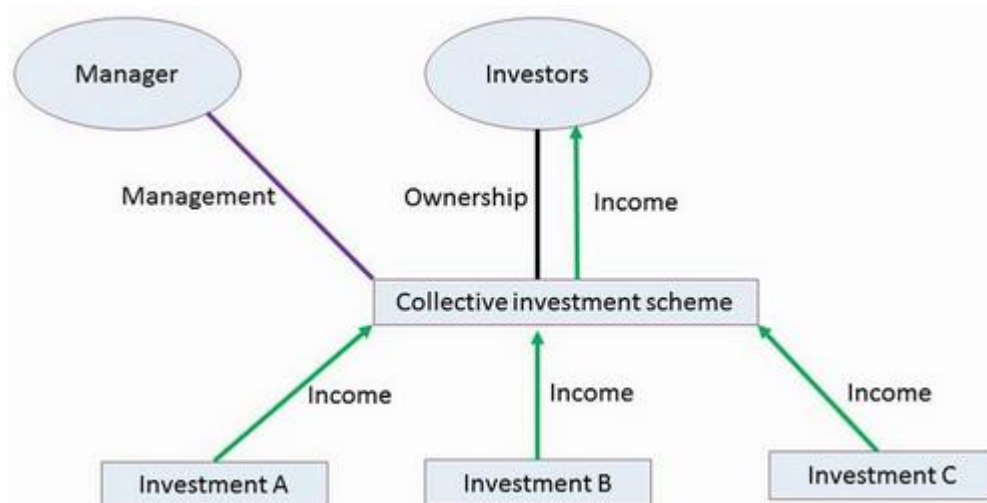
- Describe the structure of a Collective Investment Scheme;
- Demonstrating knowledge and understanding the financial markets and instruments used in portfolios of collective investment schemes;
- Describe the unique characteristics of a collective investment scheme, including but not limited to:
 - Transparency;
 - Affordability;
 - Tax Effectiveness;
 - Liquidity.
- Differentiate between the different types of CIS portfolios;
- Explaining the techniques and practices used by portfolio/ fund managers;
- Evaluating the effectiveness of the management of a portfolio.



- Describe the different types of collective investments and explain the differences to the client in plain language and per the client's existing knowledge in order to assist the client make an appropriate investment decision.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za



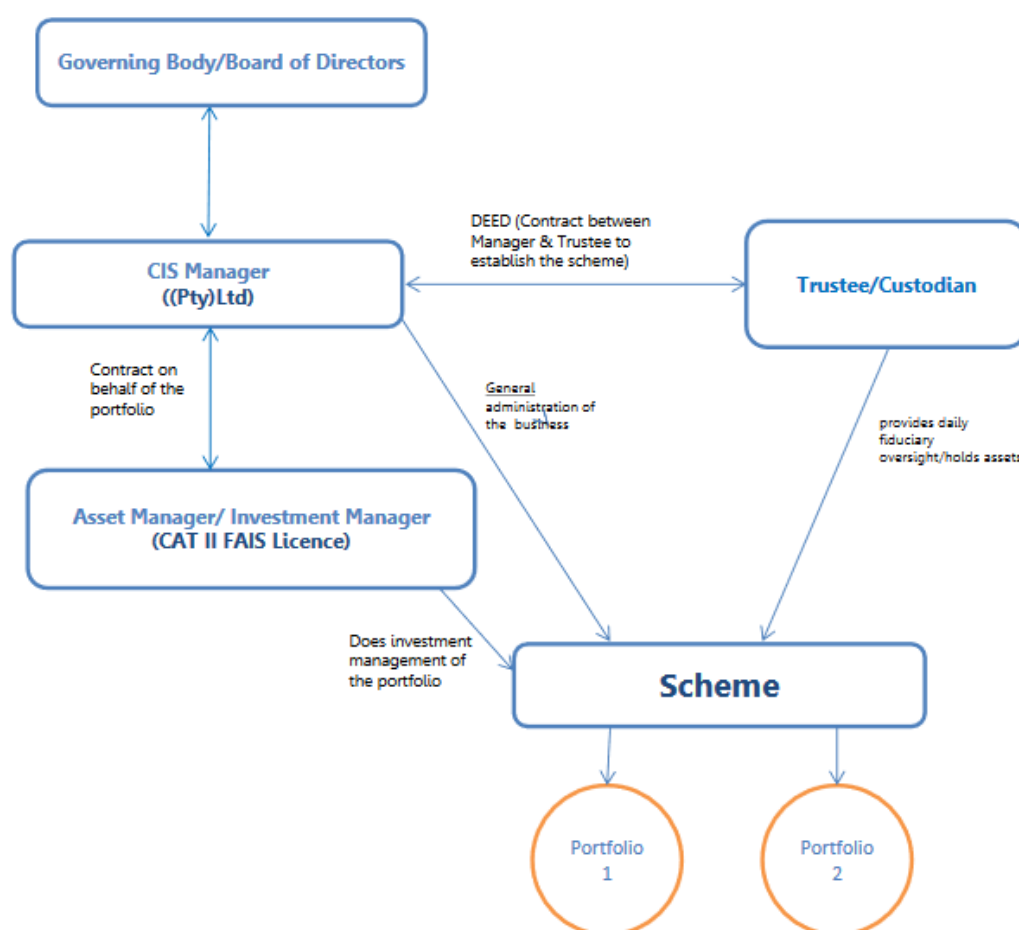
Purpose

There are currently more than 1,400 collective investment schemes or unit trusts in our South African market. It not only makes it highly competitive but also very challenging to separate the good from the bad and the great from the good. Some financial advisors, therefore, make use of discretionary fund managers (*or multi-managers*) to assist them with the asset allocation and fund manager selection of investment portfolios for their clients. We will discuss the structure of a CIS as well as the different types of CISs. We also deal with the different investment philosophies applied by some managers.

KO1: The structure of a Collective Investment Scheme.

The various forms that a CIS can assume, determine the structure of the CIS. The most common CIS form is a trust structure, but CISCA also makes provision for an open-ended investment company. The trust structure consists of the following role-players:

Current Collective Investment Schemes in Securities Structure¹⁰⁰



You will note that the Registrar regulates the CIS manager and the trustee. In turn, the trustee monitors the manager for compliance with CISCA and subordinate legislation. The manager and the trustee agree to form a trust (trust agreement). The trustee/custodian is also the registered holder of the assets in the portfolios. CIS managers often appoint an asset manager who has specific experience in a particular sector to manage the investments in the portfolio. Investors invest in the portfolio and not "into" the manager.

¹⁰⁰ http://www.treasury.gov.za/comm_media/press/2014/20140210%20Annexure%20B.%20Hedge%20Funds%20Structures.pdf

On 21 September 2010, General Notice 910 ("GN 910")¹⁰¹ was published. GN 910 prescribed specific fit and proper requirements that have to be satisfied by the Manager. These requirements are:¹⁰²

- Requirements relating to the Board composition;
- Fit and Proper requirements for the directors of the Manager;
- Operational requirements that the Manager has to satisfy;
- Management and supervision requirements that the Manager needs to maintain;
- Requirements related to internal policies and procedures, including risk management and the periodic evaluation of these procedures;
- Complaints resolution.

KO2: The financial markets and instruments used in portfolios of collective investment schemes

2.1 Different types of CIS

2.1.1 Collective Investment Schemes¹⁰³

The most common CIS structure in South Africa is the trust structure. The primary reason for this trend is that the predecessor to CISCA was the Unit Trust Control Act of 1981. It is evident from the name that the latter Act regulated unit trust funds. These structures remain popular collective investment structures in the South African investment arena. CISCA defines a CIS as follows:

"Collective investment scheme" means a scheme, in whatever form, including an open-ended investment company, in pursuance of which members of the public are invited or permitted to invest money or other assets in a portfolio, and in terms of which —

- a) two or more investors contribute money or other assets to and hold a participatory interest in a portfolio of the scheme through shares, units or any other form of participatory interest; and
- b) the investors share the risk and the benefit of investment in proportion to their participatory interest in a portfolio of a scheme or on any other basis determined in the deed, but not a collective investment scheme authorised by any other Act."

This definition is wide enough to encompass the unit trust structure but also allows for various other formats, e.g. OEICs and participatory bonds.

2.1.2 Open-ended investment companies (OEICs)¹⁰⁴

You will note from the definition of a CIS that provision is made for open-ended investment companies. This type of structure has not gained traction in the South African investment industry. An open-ended investment company or OEIC (as it is commonly referred to) is defined in CISCA as:

"'open-ended investment company' means a company with an authorised share capital, which is structured in such a manner that it provides for the issuing of different classes of shares to investors, each class of share representing a separate portfolio with the distinct investment policy."

¹⁰¹ <https://www.gov.za/sites/default/files/30102f.pdf>

¹⁰² <https://www.fsca.co.za/Notices/Notice%20910%20of%202010.pdf>

¹⁰³ <https://www.gov.za/documents/collective-investment-schemes-control-act>

¹⁰⁴ <https://www.psg.co.za/support/tutorials/introduction-to-collective-investments#Which-types-of-unit-trusts-are-designed-for-different-types-of-investors?>

OEICs are registered companies that issue investors with shares as opposed to units issued by unit trust funds (that were registered as trusts).

2.1.3 Participatory bonds^{105,106}

Section 52 of CISC defines CISs in participation bonds as follows:

“Collective investment scheme in participation bonds’ means a scheme of which the portfolio, subject to the provisions of this Act, consists mainly of assets in the form of participation bonds, and in pursuance of which members of the public are invited or permitted to acquire a participatory interest in all the participation bonds included in the scheme;”

where participation bonds are defined as:

“participation bond’ means a mortgage bond over the immovable property—

- a) which is described as a participation bond and is registered as such in the name of a nominee company and is included in a collective investment scheme in participation bonds; and
- b) which is a first mortgage bond, or which ranks equally with another first participation bond and has the same mortgagor.”

It is evident from these definitions that a CIS in participation bonds is a CIS portfolio that primarily invests in participation bonds. Participation bonds are mortgage bonds over immovable property. In terms of this structure, the investors invest with a nominee company who in turn provides mortgage bonds over the immovable property. This mortgage bond is a participation bond that the nominee company holds on behalf of the investors. Similar to the case of unit trust funds, investors in participation bond CISs own a participatory interest in the portfolio commensurate with their investment in the portfolio.

2.1.4 Collective investment schemes in property^{107,108}

Section 47(1) of CISC defines a CIS in property as a portfolio that consists of property shares, immovable property, and assets determined under Subsection (2) or any investment permitted under Section 49.

Subsection (2) merely grants the Registrar the discretion to include any assets in these types of portfolios, i.e. the Registrar can hold that a CIS in property can include assets other than those referred to in the definition of a CIS in its portfolio.

Section 49 of CISC stipulates that a manager may invest in participatory interests of a foreign CIS in property provided that such foreign country has been allocated a sovereign rating by a rating agency provided that the Registrar determines the rating and rating agency. Where the foreign country has been rated by more than one rating agency, then the lowest rating will apply.

These portfolios invest primarily in fixed property and fixed property-related securities. Domestic CISs in the property must be listed on an exchange.

It is essential to distinguish between a property equity CIS and a true CIS in the property. The former is simply a CIS with investment based on its mandate to be predominantly in property shares listed on a stock exchange. By investing in a CIS in property (they are also referred to as “Property Unit Trust” or “PUTS”), the investor is in effect buying participatory interests in a range of property held by the CIS. Previously PUTS were not able to own property directly and were

¹⁰⁵ <https://www.gov.za/documents/collective-investment-schemes-control-act>

¹⁰⁶ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 127

¹⁰⁷ <https://www.gov.za/documents/collective-investment-schemes-control-act>

¹⁰⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 128

required to operate through fixed property companies; this has now been made possible with CISCA. By holding the property directly, the PUT is not subject to CGT on the sale of the property.

Another essential feature of a PUT is that they are closed-ended investment vehicles. In other words, the number of participatory interests or units remains constant. The effect of this is that the investor can buy only if another investor is willing to sell his units. A further result of the fact that the PUT is closed-ended is that there is no obligation on the Manager to repurchase the units from the investor, making this form of CIS less liquid.

2.2 Types of CIS Portfolios¹⁰⁹

The ASISA Standard on Fund Classification for South African Regulated Collective Investment Portfolios ("ASISA Fund Classification Standard") establishes and maintains a classification system for CIS portfolios in South Africa.

The objectives of the ASISA Fund Classification Standard are to –

- Promote investor awareness and understanding of CIS portfolio types;
 - Assist with the comparison of CIS portfolios within and across classification categories; and
 - Assist with the assessment of potential risks of investing in a particular type of CIS portfolio;
- Below, please find descriptions of some of the portfolios dealt with in the Code.

2.2.1 Equity portfolios¹¹⁰

Equity portfolios (and you will note that there are several classes) are portfolios that primarily invest in equities. In most instances, these equities are listed on an exchange. Equities fluctuate in line with market movements, and therefore, the value of the participatory interests in the portfolio fluctuates in line with the underlying asset values. This portfolio would retain a portion of cash or near-cash investments to cater for the redemption of units.

2.2.2 Income portfolios¹¹¹

Risk managed solutions include portfolios that are designed to have a growth orientation, while at the same time manage risk. These portfolios, typically, utilise derivative protection strategies as well as features which are made available by the Insurer's balance sheet, such as return smoothing, to protect the portfolio and reduce volatility. This subclass of the portfolio falls within the Fixed Interest class of portfolios. These portfolios invest in bonds, fixed deposits and other interest-earning securities, which have a fixed maturity date, and either has a predetermined cash flow profile or are linked to benchmark yields, excluding any equities. To provide relative capital stability, the average modified duration of the underlying assets is limited to a maximum of two years. These portfolios are less volatile and are characterised by a regular and high level of income.

2.2.3 Bond portfolios¹¹²

This subclass of the portfolio also falls within the Fixed Interest class of portfolios. These portfolios invest in bonds, fixed deposits and other interest-bearing securities. These portfolios may invest in short, intermediate and long-dated securities. The composition of the underlying investments is actively managed and will change over time to reflect the manager's assessment of interest rate trends. These portfolios offer the potential for capital growth, together with a regular and high level of income.

¹⁰⁹ <https://www.asisa.org.za/>

¹¹⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 130

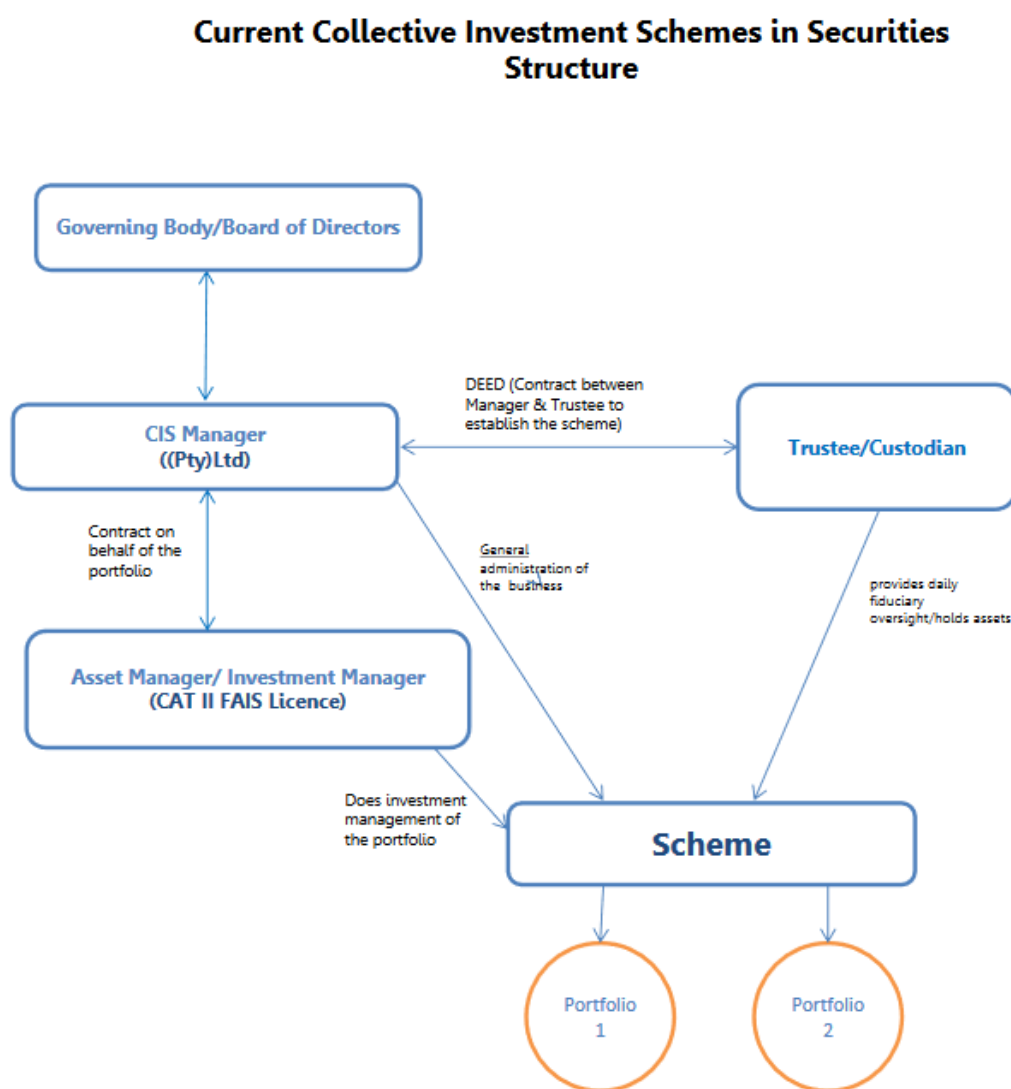
¹¹¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 131

¹¹² Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 131

2.2.4 Hedge funds¹¹³

From 1 April 2015 hedge funds became collective investments schemes and are now regulated by the Collective Investment Schemes Control Act 2002 (CISCA) and the newly published [“Determination on the requirements for hedge funds” published in Board Notice 52 of 2015](#) by the FSB on 6 March 2015 (as amended) (HF Regulations). Hedge funds are defined so that most existing South African hedge funds, whether formed as trusts, *en commandite* partnerships or otherwise, are caught by this new regime.

Current Collective Investment Schemes in Securities Structure¹¹⁴



Unlike the portfolios mentioned above, Hedge funds are not portfolios that are classified in terms of the underlying asset classes. Hedge funds are portfolios, where the investment manager employs the strategy of hedging to gain maximum profit. This strategy (you will note from the formal definition below) means that the portfolio could lose more value than its aggregate market value at the time of hedging.

The hedge fund manager usually invests in derivative instruments. A derivative instrument is one that derives its value from another asset; in itself, it has no value. Fund managers use derivatives for two main reasons:

¹¹³ “Determination on the requirements for hedge funds” published in Board Notice 52 of 2015

¹¹⁴ http://www.treasury.gov.za/comm_media/press/2014/20140210%20Annexure%20B.%20Hedge%20Funds%20Structures.pdf

1. They allow the hedge fund managers to make gains even in a declining market;
2. They allow the hedge fund managers to hedge their positions, in other words, to reduce a specific risk by taking an opposite position in another market.

The investment manager of a CIS portfolio is limited in the use of derivative instruments and can use them only for hedging purposes and not speculatively.

You will note from these definitions that the distinguishing factor between a hedge fund and another portfolio relates to the investment strategy employed by the manager as opposed to the class of assets held in the portfolio.

Hedge funds are a popular form of collective investment scheme in most developed countries. Hedge funds typically use leveraged strategies, including net short positions, to make profits. These strategies, which often involve derivatives (such as futures and options) mean that a hedge fund can suffer losses more significant than its aggregate market value. Most hedge funds are structured in such a way, however, that investors are protected from losses that exceed their capital investment. A well-run hedge fund should, in theory, be less risky than an equity fund. A key feature of hedge funds is that they are the only mainstream investment vehicles able to generate positive returns when markets are falling.

Globally, the hedge fund industry is a force to be reckoned with. According to CMMmoney.com, there were just over 7 600 hedge funds worldwide at the industry's pre-crash peak in 2007. The industry lost ground due to the crash of October 2008 - by the end of 2009, the number of hedge funds had dropped to around 6 800.

In 2010, however, the sector showed renewed growth - almost 1 000 new funds were launched, and industry assets climbed to US\$1.67 trillion, not far off the 2007 peak of US\$1.93 trillion.

Research firm HER put the value of the global fund industry at over US\$3 trillion at the end of 2016. Over 15 000 hedge funds run by over 6 000 fund managers are available to global investors. The local hedge fund industry, according to the annual Novare hedge fund survey, had just under R70bn in assets under management in June 2016. There are over a hundred hedge funds run by some fifty asset managers available in South Africa.

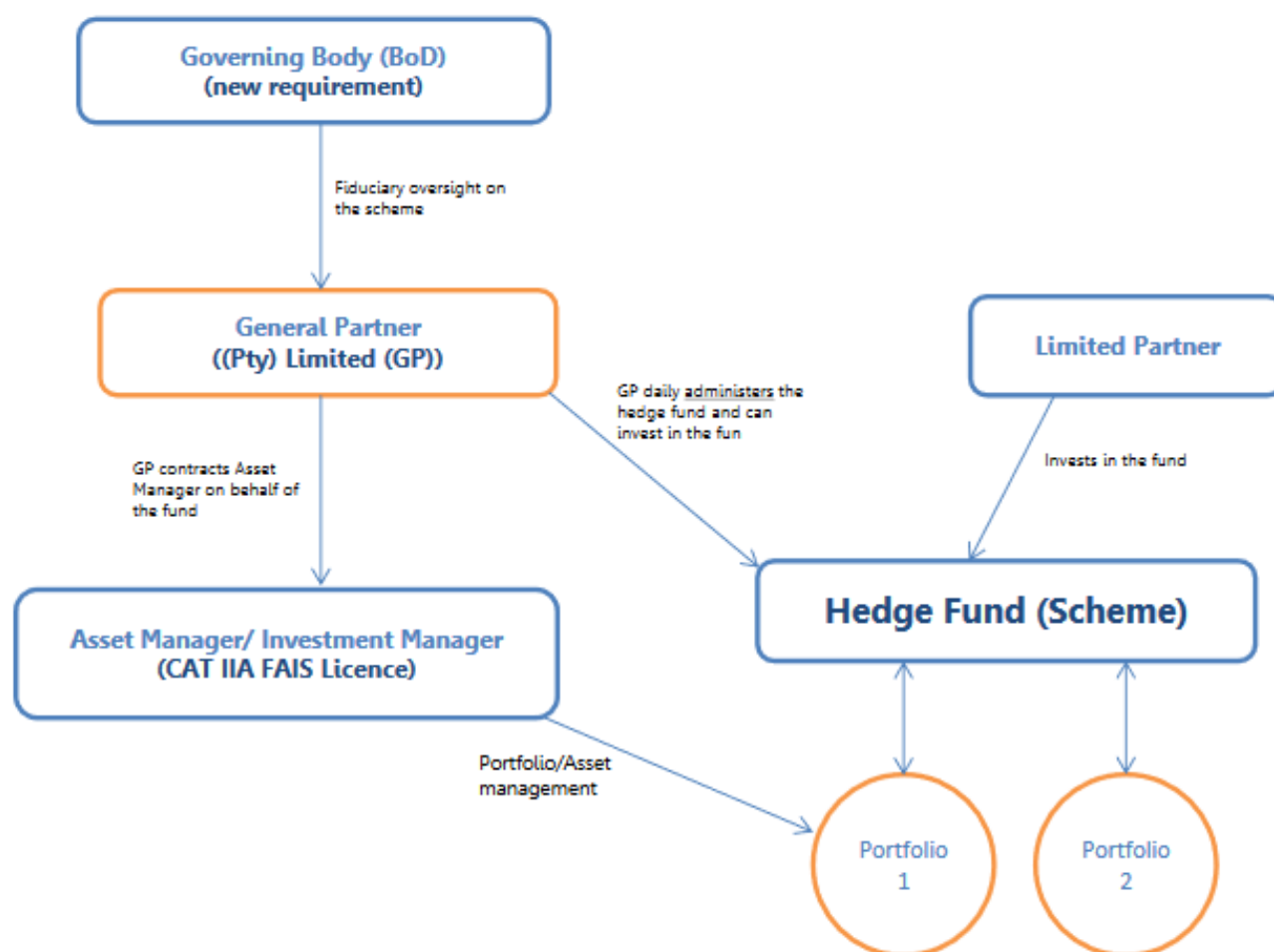
Regulations Governing Hedge Funds¹¹⁵

In South Africa, hedge funds have been an unofficial part of the collective investments landscape for many years. It is only recently, however, that hedge funds have been pulled under the umbrella of CISCA (the Collective Investment Schemes Control Act). Up until 2015, hedge fund managers were licensed and regulated by the FSCA in terms of FAIS but not under CISCA. They contractually agreed on the terms of investment with their investment mandate. Under the new rules, many conditions of investment are regulated and cannot be varied by the manager. These include repurchase obligations, valuation and pricing requirements, and disclosure and reporting requirements.

Hedge funds were officially classified as collective investment schemes from 1 April 2015 (Government Notice 141 of 2015). Established hedge funds that accepted money from the public had until the end of September 2015 to lodge applications for registration with the FSCA (Financial Sector Conduct Authority). An amendment to existing regulations has created a new investment scheme category for hedge funds. It means that the rules governing hedge funds are not always the same as those which apply to unit trusts.

FSCA Board Notice 52 of 2015, published by the Registrar of Collective Investment Schemes 6 March 2015, set out various requirements with which hedge had to comply before 31 March 2016 (or within 12 months of registration).

¹¹⁵ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

Hedge Fund Partnership Structure¹¹⁶

Note: When FAIS Cat IIA is a General Partner, it must also register as a CIS Manager in terms of CISCA.

Popular Hedge Fund Strategies Summarised¹¹⁷

Long/Short Equity: Buying equities expected to rise and shorting equities expected to fall, both to profit from contra-correlated sectors and to protect the funds against downside risks.

Equity Market Neutral: These strategies strive for low beta while exploiting pricing asymmetries between negatively correlated assets.

The event is Driven: Taking positions around significant corporate events like unbundling's, mergers, acquisitions, bankruptcies, rights issues and share buybacks.

Fixed Income: These are strategies that either take positions on the yield curve or arbitrage price discrepancies in interest-bearing instruments.

Multi-Strategy: Hedge funds that switch strategies and rapidly reallocate capital depending on market conditions and available opportunities.

Volatility Arbitrage: A strategy that exploits differences in actual and implied volatilities across options on a range of financial instruments.

Commodity: Any strategy focussed on the commodities markets which use the wide range of derivatives available on physical goods like agricultural products, metals and oil.

¹¹⁶ http://www.treasury.gov.za/comm_media/press/2014/20140210%20Annexure%20B.%20Hedge%20Funds%20Structures.pdf

¹¹⁷ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

For existing funds, especially those targeting retail investors, the progression to being registered under CISCA involves several steps: application, FSCA approval, conversion of the existing fund (none, historically, did daily pricing), registration, and finally the formal launching of 'the reconfigured fund'. The first two hedge funds approved under the new regulations by the FSCA *were* launched on 1 February 2016.

Types of Hedge Funds¹¹⁸

The new regulations allow for two types of hedge funds: restricted (or "qualified") and retail. **Qualified funds** are aimed at the well-heeled and well-informed: a qualified investor must deposit at least R1 million into the restricted hedge fund and must have an investment track record. **Retail funds**, which are to be more tightly regulated, must, amongst other rules, restrict gearing to 100% of assets and may not invest in property or qualified investor hedge funds.

The new regime provides for two types of hedge funds, namely retail hedge funds (RIFs) and qualified investor hedge funds (QIFs).

Investment requirements	RIFs	QIFs
Who may invest?	Retail Investor Hedge Funds are open to all investors but are more closely regulated. A RIF is a hedge fund in which an ordinary retail investor may invest.	A QIF is a hedge fund in which only a qualified investor may invest.
Minimum investment amount?	There is no minimum investment amount set for RIFs.	The investor must make a minimum investment of R1 million per fund; or The investor who has invested less than R1 million per fund, but was an investor in the QIF before 1 April 2015 is deemed a qualified investor.
Other requirements	None	- The investor must have either: a demonstrable knowledge and experience in financial and business matters which would enable the investor to assess the merits and risks of a hedge fund investment; OR - Has appointed an FSP who has demonstrable knowledge and experience to advise the investor regarding the merits and risks of a hedge fund.
Other duties applicable to QI and RIF funds	- daily valuation and unit pricing - appointment of a custodian - borrowings of no more than 10% of the value of the portfolio for liquidity purposes	- at least monthly valuation and unit pricing. - use of a structure that ensures that investors will not suffer losses over the value of their investments or contractual commitments.

¹¹⁸ <https://www.financialinstitutionslegalsnapshot.com/2015/07/hedge-funds-declared-collective-investment-schemes/>

	• repurchase of units within one <i>month</i> of notice from an investor • restricted leverage (no more than double the value of the portfolio) monthly reporting to the registrar (within 14 days of each month-end)	• setting the level of exposure or value-at-risk for each portfolio of the fund. • repurchase of units within three months of notice from an investor.
Level of regulation	Highly regulated (see part 3 and 4 of the HF Regulations).	Limited regulation (see part 2 and 4 of the HF Regulations).

Similarities and Differences¹¹⁹

As a separate category of collective investments, hedge funds are in some respects subject to different rules. Investors and advisors alike need to be aware of how hedge funds differ from other collective investments. Some of the noteworthy similarities and differences are highlighted below.

- As with other collective investment schemes, investors in retail hedge funds will only risk the capital they invest. It may not always be the case for qualified funds. However, qualified investors need to check their contractual obligations before investing in qualified funds carefully.
- Like other collective investment schemes, retail hedge funds will publish TERs (total expense ratios) and portfolio details.
- For tax purposes, hedge funds will be treated in the same way as equity unit trusts.
- Historically, most hedge funds have not distributed income, but this will change going forward. As with other collective investment schemes, distributions will be taxable in the hands of investors (partly as interest and partly as dividends, depending on the instruments held by the fund).
- Nearly all hedge funds charge high uncapped performance fees - usually 20% of outperformance. It is over and above the 1% or 2% annual fee (referred to as a 1/20 or 2/20 fee structure). Very few funds have claw-back provisions (i.e., repayment of performance fees to investors in the event of performance retractions).
- Performance fee hurdles affect the impact of performance fees on an investor's net return. A fund levying performance fees on all positive returns will take a larger share of profits than one using inflation or an interest rate as a fee hurdle.
- Some funds but not others apply the high watermark principle.
- How often the manager collects the performance fee can also impact fund returns. Most funds extract fees quarterly or annually. A minority take performance fees monthly or bi-annually.
- Unlike unit trusts, which typically pay out repurchases within a few days, hedge funds usually require a month's notice from investors for withdrawal of funds.
- Lock-ups (periods during which new investors may not withdraw capital) are relatively uncommon in South Africa but are found amongst the more illiquid strategies used by credit and structured finance funds.
- The risk profiles of hedge funds vary significantly across strategies and are often very different to those of other collective investments - investors and advisors need to be sure they understand the risk implications before investing in hedge funds.

Classification of Hedge Funds¹²⁰

As with other collective investments, the classification of hedge funds for ranking purposes falls to ASISA. As at August 2017, the final details of the classification system were not yet available, but indications are that it will be a separate classification system that mirrors, as far as possible, the three-tier structure used for other collective investment schemes.

¹¹⁹ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹²⁰ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

Hedge funds globally are typically categorised according to strategy rather than asset class (although some strategies do presuppose an asset class). The main strategies encompass various methods of exploiting a range of market conditions and characteristics. Long/short funds, for example, combine long positions and short selling to generate alpha and reduce volatility. This strategy represents 60% of hedge funds assets under management in South Africa, according to the Novare Hedge Fund Survey. Other strategies include equity market neutral, volatility arbitrage, commodities, structured finance and multi-strategy. An event-driven strategy looks to exploit corporate actions like mergers, acquisitions and unbundling. Discretionary macro funds take bets on the direction of currencies, major market indices, commodities and interest rates.

Permitted hedge fund structures¹²¹

The HF Regulations are clear – a manager of a hedge fund, whether the fund is a QIF or a RIF, may only establish a scheme using a collective investment scheme trust arrangement (as contemplated under Cisca) or an *en commandite* partnership (Permitted HF Structures).

Consequently, debenture structures and vesting trust structures will no longer be permitted, and existing structures will have to be migrated across to one of the Permitted HF Structures.

Various practical difficulties relating to the Permitted HF Structures have been raised with the FSB, and we are currently communicating with the FSB to deal with these concerns.

Hedge fund role players¹²²

Hedge fund managers are required to lodge an application for registration as a manager of a scheme per Form MA1 by 30 September 2015.

The appointment of hedge fund role players is dealt with in the HF Regulations. The primary role players are the hedge fund manager and the custodian.

Hedge fund role player	QIF – CIS Trust	QIF – ECP	RIHF – CIS Trust	RIHF – ECP
Hedge fund manager	Must be appointed and registered Governing board to oversee managers' fiduciary duties	Must be appointed and registered Governing board to oversee managers' fiduciary duties General partner must be a manager	Must be appointed and registered	Must be appointed and registered General partner must be a manager
Custodian			Must be appointed	Must be appointed
Independent fund administrator	Appoint one or the other or both	Appoint one or the other or both	Not required – manager can do fund administration	Not required – manager can do fund administration

¹²¹ <https://www.financialinstitutionslegalsnapshot.com/2015/07/hedge-funds-declared-collective-investment-schemes/>

¹²² <https://www.financialinstitutionslegalsnapshot.com/2015/07/hedge-funds-declared-collective-investment-schemes/>

Transitional arrangements for existing hedge funds¹²³

All hedge fund managers are required to lodge an application for registration as a manager of a collective investment scheme by 30 September 2015. Managers of hedge funds in existence on 1 April 2015 must comply with the Regulations within 12 months of registration as a manager under CISCA.

Effectively, this means that a manager of an existing hedge fund will have almost 18 months to comply with all the requirements under the regime, i.e. six months for registration as a manager under CISCA plus 12 months after that for compliance with the Regulations (i.e. by 30 September 2016).

Tax treatment of hedge funds¹²⁴

Hedge fund structures are accorded the same “flow-through” tax dispensation accorded to collective investments schemes (i.e. investors in RIF and QIF will be taxed the same on amounts distributed to them upon 12 months of their accrual or, in the case of interest, their receipt). The relevant tax provisions are contained in section 25BA of the Income Tax Act.

Due to the relative complexity of hedge funds and the recent issuing of the HF Regulations, hedge funds will not qualify as Tax-Free Savings Accounts at this stage.

Concerning the tax consequences for the migration of hedge funds from unregulated structures to Permitted HF Structures, the National Treasury has recently released a draft of the Taxation Laws Amendment Bill which proposes significant concessions in this regard.

National Treasury proposes roll-over relief for the conversion of unregulated hedge funds¹²⁵

In the recently released draft of the Taxation Laws Amendment Bill, National Treasury has proposed significant concessions which address the tax consequences which hedge fund managers may face in complying with the new hedge fund regulations. The new hedge fund regulations require any entity conducting the business of a hedge fund to register as a manager of a collective investment scheme. The Collective Investment Schemes Control Act will thus govern hedge funds. Existing hedge funds will be able to dispose of their assets to an approved collective investment scheme for no consideration other than the right to receive a participatory interest in that approved collective investment scheme without incurring any tax at the time of disposal. On the transfer of the assets from existing hedge funds, the fund will be deemed to transfer their assets to the collective investment scheme at the base cost if the assets are capital assets or at cost if the assets are held as trading stock. The approved collective investment scheme will be deemed to acquire the assets:

- at the base cost from the transferring hedge fund if the assets are capital assets; and
- at acquisition cost from the transferring hedge fund if the assets are held as trading stock.

The transferring hedge fund and the approved collective investment scheme are deemed to be the same person when determining the approved collective investment scheme’s capital gains tax or income tax liability on future disposals of the assets. The amendments do not appear to apply to the disposal of any assets that registered funds will not be able to trade-in. Once registered, these funds will fall within the existing provisions set out in section 25BA of the Act which applies to registered collective investment schemes. The explanatory memorandum to the draft bill notes that the provisions are transitional and will be repealed when the Financial Sector Conduct Authority (FSCA) determines that unregulated hedge funds may no longer apply for conversion to

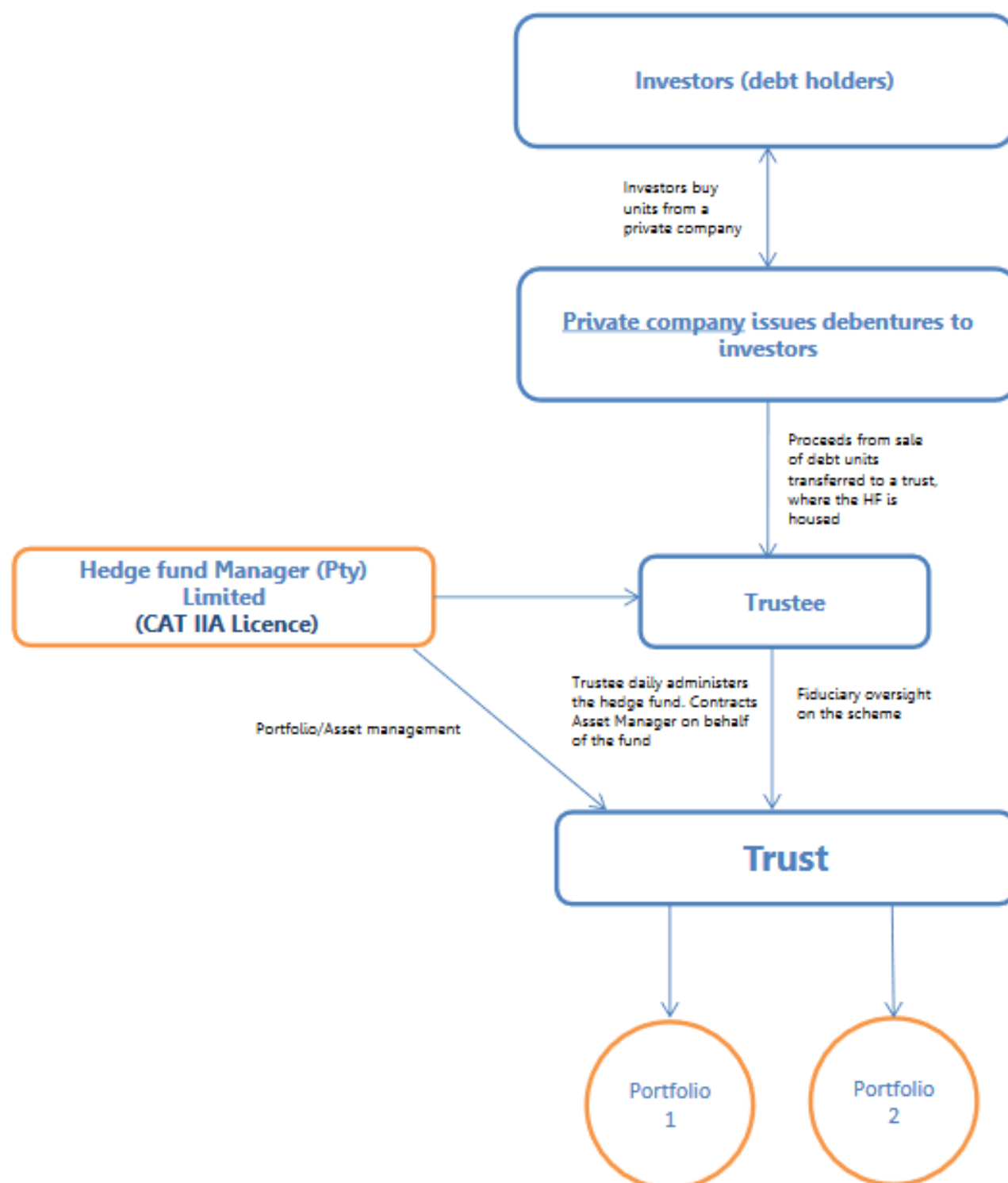
¹²³ <https://www.financialinstitutionslegalsnapshot.com/2015/07/hedge-funds-declared-collective-investment-schemes/>

¹²⁴ <https://www.financialinstitutionslegalsnapshot.com/2015/07/hedge-funds-declared-collective-investment-schemes/>

¹²⁵ <https://www.financialinstitutionslegalsnapshot.com/wp-content/uploads/sites/161/2015/07/Tax-article.pdf>

an approved collective investment scheme. Therefore, hedge funds should consider converting to an approved collective investment scheme sooner rather than later.

Simplified Debenture Hedge Fund Structure¹²⁶



¹²⁶ http://www.treasury.gov.za/comm_media/press/2014/20140210%20Annexure%20B.%20Hedge%20Funds%20Structures.pdf

2.2.5 Property portfolios^{127,128}

These are CISs that primarily invest in property-related assets and are listed by ASISA in the Real Estate Class. The Code describes these portfolios as portfolios that invest in listed property shares, collective investment schemes in property and property loan stock. The objective of these portfolios is to provide high levels of income and long-term capital appreciation. Due to liquidity constraints in the Real Estate Sector on the exchange, these portfolios must maintain a minimum effective exposure to real estate securities of 50% and may include other high-yielding fixed interest and other securities from time to time.

Property companies – These companies are not CISs but ordinary companies on the broader property business, e.g. property developers, letting agencies, etc.

Property Unit Trusts – This is a CIS – already discussed above.

Property Loan Stock Companies – These are not CISs but companies that use special linked units to finance the purchase of property portfolios.

[Source: *Profile's Unit Trust & Collective Investment Schemes* – September 2010]

2.2.6 Rand-denominated portfolios^{129,130}

A perception exists that the issue of rand-denominated portfolios is only available in South Africa. This perception is incorrect as a portfolio may, subject to regulatory approval, select the currency in which it will be denominated. It is, therefore, possible for a foreign portfolio to be denominated in rands. In this instance, the value of the portfolio would, in addition to the value of the underlying assets, be linked to the value of the rand and additional risk would attach to the investment should the investment have to be converted into another currency (being the base currency of the investor).

Rand-denominated portfolios are primarily available in South Africa. This issue also becomes essential when investors consider avenues for investment into foreign jurisdictions. Currently, the popular view is that two (2) broad avenues exist that provide investors exposure to investment in a foreign jurisdiction. These avenues are the following:

1. The investor can invest in a foreign CIS. It would mean that the investor would have to obtain South African Reserve Bank approval for the investment outside South Africa and the amount of the investment must be less than the investor's foreign investment allowance. This investment amount would (where the portfolio is not a foreign rand-denominated portfolio) be converted into the base currency of the portfolio before investment. A foreign exchange dealer would have to be employed to convert the rands to the foreign base currency.
2. The investor can invest in a domestic investment vehicle that invests in foreign assets, e.g. that invests in foreign CISs or other assets. In this event, the investor does not require South African Reserve Bank approval as the investment is into a domestic portfolio which would, in all probability, be denominated in rands. No foreign currency conversion would be required.

¹²⁷ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹²⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 132

¹²⁹ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹³⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 132

2.2.7 Foreign Funds^{131,132}

As stated above, foreign funds may be marketed to South African investors provided that they comply with the requirements of Section 65 of CISCA. These portfolios may then solicit investments from South African investors. Where these portfolios are not hosted in South Africa (no Section 65 approval), then the individual (retail) investors may still invest into these portfolios directly. Foreign exchange approval would be required in this instance. Where domestic portfolios want to invest in foreign portfolios, the foreign portfolios must satisfy the requirements specified by the Registrar. These requirements include compliance with the investment restrictions listed in Board Notice 90 and that the regulatory environment must be substantially the same as the regulatory environment in South Africa.

2.2.8 Fund of funds^{133,134}

A fund of funds is defined in Chapter III of Board Notice 90 of 2014¹³⁵ as:

“For this Chapter, a ‘fund of funds’ means a portfolio that, apart from assets in liquid form, consists solely of participatory interests, whether listed on an exchange or not, in portfolios of collective investment schemes other than collective investment schemes in participation bonds.”

A fund of funds may therefore not own other assets such as listed equities, etc. The fund of funds must invest in a minimum of two underlying CIS portfolios and may not invest in CISs in participation bonds.

Other investment restrictions are stipulated in Chapter III of Board Notice 90 of 2014. These restrictions are:

- a) “The investment in participatory interests by a fund of funds must consist of participatory interests in not less than two other portfolios: Provided that the investment in any one portfolio may not exceed 75 per cent of the market value of the fund of funds.
- b) The limit determined in subparagraph (a) may be exceeded only if the excess is due to appreciation or depreciation of the value of the underlying participatory interests constituting the portfolio: Provided that a manager may not, for as long as the excess continues, purchase any further participatory interests.
- c) A fund of funds may only invest in participatory interests issued by a fund of funds of which at least 85 per cent of the value of the latter funds’ portfolio is held in participatory interests outside the Republic: Provided that such fund of funds does not hold participatory interests issued by the first-mentioned fund of funds or another fund of funds.
- d) A fund of funds may only invest in participatory interests issued by a feeder fund of which at least 85 per cent of the value of the latter funds’ portfolio is held in assets outside the Republic.
- e) If a manager contravenes the proviso to paragraph 22(c) through no fault of its own, the manager concerned must, if such contravention is not rectified within 30 days of the date on which it becomes aware of the contravention, submit a detailed plan setting out measures to rectify the position to the registrar, for approval.
- f) The investment objectives of a fund of funds must specify the nature of the participatory interests comprising such fund.
- g) If a manager of a fund of funds includes in such fund participatory interests of the portfolios referred to in subparagraphs (a) and (c) of a foreign collective investment scheme (“underlying portfolios”), it must satisfy the registrar that such participatory interests have a

¹³¹ Profile’s Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹³² Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 133

¹³³ Profile’s Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹³⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 133

¹³⁵ <https://www.fsca.co.za/Notices/Board%20Notice%2090%20of%202014.pdf>

risk profile which is not significantly higher than the risk profile of other underlying securities which may be included in terms of the Act in a similar portfolio other than a fund of funds: Provided that –

- i. at least 90 per cent of the interest-bearing instruments included in an underlying portfolio is assigned a credit rating of “investment grade” on the international rating scale by a rating agency;
 - ii. borrowing of money must be limited to 10 per cent of the market value of an underlying portfolio and the money borrowed may only be used for the redemption of participatory interests;
 - iii. the underlying portfolio does not include unlisted derivative instruments or have any uncovered exposures: Provided that such portfolio may include unlisted forward currency, interest rate or exchange rate swap transactions where the inclusion of such transactions is only utilised for efficient portfolio management;
 - iv. the underlying portfolio does not gear or leverage.
- h) If a manager of a fund of funds includes participatory interests of a foreign feeder fund in such portfolio, that feeder fund may not have invested in another feeder fund or a fund of funds.
- i) For this, the value of a participatory interest held by one portfolio in another must be calculated by reference to the lesser of the repurchase price or the net asset value of the relevant participatory interest, at the close of business on the previous day on which a repurchase price was calculated.”

The fund of funds concept provides the investor with the benefit of investing in a basket of investments that the manager believes appropriate in order for the fund of funds to meet its benchmark return. The manager will also decide as to the appropriate percentage holdings that each underlying portfolio (normally asset allocation portfolios) should hold relative to the overall value of the fund of funds portfolio. The investor who invests into a fund of funds CIS would own participatory interests in the fund of funds and not the underlying portfolios.

2.2.9 Multi-manager funds^{136,137}

A **multi-managed fund of funds** aimed at producing significant inflation-beating returns over the long-term. Ideal for investors who believe in the benefit of investing with more than one **manager**. Old Mutual **Multi-Managers Maximum Return Fund of Funds**. The manager then selects the best (in the manager’s view) specialist managers to manage specific asset classes in the portfolio in order to target the best return. An example of this type of structure is where a fund of funds manager selects underlying managers to manage the manager’s underlying portfolios or where the manager selects external portfolios based on the manager’s performance of that underlying portfolio.

KO3: Unique characteristics of a CIS

3.1 Transparency¹³⁸

Unit Trust has always been more “transparent” than investments vehicles like endowments policies, and the level of disclosure required from managers increased with the promulgation of the Collective Investment Schemes Control Act. Industry bodies such as the Registrar, the erstwhile ACI and now ASISA, in cooperation with the Registrar, have instituted certain mechanisms aimed at providing greater clarity to investors investing in

¹³⁶ <https://www.oldmutual.co.za/personal/investments-and-savings/unit-trusts/products/multi-manager-funds>

¹³⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 135

¹³⁸ Profile’s Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

CISs. Examples of these mechanisms are the Total Expense Ratio (TER) and the health warning that informs investors that the value of their investments will fluctuate in line with market movements and that past performance is not an indicator for future performance.

While these and similar mechanism go a long way to achieving greater transparency, many investors fail to read, or alternatively, fail to understand the true nature of the investment vehicle they are investing in nor the full extent of the costs that are associated with this type of investment (particularly those costs that are not included in the TER).

The manager and their agents must disclose:

- All the charges that may be levied by the manager, the method of calculation, and the amount (as a percentage of the value) of the charges.
- When the charges will be levied.
- Exactly how the manager will repurchase participatory interest.
- Particulars of the historic yield, calculated as prescribed by the deed, for the last 12 months, and a statement of any facts that may influence future yields.

The Consumer Protection Act of 2008 has a substantial impact on CIS and other financial products and will result in transaction documents written in the plain and straightforward language.

Another essential impact to consider is that disclosures will need to be made clearly and understandably; the test of what constitutes a clear and understandable manner is what is clear and understandable to the ordinary man.

In comparison with unregulated schemes where the risk of fraud and maladministration is greater, the CIS industry is highly regulated from various perspectives; from the Registrar, trustee and industry bodies. Investors are also able easily to monitor the performance of their investment daily through the media.

3.2 Affordability¹³⁹

Investment into CISs is reasonably affordable.

Subject to the product rules of a particular CIS, most CISs accept a minimum investment amount of R500. Investment into CISs, therefore, exposes persons to investments that they, in the ordinary course, would not have been able to invest in.

3.3 Tax efficiency¹⁴⁰

Until February 2000, it had been the practice of the SA tax authorities not to tax capital gains on equity-based unit trusts. In the March 2000 budget, however, Minister of Finance Trevor Manuel announced his intention to tax capital gains on a wide range of assets, including equity-based investments, with effect from 1 April 2001.

Participatory interests in CISs are capital assets, and disposal of these participatory interests trigger a capital gains tax event. In essence, any capital growth realised when disposing of these participatory interests will be subject to capital gains tax. Currently, a natural person investor would qualify for a capital gains tax exemption of R40 000.

Income received by the CIS and distributed to investors will be subject to income tax as interest or dividends. Furthermore, any income distributed to natural persons who are investors will be subject to the standard tax rules. Natural persons enjoy an interest exemption of R23 800 (under the age of 65) and R34 500 (over the age of 65). Domestic dividends are currently not taxable in the hands of the investor.

¹³⁹ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹⁴⁰ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

3.4 Liquidity¹⁴¹

Collective Investments are easy to buy and easy to sell. Investor has the choice of buying unit trust on the internet, through a broker or agent, through a bank, or directly from the unit trust management company.

CISs are extremely liquid. In terms of Section 2 of Schedule 1 to CISCA, which deals with CIS in Securities, a manager may not refuse to repurchase the participatory interests from an investor. Section 2 requires that the deed compel the manager to repurchase any participatory interests offered to it.

In exceptional circumstances, in order to protect the interests of the remaining investors in the portfolio, the Manager may suspend the repurchase of participatory interests, i.e. the Manager may ring-fence certain assets in the portfolio.

KO4: The techniques and practices used by portfolio/fund managers¹⁴²

Many collective investment companies are either a business unit or part of a company where the core business is either banking or insurance.

There are a few independent collective investment scheme managers, although this is not the norm.

The structure of a Manager will differ depending on the size of a Manager and the type of core business that it is affiliated to

4.1 Types of fund managers¹⁴³:

Currently, managers are distinguished in three broad categories, namely, value managers, growth managers and market-orientated managers. These three categories of managers follow different investment philosophies and hold assets for different reasons.

4.1.1 Value managers¹⁴⁴

These managers try to determine the actual value of a share relative to what the share is currently trading at. These managers will invest in these shares if they hold the view that these shares are undervalued and that the value will grow to the correct level soon.

4.1.2 Growth managers¹⁴⁵

These managers take a view on what they believe the future performance of a share will be relative to their peers. In essence, they are less concerned about its current value and are more concerned about whether the share will outperform the market.

4.1.3 Market-orientated managers¹⁴⁶

Market-orientated managers will change their investment approach depending on market conditions, i.e. what they perceive the needs of their clients are going to be. These types of managers seek to develop a range of portfolios that have characteristics similar to their broad target market.

¹⁴¹ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹⁴² Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹⁴³ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 136

¹⁴⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 136

¹⁴⁵ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 136

¹⁴⁶ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 136

4.2 Fund Managers¹⁴⁷

The manager has the overall responsibility of managing the Collective Investment Scheme and its portfolios. From a legal perspective, the portfolios are not separate legal entities. The manager, being a registered company, must ensure that it has its board of directors and management structures, such as a chief executive officer, executive committee, department heads or managers, etc.

In addition to the previously mentioned, the manager (via internal departments) should perform the following functions:

- Finance Department:
 - Fund accounting – performing accounting function for each portfolio;
 - Company accounting – performing accounting function for the company;
 - Pricing and valuation of participatory interests in the portfolio daily.
- Asset management function:
 - Analysts;
 - Trader activity;
 - Insider trading protection;
 - Fund mandates and appropriate benchmarks;
 - Fund fact sheets.
- Internal Administration Department:
 - Existing business/ business as usual needs;
 - New business;
 - Repurchases;
 - Non-standard transactions;
 - Switches.
- External Administration:
 - Management of unit registry.
- Sales Department:
 - Internal Representative Department;
 - External Broker Relationship Department;
 - Institutional Relationship Department.
- Call Centre:
 - Client relations – managing existing clients' needs;
 - Product marketing.
- Marketing:
 - Institute marketing initiatives that raise the profile of the manager and bring the CIS portfolios to the attention of the public.
- Compliance and Risk Management Department:
 - Ensure compliance with governing legislation;

¹⁴⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 137

- Ensure that the manager manages risks.
- New Product Development:
 - Develop new products that meet target market needs.

The manager may elect to outsource some of these functions to outsourced service providers from time to time.

KO5: Evaluating the effectiveness of the management of a portfolio

If you are looking for an investment vehicle that will give you a quick return on your investment, collective investments are not for you. A collective investments scheme in securities should be regarded as a medium to long-term investment. Since the underlying securities are investments on a stock exchange, market trends will have a direct impact on the performance of your investment.

5.1 Pricing

The pricing department is responsible for the:

- valuation of the various fund portfolios;
- calculation, accrual and distribution of daily income earned on financial instruments in a fund portfolio and;
- calculation of daily unit prices.

5.2 Fluctuation

If you pay any attention to the JSE and follow the price of certain shares, you will see that they go up and down regularly.

It is known as fluctuations in the share price. Of course, fluctuations in the prices of the shares lead to fluctuations in the value of the collective investment schemes that have bought shares.

However, collective investment schemes work on the assumption that the price of the shares may be very volatile or changeable in the short term, but in the long run, the value of the shares will increase.

5.3 Volatility

Volatility is a statistical measure of the amount an asset's price changes during a given period. Volatility is often measured using standard deviation, or by looking at the variation between the asset's price movements and the movements of its underlying index. Volatility is the word used to describe the fluctuations or changes in share prices, and a volatile share is one that is susceptible to changes in the market.

The fact that a share is volatile does not necessarily make it a risky investment either, as some shares are more vulnerable to trends than others. Gold shares are considered to be volatile, as the price of gold fluctuates frequently. However, investing in gold shares may be less risky than investing in Information Technology shares, for example, as there is a constant demand for gold.

5.4 Rand Cost Averaging

Rand cost averaging is a wealth-building strategy. It involves investing a fixed amount at regular intervals over some time in an investment vehicle that has a fluctuating price, such as unit trusts or shares. Rand cost averaging is based on the principle that if one invests small amounts of money at regular intervals, for example, monthly instalments, the overall cost of units will be cheaper over the long term than a lump sum investment.

As you know, the price of collective investment schemes fluctuates daily. By investing on a monthly basis, you will buy more units when the price is low and fewer units when the price is high.

The table below shows that the unit price has dropped from Day One to Day Three.

DAY	PRICE IN CENTS	PAYMENT IN RAND	UNITS BOUGHT
Day 1	105	1000	952
Day 2	101	1000	990
Day 3	100	1000	1000
Day 4	080	1000	1250
Day 5	104	1000	961

If Investor IOU invested R5000 in a collective investment scheme on Day One, he would have paid 105 cents for each unit in the fund at that price.

Investor IOU would have ended up with 4 761.9 units.

$(5000,00/105c \times 100 = 4761.9)$

However, if the same investor had waited until Day Four, he would have found that the price had dropped, and he would have paid only 80 cents for them.

It would have given him more shares for the same price, and he would have ended up with 5 thousand units @ 80 cents a unit.

If Investor IOU had chosen to use rand cost averaging as a payment option, he could divide the R5000 capital amount into 5 daily payments of R1000 each. If you look at the table above, you will see that rand cost averaging would have enabled him to buy more units than the lump sum payment would have done.

Look at the table above to see how rand cost averaging would work for the investor over 5 days.

5.5 Interest

As with everything in **economics**, there are several competing definitions for the term **interest rates**. **Interest rates** can be explained as: The amount charged, expressed as a **percentage** of the total or outstanding loan amount (principal), by the lender to the borrower for the use of assets. Interest is "money paid for the use of money that has been lent or the charge made for borrowing a sum of money".

So, most of us receive interest payments from our bank or building a society for the money that we have deposited in the bank in the form of a savings or current account.

That interest is a payment from the bank for the use of the money that we have deposited with them.

On the other hand, if you have borrowed money from the bank in the form of a home loan or a credit card, then you will pay interest to the bank for the use of the money that the bank has lent to you.

The investor receives interest on the investment he/ she has made in the collective investments fund. This takes the form of compound interest.

5.5.1 Compound interest

Compound interest is the addition of **interest** to the principal sum of a loan or deposit, or in other words, **interest** on **interest**. It is the result of reinvesting **interest**, rather than paying it out, so that **interest** in the next period is then earned on the principal sum plus previously accumulated **interest**.

The diagram shows the compound interest formula $A = P(1 + \frac{r}{n})^{nt}$ on a yellow background. Arrows point from labels to parts of the formula: 'Amount' points to 'A', 'Principal' points to 'P', 'Interest Rate (decimal)' points to 'r', 'Time (years)' points to 't', and 'Number of times interest is compounded per year' points to 'n'.

Compound interest is calculated on both the principal amount and the interest earned.

With compound interest, interest earned becomes part of the principal amount and **ALSO EARNs INTEREST**.

Example: calculate the compound interest on R10 000 invested in a C.I.S for 3 years at a return of 16% per annum.

The calculation on a financial calculator is as follows:

Clear All

1P/YR

10 000 PV

3N

16 I/YR

FV = R15 608

6. Repo rate

The South African Reserve Bank (SARB) regulates our economy by lending money to the commercial banks such as Standard Bank, Nedbank, ABSA, First National, etc. at a set interest **rate**. This interest **rate** is known as the **repo rate** and is also referred to as the **repurchase rate**. Inflation refers to the **rate** at which prices for services and goods increase over the years.

The South African Reserve Bank is the bank for banks, and it only lends money to commercial banks. It acts as the banker for the government. Generally, if the repo rate decreases, the interest rates are likely to decrease as well. If the repo rate increases, the interest rate will eventually increase.

7. Prime rate

The prime rate is the interest rate that commercial banks offer their preferred customers. "The prime lending rate (say 10.25%) is a marked-up version of the repo rate that banks use as a starting point to calculate interest rates for specific clients,". "It covers their basic profit margin, which is then adjusted up or down based on the client's risk profile. A riskier client would get an above-prime loan, while a low-risk client could get prime or lower."

For example, prime plus 1.75% at today's rates means 10.25% + 1.75% – an effective rate of 12% interest. If the repo rate goes up by 0.5% and the banks increase prime by 0.5% as well, that loan would still be prime plus 1.75% but would have an effective rate of 12.5% (10.75% + 1.75%).

Summary

There are currently more than 1,400 collective investment schemes or unit trusts in our South African market. It not only makes it highly competitive but also very challenging to separate the good from the bad and the great from the good. Some financial advisors, therefore, make use of discretionary fund managers (*or multi-managers*) to assist them with the asset allocation and fund manager selection of investment portfolios for their clients. We will discuss the structure of a CIS as well as the different types of CISs. We also deal with the different investment philosophies applied by some managers.

The various forms that a CIS can assume determine the structure of the CIS. The most common CIS form is a trust structure, but CISC also makes provision for an open-ended investment company.

You will note that the Registrar regulates the CIS manager and the trustee. In turn, the trustee monitors the manager for compliance with CISC and subordinate legislation. The manager and the trustee agree to form a trust (trust agreement). The trustee/custodian is also the registered holder of the assets in the portfolios. CIS managers often appoint an asset manager who has specific experience in a particular sector to manage the investments in the portfolio. Investors invest in the portfolio and not “into” the manager.

On 21 September 2010, General Notice 910 (“GN 910”)¹⁴⁸ was published. GN 910 prescribed specific fit and proper requirements that have to be satisfied by the Manager. These requirements are:¹⁴⁹

- Requirements relating to the Board composition;
- Fit and Proper requirements for the directors of the Manager;
- Operational requirements that the Manager has to satisfy;
- Management and supervision requirements that the Manager needs to maintain;
- Requirements related to internal policies and procedures, including risk management and the periodic evaluation of these procedures;
- Complaints resolution.

The most common CIS structure in South Africa is the trust structure.

Industry bodies such as the Registrar, the erstwhile ACI and now ASISA, in cooperation with the Registrar, have instituted specific mechanisms aimed at providing greater clarity to investors investing in CISs.

Currently, managers are distinguished in three broad categories, namely, value managers, growth managers and market-orientated managers. These three categories of managers follow different investment philosophies and hold assets for different reasons.

A collective investments scheme in securities should be regarded as a medium to long-term investment. Since the underlying securities are investments on a stock exchange, market trends will have a direct impact on the performance of your investment.

¹⁴⁸ <https://www.gov.za/sites/default/files/30102f.pdf>

¹⁴⁹ <https://www.fsca.co.za/Notices/Notice%20910%20of%202010.pdf>

Unit 5

Sales and marketing



Apply technical knowledge and insight into the sales and marketing of participatory interest in the collective investment scheme portfolios.



It is essential to understand the requirements that have to be met when providing advice in respect of CISSs. The FAIS requirements do not hold only when providing advice on CISSs but for all financial products.



You will need to achieve the following:

- Applying knowledge of collective investment portfolios to position a specific portfolio to meet an identified need;
- Demonstrating insight into the regulatory parameters that apply to the sales and marketing of participatory interest in collective investment portfolios;
- Explaining the methods that can be used to market participatory interest in the collective investment scheme portfolios;
- Investing in foreign collective investment schemes (FCIS).



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za



Purpose

It is an unfortunate fact that money attracts crooks, and the lure of big money can change ordinary people into cheats.

The financial markets have, over the years, seen their fair share of swindlers and scam artists. The purpose of this section is to highlight the requirements that have to be met when providing advice in respect of CISs. The FAIS requirements do not hold only when providing advice on CISs but for all financial products.

We have dealt in detail with the requirements of FAIS and FICA earlier but will explore the impact of your intervention with the client regarding CIS advice and needs.

KO1: Meeting a client's identified need

To meet clients identified needs, three pieces of legislation are of particular interest to investors and professionals involved with collective investments. We will be learning how to apply knowledge of collective investment portfolios to position a specific portfolio to meet an identified need of a client.

The following legislation is of importance:

1. The Collective Investment Schemes Control Act 45 of 2002 (CISCA)
2. The Financial Advisory and Intermediary Services Act 37 of 2002 (FAIS)
3. The Financial Intelligence Centre Act 38 of 2001 (FICA)

1.1 Application of FAIS^{150,151}

As we all know (at this stage), the Financial Advisory and Intermediary Services Act 37 of 2002 ("FAIS") governs the rendering of intermediary services and the provision of advice in respect of a financial product.

Section 1 of FAIS includes participatory interests in CISs in the definition of a financial product, and it is, therefore, necessary to consider FAIS and subordinate legislation to it when providing advice or rendering intermediary services in respect of, *among other things*, participatory interests in CIS.

Section 16 of FAIS prescribes that a code of conduct must be drafted in such a manner as to ensure that the clients who are recipients of the financial service:

1. are in a position to make informed decisions; and
2. that their reasonable financial needs are appropriately and suitably satisfied by the financial product.

As required by section 16, the FAIS General Code of Conduct for Authorised Financial Services Providers (FSPs) and Representatives ("General Code") prescribes principles that must be followed by FSPs when providing clients with financial services.

These two principles should form the basis of any attempts at interpretation and practical application of the General Code.

The General Code refers to principles rather than steps that need to be complied with. These principles find application in what is commonly known as the six-step financial planning process and will form the basis of the discussion relating to CISs.

¹⁵⁰ <http://www.fidfund.co.za/wp-content/uploads/2017/07/financial-advisory-and-intermediary-services-act-2002-1.pdf>

¹⁵¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 4

1.2 Establish and define a professional relationship¹⁵²

1.2.1 Application of the General Code when providing financial advice to clients^{153,154}

General Obligations

The General Code, Sections 3(a) to (f), specifies certain overarching obligations that an FSP has to comply with. These obligations are the following:

- (a) representations made, and information provided to a client by the FSP –
 - i. must be factually correct;
 - ii. must be provided in plain language, avoid uncertainty or confusion and not be misleading;
 - iii. must be adequate and appropriate in the circumstances of the particular financial service, taking into account the factually established or reasonably assumed level of knowledge of the client;
 - iv. must be provided timeously so as to afford the client reasonably sufficient time to make an informed decision about the proposed transaction;
 - v. may, subject to the provisions of this Code, be provided orally and, at the client's request, confirmed in writing within a reasonable time after such request;
 - vi. must be provided in writing or by means of standard forms or format, be in clear and readable print size, spacing and format;
 - vii. must, as regards all amounts, sums, values, charges, fees, remuneration or monetary obligations mentioned or referred to therein and payable to the product supplier or the provider, be reflected in specific monetary terms: provided that where any such amount, sum, value, charge, fee, remuneration or monetary obligation is not reasonably pre-determinable, its basis of calculation must be adequately described; and
 - viii. need not to be duplicated or repeated to the same client unless the material or significant changes affecting that client occurs, or the relevant financial service renders it necessary, in which case disclosure of the changes to the client must be made without delay;
- (b) the FSP must disclose to the client the existence of any personal interest in the relevant service, or of any circumstance which gives rise to an actual or potential conflict of interest in relation to such service, and takes all reasonable steps to ensure fair treatment of the client;
- (c) non-cash incentives offered and/or other indirect consideration payable by another provider, a product supplier or any other person to the provider could be viewed as a potential conflict of interest;
- (d) the service must be rendered in accordance with the contractual relationship and reasonable requests or instructions of the client, which must be executed as soon as reasonably possible and with due regard to the interests of the client which must be accorded appropriate priority over any interests of the provider;
- (e) transactions of a client must be accurately accounted for; and
- (f) the provider involved must not deal in any financial product for own benefit, account or interest where the dealing is based upon advance knowledge of pending transactions for or with clients, or on any non-public information the disclosure of which would be expected to affect the prices of such product.

¹⁵² Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 5

¹⁵³ <https://www.gov.za/documents/financial-advisory-and-intermediary-services-act-general-code-conduct-authorised-financial>

¹⁵⁴ <https://www.fsca.co.za/Notices/FSCA%20FAIS%20Notice%2012%20of%202019.pdf>

Disclosures^{155,156}

Section 16(2) of FAIS stipulates that this code of conduct (being the General Code) must contain provisions relating to making adequate disclosures of relevant and material information, including disclosures of actual or potential own interests, concerning dealings with clients.

Section 6 of the General Code prescribes that an FSP, who is not a direct marketer, must at the commencement of any call, contact or visit initiated by the FSP, explain the purpose of the call, contact or visit and provide the information as prescribed in Section 5 of the General Code.

FSP disclosures^{157, 158}

Section 5 requires the FSP “at the earliest reasonable opportunity” to disclose to the client:

- a) full business and trade names, registration number (if any), postal and physical addresses, telephone and, where applicable, cellular phone number, and internet and e-mail addresses, in respect of the relevant business, carried on, as well as the names and contact details of appropriate contact persons or offices;
- b) concise details of the legal and contractual status of the FSP, including details as regards the relevant product supplier (or, in the case of a representative, as regards the relevant FSP and product supplier), to be provided in a manner which can reasonably be expected to make it clear to the client which entity accepts responsibility for the actions of the FSP or representative in the rendering of the financial service involved and the extent to which the client will have to accept such responsibility;
- c) names and contact details of the relevant compliance department or, in the case of a representative, such detail concerning the provider to which the representative is contracted;
- d) details of the financial services which the FSP is authorised to provide in terms of the relevant licence and of any conditions or restrictions applicable thereto;
- e) whether the FSP holds guarantees or professional indemnity or fidelity insurance cover or not.
- f) whether a representative of an FSP is rendering services under supervision as defined in the Determination of Fit and Proper Requirements; and
- g) the existence of a specific exemption that the Registrar may have granted to the FSP with regard to any matter covered by the Act.

Product Supplier disclosures¹⁵⁹

In addition to the disclosures detailed above, the FSP must also at the earliest reasonable opportunity, disclose information relating to the product supplier. This information would, in the current context, relate to the CIS manager. This information must contain the following:

- a) Name, physical location, and postal and telephone contact details of the product supplier;
- b) (i) the contractual relationship with the product supplier (if any), and whether the provider has contractual relationships with other product suppliers;
(ii) names and contact details of the relevant compliance and complaints departments of the product supplier;

¹⁵⁵ <https://www.gov.za/documents/financial-advisory-and-intermediary-services-act-general-code-conduct-authorised-financial>

¹⁵⁶ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 6

¹⁵⁷ <https://www.gov.za/documents/financial-advisory-and-intermediary-services-act-general-code-conduct-authorised-financial>

¹⁵⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 6

¹⁵⁹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 7

- a) the existence of any conditions or restrictions imposed by the product supplier with regard to the types of financial products or services that may be provided or rendered by the provider; and
- b) where applicable, the fact that the provider –
 - i. directly or indirectly holds more than 10% of the relevant product supplier's shares, or has any equivalent substantial financial interest in the product supplier;
 - ii. during the preceding 12-month period received more than 30% of total remuneration, including commission, from the product supplier, and the provider must convey any changes after that regarding such information at the earliest opportunity to the client.

Where a product supplier that is also an FSP enters into an intermediary contract or similar contractual relationship with another FSP (not being a representative) for the purpose of that other FSP rendering financial services in respect of the product supplier's financial products, that product supplier must within a reasonable time after being requested to do so by the other FSP, provide the other FSP with sufficient particulars to enable the other FSP to comply with the disclosure requirements relating to the furnishing of details of the product supplier and the product in question.

Where these disclosures are made orally, the FSP that is not a direct marketer must confirm them in writing within 30 days.

1.2.2 Product disclosures made to clients (upfront and on-going)^{160,161}

Section 7 of the General Code goes further to require an FSP that is not a direct marketer too, at the earliest reasonable opportunity, make prescribed product disclosures to the client. Once again, where these product disclosures are made verbally, they must be confirmed by the FSP in writing within 30 days.

These product disclosures are:

- a) that the FSP must provide a reasonable and appropriate general explanation of nature and material terms of the relevant contract or transaction to a client, and generally make full and frank disclosure of any information that would reasonably be expected to enable the client to make an informed decision;
- b) whenever reasonable and appropriate, that the FSP must provide the client with any material contractual information and any material illustrations, projections or forecasts in possession of the FSP;
- c) at the earliest reasonable opportunity, that the FSP must provide, where applicable, full and appropriate information of the following:
 - i. Name, class or type of financial product concerned;
 - ii. Nature and extent of benefits to be provided, including details of how such benefits are derived or calculated and how they will accrue or be paid;
 - iii. Where the financial product is marketed or positioned as an investment or as having an investment component:
 - ca. concise details of how the value of the investment is determined, including concise details of any underlying assets or other financial instruments;
 - cb. separate disclosure (and not mere disclosure of an all-inclusive fee or charge) of any charges and fees to be levied against the product, including –

¹⁶⁰ <https://www.gov.za/documents/financial-advisory-and-intermediary-services-act-general-code-conduct-authorised-financial>

¹⁶¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 8

- A. the amount and the frequency thereof;
 - B. the identity of the recipient;
 - C. the services or another purpose for which each fee or charge is levied;
 - D. where any charges or fees are to be levied in respect of investment performance, details of the frequency, performance measurement period (including any part of the period before the client's particular investment) and performance benchmarks or other criteria applicable to such charges or fees; and
 - E. where the specific structure of the product entails other underlying financial products, the disclosure must be made in such a manner as to enable the client to determine the net investment amount ultimately invested for the benefit of the client; and
- cc. on request, information concerning the past investment performance of the product over periods and at intervals which are reasonable concerning the type of product involved including a warning that past performances are not necessarily indicative of future performances;
 - cd. any rebate arrangements and thereafter on a regular basis (but not less frequently than annually): Provided that where the rebate arrangement is initially disclosed in percentage terms, an example using actual monetary amounts must be given and disclosure in specific monetary terms must be made at the earliest reasonable opportunity thereafter: Provided further that for the purposes of this subparagraph, "rebate" means a discount on the administration, management or any other fee that is passed through to the client, whether by reduced fees, the purchase of additional investments or direct payment, and that the term "rebate" must be used in the disclosure concerned, to describe any arrangement complying with this definition, and the disclosure must include an explanation of the arrangement in line with this definition;
 - ce. any platform fee arrangements, which may be disclosed by informing the client that a platform fee of up to a stated percentage may be paid by the product supplier to the administrative FSP concerned, rather than disclosing the actual monetary amount: provided that for the purposes of this subparagraph, "platform fee" means a payment by a product supplier to an administrative FSP for the administration and/ or distribution and/ or marketing cost savings represented by the distribution opportunity presented by the administrative platform, and may be structured as a stipulated monetary amount or a volume-based percentage of assets held on the platform, and that the term "platform fee" must be used in the disclosure concerned, to describe any arrangement complying with this definition, and the disclosure must include an explanation of the arrangement in line with this definition.
- iv. the nature and extent of monetary obligations assumed by the client, directly or indirectly, in favour of the product supplier, including the manner of payment or discharge thereof, the frequency thereof, the consequences of non-compliance and, subject to subparagraph (xiv), any anticipated or contractual escalations, increases or additions;
 - v. the nature and extent of monetary obligations assumed by the client, directly or indirectly, in favour of the FSP, including the manner of payment or discharge thereof, the frequency thereof, and the consequences of non-compliance;
 - vi. the nature, extent and frequency of any incentive, remuneration, consideration, commission, fee or brokerages ("valuable consideration"), which will or may become

payable to the FSP, directly or indirectly, by any product supplier or any person other than the client, or for which the FSP may become eligible, as a result of rendering of the financial service, as well as the identity of the product supplier or other person providing or offering the valuable consideration: Provided that where the maximum amount or rate of such valuable consideration is prescribed by any law, the FSP may (subject to Clause 3(1)(a)(vii)) elect to disclose either the actual amount applicable or such prescribed maximum amount or rate;

- vii. concise details of any special terms or conditions, exclusions of liability, waiting periods, loadings, penalties, excesses, restrictions or circumstances in which benefits will not be provided;
 - viii. any guaranteed minimum benefits or other guarantees;
 - ix. to what extent the product is readily realisable, or the funds concerned are accessible;
 - x. any restrictions on or penalties for early termination of or withdrawal from the product, or other effects, if any, of such termination or withdrawal;
 - xi. material tax considerations;
 - xii. whether cooling off rights are offered and, if so, procedures for the exercise of such rights;
 - xiii. any material investment or other risks associated with the product; and
 - xiv. in the case of an insurance product in respect of which provision is made for an increase of premiums, the amount of the increased premium for the first five (5) years and after that on a five-year (5-year) basis but not exceeding twenty (20) years;
- d) fully inform a client regarding the completion or submission of any transaction requirement–
- i. that all material facts must be accurately and properly disclosed, and that the accuracy and completeness of all answers, statements or other information provided by or on behalf of the client, are the client's responsibility;
 - ii. that if the FSP completes or submits any transaction requirement on behalf of the client, the client should be satisfied as to the accuracy and completeness of the details;
 - iii. of the possible consequences of the misrepresentation or nondisclosure of a material fact or the inclusion of incorrect information; and
 - iv. that the client must on request be supplied with a copy or written or printed record of any transaction requirement within a reasonable time.

Furthermore, an FSP who has provided advice or is rendering on-going financial services to the client in respect of one (1) or more financial products, must on a regular basis (but not less frequently than annually) provide the client with a written statement identifying such products that are still in existence, and provide brief current details (where applicable), of –

- a) any on-going monetary obligations of the client in respect of such products;
- b) the main benefits provided by the products;
- c) where any product was marketed or positioned as an investment or as having an investment component, the value of the investment and the amount of such value which is accessible to the client; and
- d) any on-going incentives, consideration, commission, fee or brokerage payable to the FSP in respect of such products.

Provided that such a statement need not be provided where the client is aware, or ought reasonably to be aware, that the FSP concerned does not render or has ceased rendering ongoing financial services in respect of the client or the products concerned.

1.3 FAIS and COFI¹⁶²

As part of the new Twin Peaks regulatory regime, the FAIS Act will in due course be replaced with the Conduct of Financial Institutions (COFI) Act. National Treasury has set up a panel to develop the COFI Bill, and it is anticipated that the first draft will be released for comment in the second half of 2018.

1.4 Conduct of Financial Institutions (COFI) Bill¹⁶³

Part of the Twin Peaks initiative is the intention to move away from institutionally-based regulation to a more activity-driven regulatory environment. Although the FSRA is now law, the shift from the current sectoral licensing model to a more centralised activity-based licensing model is still in the works.

It is expected that the implementation of the new licencing regime will focus on the defined activities that a prospective licensee wishes to perform, not on defined sectors. The Conduct of Financial Institutions (COFI) Act will classify all the available activities across the financial sector in a single, overarching law. It will replace the Financial Advisory and Intermediary Services (FAIS) Act.

In the future, all financial institutions, including entities currently regulated as Financial Services Providers (FSPs), will need to hold a licence from the FSCA to render financial services in respect of the specific, defined activities they perform.

The Conduct of Financial Institutions (COFI) Bill will be opened for public comment. Once it is finalised it will impose outcomes-based standards on the products and services offered by financial services institutions.

The outcome based-method to be implemented via COFI Bill will mean that FSPs will not just be measured on rules and compliance, but also on their ability to achieve excellent client outcomes. It will include methods of assessing whether costs and charges are fair and justifiable.

A key objective of COFI will be to move away from the current “one-size-fits-all” approach to licencing of financial sector participants. Under COFI, the requirements for licensees will be proportionated to the risks underlying the business activities of each licensed entity.

1.5 Conclusion¹⁶⁴

It is evident from the content of disclosures listed above that the intention of the legislature is for the client contemplating an investment or investing in a financial product to be as informed as possible in order for that client or potential client to make an informed decision when investing or transacting on the client’s investment(s).

Unfortunately, these disclosures are voluminous and complicated for the layperson. In practice, these disclosures are made in, *inter alia*, the Letter of Introduction, the Quote and the Application Form. Clients often do not read these documents as they are, for example, of the opinion that the “fine print” is too much, they are not able to read for various reasons, or the concepts are too complicated. Often these clients do not adequately appreciate the consequences of entering into the contract with the manager.

In order to address this issue, the Consumer Protection Act 68 of 2008 was promulgated and has introduced the concept of plain and straightforward language. These provisions aim to make “consumer” documents (such as the documents listed above) plain and simple for the layperson to read and understand. A potential negative implication of the plain and straightforward language provisions is that it often results in a lengthier document(s) for the client to read. Despite all the attempts at full disclosure and plain and straightforward language, the obligation still rests on the

¹⁶² Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹⁶³ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

¹⁶⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 12

FSP and representatives to ensure that their clients understand what they are investing in and the key terms and conditions that govern the investment.

KO2: Sales and marketing

The focus of this section is to highlight some of the information that should be gathered when advising clients on potential investments and the mechanisms employed to gather relevant information.

You will need to demonstrate insight into the regulatory parameters that apply to the sales and marketing of participatory interest in collective investment portfolios.

What marketing activities require authorisation?

A participatory interest in a collective investment scheme constitutes a 'financial product' as contemplated in the FAIS Act. The marketing of financial products may only be performed as a regular feature of business by persons having an appropriate licence under the FAIS Act (ordinarily a Category I licence is required).

Also, section 65 of CISC prohibits any person from 'soliciting' (defined as any act to promote investment by members of the public in a collective investment scheme) investments in a foreign collective investment scheme that is not approved by the FSCA. Accordingly, a foreign collective investment scheme may only be marketed to members of the public in South Africa if it has been approved for such purpose by the FSCA.

Board Notice 92 of 2014, valid from 1 May 2015, introduced comprehensive new requirements relating to the documentation used to market collective investment schemes. In terms of this notice, a manager of a South African collective investment scheme (or of a foreign collective investment scheme approved in terms of section 65 of CISC) must lodge with the FSCA copies of all advertisements and marketing material, fund fact sheets (with prescribed information) and relevant investor application forms before publication or use of the material. Furthermore, in terms of these requirements, South African collective schemes as well as foreign collective investment schemes that are approved in terms of section 65 of CISC, are required to prepare (and update on a quarterly basis) minimum disclosure documents (similar, in principle, to the key investor information document required in terms of undertakings for collective investment in transferable securities legislation). In 2017, the FSCA published proposed amended marketing disclosure requirements for collective investment schemes for public comment.

Below follows a summary of the disclosures:

Collective Investment Schemes in Securities (CIS) are generally medium to long-term investments. The value of participatory interests (units) or the investment may go down as well as up, and past performance is not a guide to future performance.

Where foreign securities are included in a portfolio, the portfolio is exposed to risks such as potential constraints on liquidity and the repatriation of funds, macroeconomic, political, foreign exchange, tax, settlement and potential limitations on the availability of market information. Fluctuations or movements in the exchange rates may cause the value of underlying international investments to go up or down.

CIS are traded at ruling prices and can engage in borrowing and scrip lending. The Funds may borrow up to 10% of its market value to bridge insufficient liquidity. The portfolios may be capped at any time for them to be managed per their mandate.

Pricing: Forward pricing is used. Prices are published daily and available in the daily newspapers. Unit trust prices are calculated on a Net Asset Value (NAV) basis, which is the total market value of all assets in the Fund including any income accruals and less any permissible deductions from the Fund, divided by the number of units in issue.

Fees: A schedule of fees, charges and maximum commissions are available on request from the Manager. Commission and incentives may be paid and, if so, are included in the overall costs.

Performance: All performance data is for a lump sum, net of fees, includes income and assumes reinvestment of income on a NAV to NAV basis. Performance is calculated for the portfolio, and individual investor performance may differ as a result thereof. Different classes of participatory interest can apply to these portfolios and are subject to different fees, charges and possibly dividend withholding tax and will thus have differing performances. Annualised performances show longer-term performance rescaled over 12 months. Individual performance may differ as a result of initial fees, the actual investment date, the date of reinvestment and dividend withholding tax. Income distributions are net of any applicable taxes. Performance figures are for illustrative purposes only. Actual annual figures are available to the investor on request.

TER: The Total Expense Ratio (TER) is the annualised percentage of the Fund's average assets under management that has been used to pay the Fund's actual expenses. The TER includes the annual management fees that have been charged, VAT, other expenses, namely audit, trustee fees and any performance fees where applicable. A higher TER ratio does not necessarily imply a poor return, nor does a low TER imply a good return. As unit trust expenses vary, the current TER cannot be regarded as an indication of future TERs. The sum of the TER and transaction costs is shown as the Total Investment Charge.

Transaction costs: Transaction costs are shown separately. Transaction costs are a necessary cost in administering the Financial Product and impacts Financial Product returns. They should not be considered in isolation as many other factors may impact returns over time, including market returns, the type of Financial Product, the investment decisions of the fund manager and the TER.

Additional information: Additional information is available free of charge on the website and may include publications, brochures, application forms and annual reports.

The cut-off time for transactions as well as the time when the portfolio is valued daily.

Any Conflict of Interest Disclosure as well as the trustees of the Manager.

2.1 Personal financial planning¹⁶⁵

Section 8 of the General Code (Suitability) requires an FSP to conduct an analysis to provide advice to the client. This analysis must be conducted concerning the information that the FSP or representative gathers relating to the client's financial position, goals and aspirations.

The information may be obtained from the client, other product suppliers and entities that provide information relating to the client's financial products, e.g. Astute. Where the information is sourced from entities other than the client(s), the FSP or representative must provide documentary authorisation (signed by the client/s) before obtaining this information from existing product suppliers.

Many FSPs have template questionnaires geared towards gathering personal financial information to enable the FSP or its representatives to prepare a financial plan best suited to the needs of the client. A bona fide financial plan (and not merely a plan to justify the sale of a financial product) forms the roadmap against which the client's financial future is sketched. The plan is, therefore based on the current financial position of the client and the client's financial goals and aspirations. These goals and aspirations are informed by the needs and wants of the client, e.g. the client needs to make provision for tertiary education tuition for the client's children, the client wants to take an overseas holiday, etc.

Many FSPs have different questionnaires that pose a range of questions to the client. Over time various questionnaire formats were also introduced to match the specific needs, e.g. death financial needs analysis, retirement financial needs analysis, etc. Modern technology has presented

¹⁶⁵ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 22

FSPs with the ability to automate these questionnaires, the inputs pulling through to the Client Advice Record.

In the absence of a financial plan suited to meet the client's needs and aspirations, the purchase of a financial product or any advice in respect of a financial product cannot be justified or appropriate. Historically, however, financial products were sold with little comprehension by the client of its characteristics or the implications of that financial product on the client's estate.

Examples of the types of questions posed in these templates are:

1. How much do you earn from all sources of income?
2. How much do your expenses amount to?
3. Does your income exceed your expenses and by how much? Is there any available income to work with?
4. At what age would you like to retire?
5. How much (in real terms) would you like your income to be?

You will note that the questions are directed at discovering your current financial position, disposable income, etc. in order for the financial planner to develop a financial plan that best suits your needs and aspirations.

2.2 Investment planning^{166,167}

It is clear, therefore, that financial planning (as opposed to investment planning) covers planning for the much wider financial aspirations of the client; what then is investment planning?

In short, investment planning seeks one, or a combination of three objectives, namely:

- Wealth creation;
- Wealth protection; and
- Income generation.

These objectives aim to achieve specific defined financial outcomes or objectives.

In achieving these investment objectives, the financial planner is challenged to find the best-suited product that will maximise returns on investments but also minimise risk as far as possible.

As we already know, any advice related to an investment product has to be supported by a well-considered investment plan. This plan will start with a clearly defined investment objective, followed by an understanding of the client's current financial position, the existing investments and his income or capital available for investment. Once these are clear, the next step is to advise the client on the most appropriate investment vehicle that is likely to achieve the desired outcome.

To choose financial product possible, it is necessary to consider the following; the investors:

- Liquidity requirements;
- Current tax position;
- Investment time horizon;
- The measure of risk the investor is prepared to take to achieve the desired objectives.

In the financial services industry, risk-profiling questionnaires¹⁶⁸ have commonly been understood as the appropriate tools to use in order to assess the type and amount of risk that investors are prepared to accept concerning an existing or prospective investment. These questionnaires

¹⁶⁶ "The Use of Risk Profiling Questionnaires in South Africa during the Financial Planning Process" published in July 2009

¹⁶⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 23

¹⁶⁸ FSCA Bulletin, first quarterly edition of 2007

typically pose a range of questions to the investor requiring the investor to provide information relating to the amount and type of risk that the investor is prepared to accept. Questions such as the investor's age and the percentage/proportion that the current and/or envisaged investment constitutes about the investor's total estate are also included in the questionnaire.

Anton Swanepoel in his article "Risk Profile Questionnaires: Inappropriate questions lead to inappropriate advice" published in the *FSCA Bulletin*, first quarterly edition of 2007, states that confusion exists between the commonly understood definition of risk and the definition of risk underpinning risk profiling questionnaires. This distinction, in his view, raises the probability of accusations by clients of malpractice against advisors. He further criticises risk-profiling questionnaires by stating that:

"at no point is any reference made to the investment objective or pricing of any of the asset classes. This tool effectively makes financial planners responsible for initial asset allocation without considering the appropriate investment objective... As a result, the use of most current risk profile questionnaires will continue to be instrumental to inappropriate advice, which by definition is non-compliant under FAIS".

Risk profiling questionnaires have also recently come under scrutiny by Cobus du Plessis in his publication titled "The Use of Risk Profiling Questionnaires in South Africa during the Financial Planning Process" published in July 2009 where he expresses a view that these questionnaires do not serve the purpose of assessing an investor's risk.

In his view, these questionnaires serve the purpose of calculating the asset allocation as opposed to accurately assessing the amount and type of risk that investors would be comfortable assuming concerning prospective or existing investment(s). The sole reliance on these questionnaires (so the article goes) results in client dissatisfaction and a more significant amount of complaints.

It appears that the FAIS Ombud currently supports the use of risk profiling questionnaires. Common questions included in these questionnaires include:

- What is your age?
 - 20 – 35 10 points
 - 36 – 45 8 points
 - 46 – 55 5 points
 - 56 – 65 3 points
 - Over 65 1 point
- What are your investment requirements?
 - Protection of capital 2 points
 - Income generation 4 points
 - Moderate investment growth (minor volatility) 6 points
 - Reasonable capital growth (increased volatility) 8 points
 - Maximum capital growth (high volatility) 10 points
- To what extent does this investment constitute your only investment (apart from your home, car and other possessions)?
 - (<25% of assets) 2 points
 - assets (25 - 50%) 3 points
 - assets (50 - 75%) 4 points
 - (75 – 100%) 5 points

The above sample questions illustrate the type of questions posed to clients and prospective clients. You will also note that each possible answer has a point allocation. These points are then added together at the end of the questionnaire to determine the client's risk category. Based on this category, the underlying investments are selected with either a greater or lesser exposure to risk.

These categories vary from product supplier and/or FSP to product supplier and/ or FSP and could consist of the following:

- Risk-Averse;
- Conservative;
- Careful;
- Moderately Conservative;
- Moderate;
- Moderately Aggressive;
- Assertive;
- Aggressive.

Each category has a point's weighting, and the client's overall scoring band will place the client into one of these risk categories. As stated in the articles quoted above, these categories do not speak to the client's objectives or affordability.

2.3 Interpret and explain basic financial statements^{169,170}

Interpreting basic financial statements is integral in financial planning (whether it be on a corporate or individual level). While every financial statement may, as a general rule, not apply to all clients, it is essential to know their existence and purpose.

In a corporate entity, the basic financial statements consist of a balance sheet and an income statement.

The balance sheet is based on the preceding financial year's figures and provides a snapshot of the entity's financial position at a specific date.

The income statement provides a view of the income received by the entity and the expenses incurred by the entity during the preceding financial year.

As is evident from these cursory descriptions, these financial statements are based on data gathered over the preceding financial year. Potential investors and credit providers consult both these financial statements as it provides them with a high-level overview of the entity's financial condition and informs initiatives and developmental areas in the business.

A financial planner should, where possible, obtain copies of these financial statements from an individual when providing advice. The financial planner can gather information similar to that contained in these financial statements by obtaining information relating to the client's assets, liabilities, cash flow, income, expenses, net worth and budget. Another factor that will inform the financial planner is the client's tax position. In practice, the favourable tax makes for a compelling argument in favour of investment into a particular financial product. Documents and/or information dealing with the previously mentioned aspects will provide the financial planner with information relating to the client's ability to save and the client's attitude towards debt.

The information and/or financial statements obtained from the client provide financial planners with vital information relating to the client's capital and income requirements. The client's existing

¹⁶⁹ Understanding Financial Statements, 2nd Edition, Mark Graham, Jimmy Winfield

¹⁷⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 26

and future capital requirements (for example, ongoing capital expenditure), together with the client's current and expected income and expenses, inform the nature of the investments proposed by financial planners to clients.

Under the circumstances, the financial planner is required to gather sufficient information from the client relating to the client's current assets. The financial planner should also identify cash flows and any disposable income available for investment. Some of the factors that may influence investment decisions are the client's experience and attitude towards investment.

These factors, together with the client's responses to a range of scientifically prepared questions, will assist the financial planner and product supplier in assessing the client's investment risk tolerance. Further factors that may influence the nature of the investment are the client's investment horizon and the client's investment return expectations, i.e. do the client expect capital growth or income or a combination of the two?

When these factors have been taken into account, the client is categorised according to the client's "risk profile". The risk profile informs the nature of the investment recommended to the client, i.e. a risk-averse investor could be advised to invest in money market portfolios or portfolios with minimal equity and listed property exposure.

KO3: Methods that can be used to market¹⁷¹

The purpose of this section is to highlight some basic investment principles that should be considered and/or brought to the attention of clients when advising them on the impact of a potential investment when making recommendations to the client explaining the methods that can be used to market participatory interest in collective investment scheme portfolios.

We have covered the details of this in the Subject: Asset Classes but will relook at these aspects and their impact specifically on CIS.

3.1 Income versus capital growth^{172 173}

Before implementing an investment solution, the financial planner has to know whether the client requires the investment to provide the client with income, capital growth and/or a combination of income and capital growth. This information allows the financial planner to recommend a financial product that addresses the client's needs. Therefore, it is one of the most essential pieces of information that the financial planner must obtain from the client.

This information will, to a greater extent, determine the nature and type of investment the financial planner recommends to the client. In other words, a client that requires a measure of liquidity within the investment vehicle and who expects to make withdrawals within a short period from inception of the investment, should not be encouraged to purchase a long-term insurance financial product, as the products available in the retail client space primarily have liquidity restrictions.

In other words, the client will be prohibited (subject to specific allowances) from withdrawing from the investment. An appropriate investment vehicle may be a CIS portfolio that provides the client with regular distributions and the ability to withdraw from the investment at the client's discretion.

A further enquiry may relate to the nature of the CIS portfolio recommended by the financial planner, i.e. does the client require regular withdrawals, which may inform whether the client invests in a portfolio primarily investing in assets situated outside of South Africa or in a portfolio that has invested in assets primarily within South Africa.

Clients requiring regular withdrawals may experience additional risk due to fluctuations in the foreign exchange rate, and it may not be advisable for these clients to invest in CISs investing in foreign assets, as the currency that will be paid when the assets are realised will still have to be

¹⁷¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 36

¹⁷² Asset Classes, Integrity Academy, Class of Business and CPD manual, 2019

¹⁷³ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 36

converted to South African Rand. For example, the rand/dollar exchange rate may result in the client having to realise more assets than if the client was not subject to the exchange rate.

Finally, the nature of certain assets dictates that these assets or portfolios primarily investing in these assets are not suitable for clients who require regular withdrawals, i.e. clients who cannot wait for the market to be more favourable before disinvesting.

Examples of these types of assets or portfolios are equities or equity portfolios. Recent years' market movements provide an excellent example of when it was not favourable for an investor to disinvest. A client who was compelled to disinvest at regular intervals (as opposed to being able to wait for the market to turn) would have been substantially prejudiced as that client would have had to realise a higher amount of equities than the amount required before the markets took a downturn, in order to receive the same amount of money.

3.2 Risk versus return^{174,175}

A well-known principle in the investment arena is that risk and return are related. Put another way; the investor has the hope of being compensated more for the additional risk assumed when investing in a particular asset or asset class. The additional risk referred to is the risk that the client's investment may devalue, i.e. the client may lose capital. Investopedia defines the Risk/Return Trade-off as follows:

"The principle that potential return rises with an increase in risk. Low levels of uncertainty (low risk) are associated with low potential returns, whereas high levels of uncertainty (high risk) are associated with high potential returns. According to the risk-return tradeoff, invested money can render higher profits **only if it is subject to the possibility of being lost.**"¹⁷⁶

Similarly, the lower the risk the client assumes, the lower the potential returns. A client investing in a money market portfolio stands less of a risk of losing capital than a client investing in an equity portfolio. In general, money market portfolios are less volatile than equity portfolios, and so the former client will experience fewer fluctuations in the value of the client's investment (as opposed to the client investor in the equity portfolio).

3.3 Tax efficiency^{177,178}

Income tax plays a vital role in ascertaining whether a prospective investment meets the client's needs. It should, however, be borne in mind that it is not the sole determining factor. Often financial planners select an investment vehicle based on tax efficiency and ignore other important factors such as costs, liquidity or inherent qualities of the investment vehicle (such as the ability to save executor's fees by nominating a beneficiary).

In essence, there are two broad categories of taxes, namely:

- income tax; and
- capital gains tax.

Long-term insurance products are subject to income tax in terms of the Five Funds Approach. It means that different tax rates apply to the long-term insurance product, depending on the type of policyholder.

Defining the five funds

- An **"untaxed policyholder fund"** (UPF), which manages:
 - Policies owned by funds (pension, provident, retirement annuity or benefit fund);

¹⁷⁴ Asset Classes, Integrity Academy, Class of Business and CPD manual, 2019

¹⁷⁵ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 37

¹⁷⁶ <http://www.investopedia.com/terms/r/riskreturntradeoff.asp>

¹⁷⁷ Asset Classes, Integrity Academy, Class of Business and CPD manual, 2019

¹⁷⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 37

- Annuity contracts entered into by it in respect of which annuities are being paid;
- Policies issued to non-taxpaying institutions (e.g. local authorities, charities, churches, etc. as set out in section 10).
- A policy owned by a trust consisting only of such persons also falls into the UPF.
- A **"company policyholder fund"** (CPF), which manages the policies owned by companies. A non-UPF, non-IPF policy owned by a trust also falls into the CPF.
- An **"individual policyholder fund"** (IPF), which manages those policies that individual policyholders, i.e. natural persons, own. A policy owned by a trust consisting only of persons other than companies also falls into the IPF.
- A **"corporate fund"** (CF), in which it manages all the assets and liabilities owned by the insurer itself.
- **"The risk policy fund"** In this fund must be placed, assets having a market value equal to the value of liabilities determined concerning any risk policy.

The tax rates applicable to these funds are as follows (2022/23):

Fund	Tax rate	CGT rate
Individual Policyholder Fund	30%	18%
Corporate-Policyholder Fund	28%	22.4%
Untaxed Fund: Retirement capital	0%	0%
Untaxed Fund: Tax-exempt funds	0%	0%
Risk policy fund	28%	22.4%
Corporate Fund (insurer's reserves)	28%	22.4%

In terms of the Income Tax Act, all first-hand policies are also exempt from capital gains tax in the hands of the policyholder (owner). A policy will only become subject to capital gains tax in the hands of the owner if it is sold and becomes a second-hand policy.

Where the investment is made directly into a CIS portfolio, the investment would be subject to capital gains tax should a taxable event occur, e.g. disposal of participatory interest.

By way of example, Mr X purchased participatory interests in a CIS portfolio for R80 000. He disposes of the participatory interest two years later at a selling price of R280 000. His gain (R280 000 – R80 000) R200 000 will be subject to capital gains tax at a maximum effective tax rate of 13.3%. This effective rate will vary from taxpayer to taxpayer depending on the investor's marginal tax rate.

It is therefore important for the financial planner to understand the features of the financial product recommended to a client and to ensure that the client is aware of the income tax implications relating to that investment relative to the client's existing tax situation. We will be looking at taxation in a separate unit in this subject.

Failure to advise clients of these implications will result in the client making uninformed decisions and entering into inappropriate investments that could result in tax being paid at a higher rate than what the client would have paid had the client not entered into this particular investment.

3.4 Time value of money^{179,180}

A thorough understanding of the time value of money is essential to all financial planners as it underlies many aspects of financial planning, from retirement planning to education planning to equity and bond valuation.

The purpose of this chapter is not to explain the mathematical principles of compound interest, but rather to explain how the different types of compound interest calculations are computed

¹⁷⁹ South African Financial Planning Handbook, 2019

¹⁸⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 38

using a financial calculator. The examples will be illustrated with the use of the HP10bII (and HP 10bII+) calculator.

The time value of money can broadly be defined as the increase, reduction, depreciation or appreciation of money at a set rate or percentage over a period of time. In essence, the calculation provides one with the actual value or amount of money at a point in time based on a predetermined rate. Examples of calculations that one is often required to perform are:

1. Mr X would like to know the value of his R100 in ten years' time assuming a rate of inflation of 6%;
 1 P/YR
 10N
 6I
 R100FV
 PV = R55,84
2. Mr Y invests R100 per month for six years and expects a 7% rate of return compounded monthly calculated annually. Calculate the monetary amount that Mr Y will receive annually based on the assumptions made by Mr Y:
 12P/YR
 R100 PMT
 6-second function N
 7I
 FV = 8 968,10

3.5 What are Economic Indicators in 2019?¹⁸¹

There are a number of economic indicators that offer statistical information about a country's economic activity. Used mostly as a '*pre-view*' of sorts to establish performance, patterns and prediction on future performance within an economy, such as a business cycle. The article will take a look at the various types of economic indicators, the importance of their use during trading as well as where to find the relevant indicators per country.

Economic indicators are scheduled economic data releases, declarations and announcements by leading factors in the financial arena. There are many indicators, and each of them differs from the other in their place of origin, target audience and effect on the various financial markets. For convenience purposes we separated the indicators by region – starting with the US indicators, followed by the European indicators and to the Asian indicators.

Types of Economic Indicators

The indicators' frequencies vary from one indicator to the other; some are daily, others monthly and several are quarterly. Before the indicator occurs, there are speculations made by leading financial figures, and traders base their moves on those speculations. An economic event has a double influence; first when announced, and second when compared to the speculations made before. A big difference between the speculation and the actual number can cause shifts in the market.

Examples of economic indicators include:

- Unemployment rate

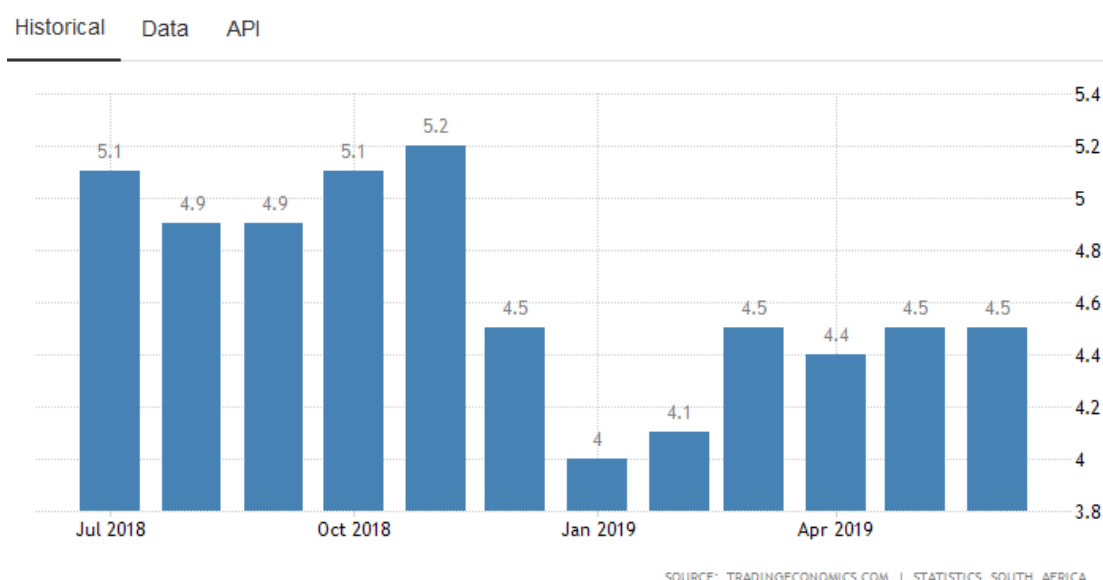
¹⁸¹ <https://www.avatrade.co.za/education/economic-indicators>

- Inflation (CPI)
- Interest rates
- New building permits
- Federal funds rate
- Changes in the Gross Domestic Product (GDP)
- Foreign Exchange
- Income/Wages
- Consumer Price Index (Inflation)
- Currency Strength
- Corporate Profits
- Balance of Trade

Each indicator can affect more than its market. For instance, if a government issued a statement that more building permits were given, it would result in more jobs, lowering the unemployment rate and thus leading to higher consumption rate and ending with the strengthening of the local currency.

3.5.1 Inflation¹⁸²

The annual inflation rate in South Africa was at 4.5 percent in July 2019, unchanged from the previous month and slightly above market expectations of 4.4%. Prices of food & non-alcoholic beverages and housing & utilities rose further while the cost of transport eased. Inflation Rate in South Africa averaged 8.99 percent from 1968 until 2019, reaching an all-time high of 20.70 percent in January of 1986 and a record low of 0.20% in January of 2004.



This relates to the rate at which the buying power of money reduces over time. In essence, inflation and interest rates are inverted. It means that when inflation is high, the repo (repurchase) rate is normally low. The repo rate is the rate attached to the credit extended by the Reserve Bank to commercial banks. These commercial banks add a margin to the repo rate to calculate the prime lending rate. The prime lending rate is normally the beginning point in determining the rate at which the commercial bank is prepared to extend credit to a client.

¹⁸² <https://tradingeconomics.com/south-africa/inflation-cpi>

As stated above, the repo rate and the prime lending rate are normally inverted. By way of example, should inflation be high, it means that there has been a high rate at which the price of goods that can be purchased in the open market has escalated. This normally occurs when interest rates are low, and consumers have to pay less of their disposable income to service debt. Under the circumstances, the consumer's demand is high, and this results in a faster rate of price increase(s) than when the demand is low. To stem the demand, the Reserve Bank would increase the repo rate, which in turn means that the commercial banks increase the prime lending rate.

The increase in the prime lending rate means that the interest rates attached to the credit provided to consumers by these banks will increase. This means that the consumers would have to pay more to service their debt leaving these consumers with less disposable income. Less disposable income means less shopping (due to less money available and prices now being regarded as high), which roughly translates into lower demand. Lower demand means that prices will increase more slowly or even decline, resulting in a lower rate of inflation. Therefore, lower interest rates translate into higher inflation and higher interest rates translate into lower inflation.

As inflation is an indicator of interest rates and interest rate trends, investors wanting to invest in money market portfolios or fixed interest investments such as fixed deposits will monitor inflation to try to determine whether the governor of the Reserve Bank will increase or decrease the repo rate. Should the expectation be that the repo rate will be increased (due to high inflation), investors will look to purchase fixed interest investments (particularly in the secondary market) at a discounted price, to compensate for the loss in value that the fixed interest investment would experience due to the rising interest rate, or would resist investing in these fixed interest investments until the true effects of potential interest rate changes are realised.

3.5.2 CPI¹⁸³

The CPI is a current social and economic indicator that is constructed to measure changes over time in the general level of prices of consumer goods and services that households acquire, use, or pay for.

The index aims to measure the change in consumer prices over time. This is done by measuring the cost of purchasing a fixed basket of consumer goods and services of constant quality and similar characteristics, with the products in the basket being selected to be representative of households' expenditure during a year or other specified period. Such an index is called a fixed-basket price index. The index also aims to measure the effects of price changes on the cost of achieving a constant standard of living (i.e. the level of utility or welfare). This concept is called a cost-of-living index (COLI).

Some of the items included in the basket of goods used to calculate CPI are the following¹⁸⁴:

Product group	Weight
Food and non-alcoholic beverages	15.68
Alcoholic beverages and tobacco	5.58
Clothing and footwear	4.11
Housing and utilities	22.56
Household contents and services	5.86
Health	1.47
Transport	18.8
Communication	3.22
Recreation and culture	4.19
Education	2.19
Restaurants and hotels	2.78
Miscellaneous goods and services	13.56

¹⁸³ Source: Statistics SA

¹⁸⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 40

Interest rates¹⁸⁵

An **interest rate** is the amount of **interest** due per period, as a proportion of the amount lent, deposited or borrowed (called the principal sum). It is the **rate** a bank or other lender charges to borrow its money, or the **rate** a bank pays its savers for keeping money in an account.

These are the cost you pay for using someone else's money or the income you receive as a result of allowing another person to use your money. As stated above, interest rates charged by commercial banks are informed by the prime lending rate. The prime lending rate is, in turn, informed by the repo rate (as discussed above). The prime lending rate is the base interest rate that commercial banks use to provide credit to consumers. In practice, a consumer may access credit with a commercial bank at a premium or a discount. Aspects such as security provided, previous behaviour (relating to debt repayments) and the nature of the asset to be purchased, etc. determine whether the consumer will receive credit at a premium (e.g. prime plus 5%) or at a discount (e.g. prime less 2%). Generally, interest rates are linked to the prime lending rate, which means that they fluctuate in line with the prime lending rate. Namely, as the prime lending rate increases so too will the interest rate increase, applicable to the line of credit provided to the consumer.

- **Gross domestic profit¹⁸⁶**

GDP refers to the total value of goods and services produced by a country in a particular year. GDP is used to measure economic growth for a period, normally one year. GDP is defined in Wikipedia as:

"The **gross domestic product (GDP)** or **gross domestic income (GDI)** is a measure of a country's overall economic output. It is the market value of all final goods and services made within the borders of a country in a year..."

http://en.wikipedia.org/wiki/Gross_domestic_product

The higher the GDP, the better the country has performed and consequently GDP has been used as a measure of the standard of living of the citizens of that country. In other words, higher GDP translates into more products stimulated by a higher demand, which further translates into more disposable income available to service debt, and therefore a better standard of living. Consequently, the suppliers of these goods and services should be earning a better income resulting in their value increasing, which means that their shares will increase in value.

3.5.5 Currency¹⁸⁷

The primary objective of monetary policy in South Africa is to achieve and maintain price stability in the interest of sustainable and balanced economic development and growth. Price stability reduces uncertainty in the economy and, therefore, provides a favourable environment for growth and employment creation. Furthermore, low inflation contributes to the protection of the purchasing power of all South Africans, particularly the poor who have no means of defending themselves against continually rising prices. Currency plays an essential part in the investment decision when investing in the currency. Where the investor invests in currency, the value of the currency determines the value of the investment (very much like any other asset class).

3.5.6 Foreign exchange¹⁸⁸

The primary aim of the *foreign exchange market* is to facilitate international trade and international money and capital movements by providing a *market* where different *currencies* can be exchanged for one another. Where the client elects to invest offshore, the strength or weakness of the base

¹⁸⁵ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 41

¹⁸⁶ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 42

¹⁸⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 42

¹⁸⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 42

currency (the currency invested in) *vis à vis* the domestic currency of the investor will determine the actual gain or loss made by the investor, i.e. after realisation of the investment, the conversion of the proceeds to the domestic currency of the investor may result in additional losses or gains.

3.6 Benchmarks and indices¹⁸⁹

Nearly all unit trusts 'benchmark' themselves against some appropriate standard in order to gauge **performance**. Typical **benchmarks** are major stock market **indices**, the average **performance** of the fund sector, or CPI (inflation). Some funds use composite **benchmarks**, such as the 70% stock market **index**, 30% money market rate. Indices or an index (being singular) are often referred to in the investment fraternity, but very few individuals understand the concept. An index refers to a range of securities which share certain similarities and which are reported collectively to provide potential investors with a holistic view of their performance. Examples of an index are the JSE Listed Top 40 Equities or the JSE Industrial Index. Indices refer to more than one index.

It is common practice for asset managers, when managing assets, to target a return that matches or exceeds a return delivered by an index, e.g. SWIX, which refers to the shareholders' weighted average index. This targeted return is referred to as a benchmark, and asset managers who exceed their benchmarks may be rewarded with a performance fee.

3.7 Economic principles¹⁹⁰

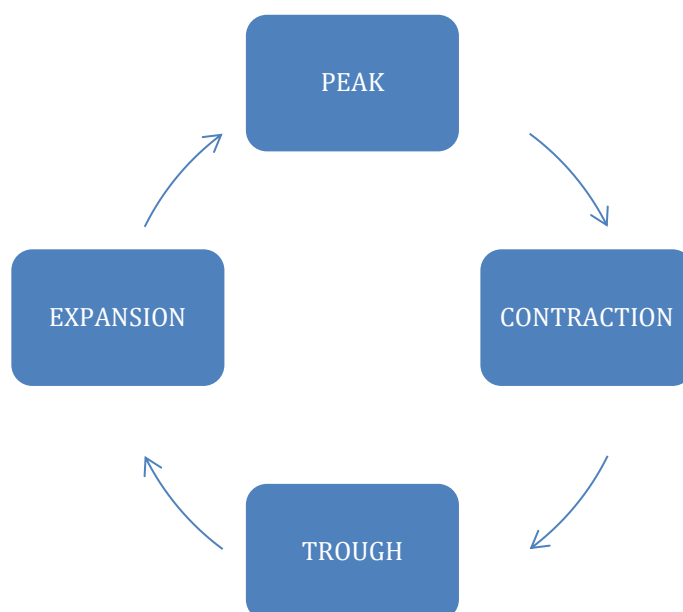
The economy of every country in the world is cyclical in nature. Generally, there are four major phases in the cycle (although opinions may vary):

1. **Contraction** – This phase follows a peak in the economy and is indicative of a slowdown in economic activity.
2. **Trough** – The continual downward spiral in economic activity results in the economy moving into a trough, which is the lowest point/rate of economic activity in the cycle. It is also the phase where the downward spiral is converted into an upward spiral and leads to the expansion phase.
3. **Expansion** – This phase indicates an acceleration of economic activity and is the precursor to the peak in economic activity.
4. **Peak** – This phase remains true to its name and indicates the uppermost point of economic activity before the phase dissipates and moves into the contraction phase indicating a slowdown in the economy.

¹⁸⁹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 42

¹⁹⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 43

These four phases are depicted as follows: ¹⁹¹



Economic activity is influenced by demand and supply. Demand and supply are measured by, *inter alia*, inflation. If inflation is high, it may mean that demand is high and that there is substantial liquidity in the marketplace allowing consumers to buy goods to such an extent that demand has increased substantially (probably beyond supply). This demand would result in prices for these goods increasing at a faster rate, thereby resulting in a higher rate of inflation. This is commonly referred to as **demand-pull inflation**. A higher rate of inflation is indicative of an expansionary or peaked economy.

Where demand wanes through, for example, an increase in the repo rate that in turn results in an increase in the prime lending rate, supply will exceed demand. The excess goods available in the marketplace and the lack of liquidity, due to consumers using more of their disposable income to service debt, will result in prices for goods decreasing. This decrease in the prices of goods will result in a contraction in the economy.

The continued contraction will eventually lead to a trough, after which the expansionary and peak phases will occur, perpetuating the cycle.

It may occur that the costs associated with manufacturing the goods or providing the services escalate to such an extent that the price at which the consumer can obtain these goods or services has to escalate. This escalation in price(s) may occur at a faster rate, resulting in inflation rising. Rising inflation is indicative of an expansionary phase in the economy, which, if sustained over a long period of time, results in a peak. This type of inflation is commonly referred to as **cost-pull inflation**. Examples of costs driving inflation are where the costs of unskilled labour rise simultaneously or within a short space of time in various sectors of the economy.

3.8 Foreign/ international investments¹⁹²

A perception often exists that investors must transfer their funds (money) to a foreign country in order to invest in foreign or international investments. This perception is incorrect. While one of the avenues to gain exposure to foreign investments is to physically transfer one's funds (money) to a foreign jurisdiction, this is not the only option. In this section, we will deal with some of the main avenues employed to gain foreign exposure. This chapter is not exhaustive nor is it intended to be exhaustive.

¹⁹¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 43

¹⁹² Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 44

3.8.1 Direct foreign investment¹⁹³

This requires investors to transfer their funds offshore.

This transfer requires the South African Reserve Bank's approval. Requirements that have to be met in order for investors to obtain this approval include a Tax Certificate of Good Standing issued by the South African Revenue Services. In terms of current foreign exchange regulations, South African citizens may invest up to a maximum of R10 000 000 offshore. Upon disinvesting, the foreign exchange rate prevailing at the time of repatriation of the funds (money) will impact on the rand amount received by the investor. An example of this type of investment is where Mr X would like to invest directly in ABC Portfolio issued by a Unit Trust Company domiciled in the USA. In this instance, Mr X would have to obtain SARB approval prior to transferring the funds (money) offshore. This investment will form part of his offshore investment allowance of R10 000 000.

3.8.2 Indirect foreign investment¹⁹⁴

This occurs where investors invest in domestically domiciled investment vehicles such as a Rand-denominated CIS portfolio that invests in securities situated offshore.

Investment in this portfolio is not regarded by SARB as an offshore investment and investors are not required to have SARB's approval before investing in this portfolio. Similarly, as the investment is in South African rand, the investment is not subject to foreign exchange rate fluctuations. However, the investment by the portfolio into the foreign security would be affected by the foreign exchange rate and this impact will be written into the pricing of the South African portfolio. Further examples of the financial product(s) used to obtain indirect foreign investment exposure are long-term insurance policies, i.e. where the long-term insurer invests a portion of its assets offshore.

3.9 Market expectations and investment risk¹⁹⁵

This section deals with one of the fundamental principles in the investment arena commonly referred to as risk versus return. The general principle relating to risk versus return is that where the investor selects an investment that is categorised as a high-risk investment, that investor should stand a chance to be compensated for the additional risk assumed in the investment. Similarly, where an investor targets a high return, that investor must assume a high level of risk in attempting to secure the high investment return.

By contrast, should the investor select a low targeted return, the investor should be compensated at a lower level (relative to the investor who selected a greater amount of risk) for the lesser amount of risk assumed in the investment?

3.10 Active versus passive management¹⁹⁶

Active versus passive asset management regards the different types of asset management styles applied by asset managers.

Passive management means that the asset manager determines an asset allocation and reviews this asset allocation at regular intervals, e.g. annually. The asset manager will review the performance of the past period and make a determination based on available information, market performance and expected developments for the coming period. Assets are then rebalanced within the portfolio and the portfolio is then set for review at the next review date. Developments that occur within the year do not generally incite a trade in the intervening period.

Active management means that the asset manager attempts to secure the best return by actively trading securities to best match the asset manager's return expectations as informed by

¹⁹³ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 44

¹⁹⁴ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 45

¹⁹⁵ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 45

¹⁹⁶ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 45

developments in the marketplace. In this instance, the asset manager would trade based on a view taken on the market as and when developments occur or shortly thereafter. The asset manager may also anticipate market movements and manage assets to best target returns based on these expectations.

3.11 Rand cost averaging¹⁹⁷

Rand cost averaging refers to the process of phasing in investments over time. Where investors are of the view that the market is going to take a downturn, it is advantageous for the investor to invest in an investment over a period of time. This principle is best explained by way of an example.

Example: Mr X wants to invest R1 200 in Portfolio Y as he believes the long-term prospects of the portfolio are positive. He is, however, of the view that Portfolio Y will experience a downturn in the short term. Currently, Portfolio Y's participatory interests ("units") are priced at R10 per unit. The following table depicts the effect of the market movements on Portfolio Y and Mr X's investment:¹⁹⁸

Month	Unit Price	Amount Invested	Units Purchased	Units if no Rand Cost Ave
January	R10.00	R100	10.00	120
February	R9.50	R100	10.53	
March	R8.00	R100	12.50	
April	R7.50	R100	13.33	
May	R7.00	R100	14.29	
June	R6.50	R100	15.38	
July	R6.00	R100	16.67	
August	R5.50	R100	18.18	
September	R5.00	R100	20.00	
October	R5.00	R100	20.00	
November	R4.50	R100	22.22	
December	R4.00	R100	25.00	
TOTAL UNITS			178.10	120

You will note from this exaggerated example that Mr X's position could have been either positive or negative depending on whether he employed the rand cost-averaging principle.

Should he not have employed this principle, he would have purchased 120 units at the cost of R10.00 per unit. By December, his 120 units would have been valued at R480.00 as opposed to his R1 200 initial investment.

In contrast, by employing rand cost averaging, Mr X now owns 178.10 units valued in December at R712.40. As you can see from the example, Mr X's losses have been contained by implementing the rand cost averaging principle. Should the unit price revert to its initial value (in January), then Mr X's investment would be worth R1 781.00. Any increase in the unit price would perpetuate this growth, as Mr X now owns more units than if he had invested through one bulk investment.

3.12 Compound interest and reinvestment of income¹⁹⁹

In basic terms, **compound interest** is interest on interest earned. It means that the interest earned by an investor's investment is automatically added to the capital and will be considered

¹⁹⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 46

¹⁹⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 47

¹⁹⁹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 47

when calculating subsequent interest payments. The process of adding the interest earned to the capital amount is followed in successive periods, resulting in interest on interest being earned.

A similar process is followed in respect of the **reinvestment of income**. In this process, the income received from the investment is automatically reinvested as capital so that it may generate additional income.

In both instances in South Africa, the income or interest accrues to the investor when declared, and this accrual constitutes a taxable event for the investor, which must be included when calculating the investor's gross income for income tax purposes. This income can be interest, dividend or rental in nature.

3.13 Diversification²⁰⁰

Charles Darwin, in the *Origin of Species*, Chapter IV - NATURAL SELECTION, states:

"By considering the nature of the plants or animals which have struggled successfully with the indigenes of any country and have then become naturalised, we can gain some crude idea in what manner some of the natives would have had to be modified, in order to have gained an advantage over the other natives; and we may, I think, at least safely infer that diversification of structure, amounting to new generic differences, would have been profitable to them."

Authors MA Neu-Ner and C Firer, in their publication "The Benefits of Diversification on the JSE" published in the *Investment Analysis Journal* of 1997 in their introductory paragraph state the following:

"A fundamental cornerstone of investment theory is the principle of diversification.

"Risks inherent in investment are often described as being made up of those risks which are common to all assets, and thus cannot be diversified (systematic or market risk) and those which are unique to the asset and can thus be eliminated by diversification (firm-specific or non-diversifiable risk).

"As portfolio size increases, the risk of the portfolio falls due to the elimination of firm-specific risk. Of importance to investors is the number of assets in the portfolio beyond which the addition of further assets will not (for all practical purposes) result in further risk reduction."

The authors of the above extracts advance (at least) two principles: diversification improves profits and reduces risk.

These principles are well entrenched in the investment arena, and asset managers do not debate whether they should diversify assets in a portfolio. The challenge rather is to ascertain the optimal percentages to be diversified and where the diversified assets should be invested. Asset management companies employ specialists to ascertain the optimal diversification and asset allocation percentage. In so doing, these asset managers can reduce a portfolio's risk.

KO4: Investing in foreign collective investment schemes (FCIS)²⁰¹

You can invest in a locally registered collective investment portfolio fund with international exposure or foreign markets using your R10 000 000 annual foreign investment allowance.

Before you can use your foreign investment allowance, you need to ensure that you meet the following requirements:

1. You must be a natural person of at least 18 years of age. You cannot invest in a trust, close corporation or company.

²⁰⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 48

²⁰¹ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

2. You need to apply for a tax clearance certificate at your local SARS Branch office, where you are registered for Income Tax purposes.
3. SARS will send the tax clearance certificate directly to the authorised dealer handling the actual transfer/investment of the funds.

If you have decided to invest in a foreign fund, there are several organisations you can approach. The offshore divisions of South African CIS management companies and banks offer funds. There are also several foreign companies that the FSCA has approved to sell their products in South Africa. It allows for a relatively easy entry into foreign investment for South Africans.

Investing in a foreign fund that the FSCA has approved is strongly advisable.

A list of approved FCIS and their funds are available on the FSCA website at www.fsca.co.za. Schemes which are members of ASISA can be found on the ASISA website at www.asisa.org.za.

4.1 The importance of investing in approved offshore investment schemes²⁰²

In terms of Section 65 of the Collective Investment Scheme Control Act, no 45 of 2002, no FCIS may be marketed in South Africa unless the FSCA approves them. This regulation does not prevent you from deciding to invest in an offshore collective investment portfolio or any other foreign investment that the FSCA does not approve. Still, it does prohibit anyone from advising you to invest in unregistered collective investment portfolio funds.

The requirement that funds have to be approved by the FSCA was introduced to ensure that:

1. The fund operates in a regulatory environment of at least the same and/or similar standards as in South Africa;
2. The risk profile of the fund is not significantly higher than similar funds offered in South Africa; and
3. The investments offered for sale are similar to those offered by a local management company.

All of the above ensure that local investors are afforded maximum protection.

4.2 Different types of investment funds²⁰³

Selecting an appropriate foreign fund can prove to be the most challenging. Not only is there a wide choice of investments to choose from, but the terminology used to describe the funds available is often confusing. Often terms such as mutual funds, collective investment portfolios, OEICs and SICAVs are used interchangeably. The ones most commonly found in the foreign schemes and funds on offer in South Africa include:

1. Unit trust funds or collective investment schemes (CISs);
2. Open-Ended Investment Companies (OEICs);
3. Société d'Investissement Collectif à Capital Variable (SICAVs).

²⁰² <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²⁰³ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

4.3 Mutual funds

4.3.1 Unit trust funds/ collective investment scheme funds²⁰⁴

Foreign collective investment scheme portfolios are similar to local collective investment scheme portfolios in structure and management. Your money is pooled with other investors who have similar investment objectives.

Experienced investment managers invest this pool of money in a wide range of international shares, bonds and other financial instruments. The total value of the pool of invested money is split into equal portions called units.

The unit price depends on the underlying assets' market value in which the pooled money is invested and is calculated at defined periods, which may be daily, weekly, bi-monthly or monthly.

The value of the collective investment portfolio will rise and fall because it is linked to the value of shares and other instruments in which the collective investment portfolio is invested.

The assets of the collective investment portfolio fund are held in trust for the benefit of the underlying investors. The trustee/ custodian is placed under a fiduciary responsibility to ensure that the fund is managed following its investment objective.

4.3.2 Open-Ended Investment Companies (OEICs)²⁰⁵

Until May 1997, only two types of investment vehicles were available in the UK: collective investment portfolios and investment trusts. In May 1997, another type of investment fund called an Open-Ended Investment Company, or OEIC, was introduced. OEICs are similar to collective investment portfolios. In Europe, OEICs are registered mainly in jurisdictions such as the Channel Islands, Isle of Man and Ireland, which the UK Financial Services Authority regulates.

Unlike the collective investment scheme portfolios, where the purchase of shares in the company obtains investors to purchase units in a portfolio, participation rights of investors. As new investors enter the scheme, new shares are issued – hence the reference to “open-ended”.

The company has no predefined termination date; it can continually issue or buy back its shares and therefore has a variable share capital. It uses the basic corporate structure for investment funds in Continental Europe and the United States.

Many managers are looking to convert existing portfolios into OEICs because the new vehicle is more flexible.

The custodian is placed under a fiduciary responsibility to ensure that the fund is managed per its investment objective.

4.3.3 d'Investissement Collectif à Capital Variable (SICAVs)²⁰⁶

SICAVS are very much the same as OEICs, only that these schemes are typically registered in French-speaking countries such as Luxembourg and France. They are also open-ended investment companies and are required to fulfil certain conditions as prescribed by the European Directive on UCITS (please see explanation below).

The investment company usually delegates the investment and administration tasks to a third party. It typically has no staff other than a Board of Directors (or an Authorised Corporate Director in the case of some OEICs), which carries the overall responsibility for all matters regarding the fund. The depositary, similar to a trustee of a portfolio, is charged with the safekeeping of the

²⁰⁴ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²⁰⁵ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²⁰⁶ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

fund's assets and monitoring management activities, which must always be taken on the sole interests of the investor.

4.3.4 European Union (EU) Directive on UCITS²⁰⁷

UCITS is an abbreviation for "Undertaking for a Collective Investment in Transferable Securities" and describes an investment fund, typically an open-ended fund such as a SICAV and an OEIC, that complies with the EU Directive on UCITS.

As amended, the European Directive 85/611/EEC of 20 December 1985 aims to harmonise the laws, regulations and administrative provisions relating to UCITS.

The directive has a dual objective:

- To level the competitive conditions among UCITS at the European level; and
- To ensure adequate and uniform protection for investors.

In addition, the Directive also attempts to simplify cross-border marketing and to help bring about a European capital market.

4.4 The EU Directive only covers those foreign schemes that²⁰⁸:

1. Are domiciled in a Member State of the European Union (EU) and European Economic Area (EEA);
2. Are publicly offered;
3. Repurchased at net asset value at the unitholder's/ shareholder's request;
4. Invest in transferable securities;
5. Operated on the principle of risk-spreading;
6. Entrust their assets to a depositary/ custodian/ trustee;
7. Investment funds that fulfil these requirements can be freely marketed across borders in 18 EEA countries without further authorisation.

4.5 Mutual fund scheme²⁰⁹

Mutual funds are offered in the United States and run on the same basis as OEICs. Like OEICs and SICAVs, a mutual fund is an investment company that pools money from investors and invests in a diversified portfolio of securities. Mutual fund investors buy a participatory interest representing equal participation in all fund securities.

Mutual funds are also naturally open-ended - that is, the fund continually offers new shares to investors.

4.5.1 Different types of fund structures²¹⁰

Fund structures are continually evolving to keep up with changing consumer needs. In foreign markets, different structures such as umbrella schemes, funds of funds and feeder funds are used to allow the provider to add sub-funds to meet different investor needs. Collective investment schemes or CISs can operate as umbrella schemes and feeder funds.

²⁰⁷ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²⁰⁸ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²⁰⁹ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²¹⁰ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

4.5.2 Umbrella Scheme²¹¹

By their very nature, OEICs and SICAVs can operate as umbrella structures. Within the umbrella scheme, investors have access to the OEICs or SICAVs funds, each with different investment objectives and to the funds of other companies. In other words, the companies' funds and those of other companies are offered within the umbrella scheme.

For example, under one umbrella, there may be a fund investing in European company shares, a second in UK Government or corporate bonds, a third in North American shares and so on.

Each fund is represented by a different class of share within the OEIC or SICAV. In most instances, the shareholder may switch or convert from one class of share to another at zero or reduced costs. A further characteristic is that the share classes offered for a particular fund may be issued in currencies other than the scheme's currency, e.g. in a UK Sterling scheme, which means that investors would be able to buy Euro or US Dollar-denominated shares if this was more suitable for them.

Most schemes also provide for additional funds to be added by issuing a new class of shares. Where this occurs, an amendment is made to the company's prospectus. Should the initial charges for a new class of share be higher than those of the existing classes of shares, provision is made for an initial deferred charge, being the difference between the original charges paid and the charges on the new fund.

All income received and interest earned in an umbrella fund is accumulated to enhance the underlying funds' capital value. In most cases, no dividends are paid.

4.5.3 Feeder funds²¹²

These funds allow the investor entry through one fund into an underlying fund, which can be registered as an OEIC/ SICAV/ mutual fund/ unit trust in the same or other jurisdictions.

A feeder fund invests solely through another fund, the master fund. Shares are sold to investors through the feeder fund but are invested through the master fund. One of several funds that feed into an umbrella fund called the master fund, which oversees all portfolio investments and trading activity. A feeder fund's structure is commonly used by hedge funds to pool investment capital. The master fund's profits are split on a pro-rata basis among the feeder funds in proportion to their investment. Management and performance fees are also paid at the feeder fund's level.

Master-Feeder Fund²¹³

A structure commonly used by hedge funds to pool investment capital raised by investors - both taxable and tax-exempt - and overseas investors into one central vehicle called the master fund, with separate investment vehicles or feeders created for each investor group. Investors invest in the feeder funds, which in turn invest their assets in the master fund. The master fund makes all the portfolio investments and conducts the trading activity, while management and performance fees are payable at the feeder-funds level.

One master-feeder fund advantage is that its structure enables the consolidation of multiple portfolios into one, which reduces trading and operation costs. It also has economies of scale and, by its size, can obtain better service and favourable terms from prime brokers and other institutions.

²¹¹ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²¹² <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²¹³ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

4.5.4 Fund of funds²¹⁴

A fund of funds is similar to a feeder fund. Still, investments are placed into several underlying funds run by the management group or other fund management companies. The selection of underlying funds is therefore made on a managed basis according to the specific mandate of the fund.

4.5.5 Tax Implications²¹⁵

Any income earned from foreign investment is taxable. Unlike dividends earned from investments in South Africa, which are tax-exempt, dividends you receive from foreign investments are taxable as income.

If you are a South African resident, the same Capital Gains Tax (CGT) rules apply to your offshore collective investment portfolios in the same way that it applies to your South African collective investment portfolios; that is, any capital gain on your investment may be subject to taxation.

4.6 Reporting on performance and pricing of offshore funds²¹⁶:

	Pricing	Performance
Unit trusts / CIS funds	Dual pricing system – a buy price and sell price are quoted. The cost differential in this dual pricing system includes the manager's charges and advisor commissions within the calculation.	Performance is disclosed on a sell-sell basis.
OEICs, SICAVs and mutual funds	Single pricing system. There is one price for both buyers and sellers. Charges for buying and selling are accounted for separately. The price per share at which shares are redeemed is known as the nett asset value (NAV). NAV is the current market value of all the fund's assets, less liability, divided by the total number of shares in issue. A fund's share price, or offering price, is its NAV per share plus any applicable front-end sales charges (the offering price of a fund without a front-end charge would be the same as the NAV per share).	Fund performance is quoted on a NAV basis (i.e. neither front-end charges nor redemption fees are included), but fees being deducted directly from the fund (e.g. management fees) are taken into account. Distributions are assumed to be reinvested.

Please note that in terms of SA legislation, SA funds are currently only allowed to deduct three types of expenses from the income of the fund (i.e. audit fees, service fees and taxes). Other expenses may be deducted with foreign funds, including management, custodian, domiciliary fees and administration expenses.

4.7 If you are considering foreign collective investment portfolios, keep the following in mind²¹⁷:

- Funds managed from what is known as a foreign tax haven are still subject to little or no tax. However, interest and dividends are taxable in the hands of the unitholder. As with domestic collective investment portfolios, capital gains tax may be payable on capital gains in the hands of the unitholder. Also, note that investment secrecy is diminishing. Lack of or incomplete disclosure regarding withholding taxes – it is often

²¹⁴ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²¹⁵ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²¹⁶ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

²¹⁷ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

challenging to track withholding taxes levied on the returns of the underlying assets. If the tax cannot be tracked, you cannot make a claim for a tax credit.

- No exchange controls exist, so you can freely move your money in and out of different countries and currencies.
- Wide investment choice.
- You can choose from an array of investment products and companies.
- Up until quite recently, you could only invest lump sums into foreign collective investment portfolios, and fairly large amounts of money were required to meet the minimum investment requirements. It is now possible to access funds with more affordable lump sum investments and make monthly debit order payments.
- You can invest in non-registered products, but you cannot expect the protection of local regulators.
- Decide what your investment objectives, risk tolerance and your time frame are.
- Take a careful look at the initial fees, on-going management fees, and any specific conditions relating to early withdrawals from the fund, i.e. exit penalties.
- Determine how much capital you have to invest and how much you will allocate to each investment you make. Take into account the returns you require and the level of risk you can tolerate.
- The overall direction of global markets. Also, consider how liquid the markets are should you need to get out of a fund quickly.
- The currency of the funds you would like to invest in is essential. You can reduce currency risk by ensuring that your portfolio is diversified in terms of currency and style.
- Analyse the fund's volatility level, i.e. the fluctuations of return, to determine if you can tolerate the level of volatility as a measure of risk.

Summary

We came to realise that it is an unfortunate fact that money attracts crooks, and the lure of big money can change ordinary people into cheats.

The financial markets have, over the years, seen their fair share of swindlers and scam artists. The purpose of this section is to highlight the requirements that must be met when providing advice in respect of CISs. The FAIS requirements do not hold only when providing advice on CISs but for all financial products.

Meeting a client's identified need

To meet clients' identified needs, three pieces of legislation are of particular interest to investors and professionals involved with collective investments. We will be learning how to apply knowledge of collective investment portfolios to position a specific portfolio to meet an identified need of a client.

Application of FAIS²¹⁸

As we all know (at this stage), the Financial Advisory and Intermediary Services Act 37 of 2002 ("FAIS") governs the rendering of intermediary services and the provision of advice in respect of a financial product.

Disclosures²¹⁹

Section 16(2) of FAIS stipulates that this code of conduct (being the General Code) must contain provisions relating to making adequate disclosures of relevant and material information, including disclosures of actual or potential own interests concerning dealings with clients.

Product Supplier disclosures

In addition to the disclosures detailed above, the FSP must also, at the earliest reasonable opportunity, disclose information relating to the product supplier. This information would, in the current context, relate to the CIS manager.

Product disclosures made to clients (upfront and on-going)²²⁰

Section 7 of the General Code goes further to require an FSP that is not a direct marketer to make prescribed product disclosures to the client at the earliest reasonable opportunity. Once again, where these product disclosures are made verbally, they must be confirmed by the FSP in writing within 30 days.

FAIS and COFI²²¹

As part of the new Twin Peaks regulatory regime, the FAIS Act will, in due course, be replaced with the Conduct of Financial Institutions (COFI) Act. National Treasury has set up a panel to develop the COFI Bill, and it is anticipated that the first draft will be released for comment in the second half of 2018.

Conduct of Financial Institutions (COFI) Bill²²²

Part of the Twin Peaks initiative is moving away from institutionally-based regulation to a more activity-driven regulatory environment. Although the FSRA is now law, the shift from the current sectoral licensing model to a more centralised activity-based licensing model is still in the works.

²¹⁸ <http://www.fidfund.co.za/wp-content/uploads/2017/07/financial-advisory-and-intermediary-services-act-2002-1.pdf>

²¹⁹ <https://www.gov.za/documents/financial-advisory-and-intermediary-services-act-general-code-conduct-authorised-financial>

²²⁰ <https://www.gov.za/documents/financial-advisory-and-intermediary-services-act-general-code-conduct-authorised-financial>

²²¹ Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

²²² Profile's Unit Trust and Collective Investments, March 2019, Profile Media, <https://www.profile.co.za/>

What marketing activities require authorisation?

A participatory interest in a collective investment scheme constitutes a 'financial product' as contemplated in the FAIS Act. The marketing of financial products may only be performed as a regular feature of business by persons having an appropriate licence under the FAIS Act (ordinarily, a Category I licence is required).

Personal financial planning

Section 8 of the General Code (Suitability) requires an FSP to conduct an analysis to advise the client. This analysis must be conducted concerning the information the FSP or representative gathers about the client's financial position, goals and aspirations.

The information may be obtained from the client, other product suppliers and entities that provide information relating to the client's financial products, e.g. Astute. Where the information is sourced from entities other than the client(s), the FSP or representative must provide documentary authorisation (signed by the client/s) before obtaining this information from existing product suppliers.

Interpret and explain basic financial statements²²³

Interpreting basic financial statements is integral in financial planning (whether on a corporate or individual level). While every financial statement may, as a general rule, not apply to all clients, it is essential to know their existence and purpose.

Time value of money²²⁴

A thorough understanding of the time value of money is essential to all financial planners as it underlies many aspects of financial planning, from retirement planning to education planning to equity and bond valuation.

What are Economic Indicators in 2019?²²⁵

Several economic indicators offer statistical information about a country's economic activity. Used mostly as a '**preview**' of sorts to establish performance, patterns and prediction of future performance within an economy, such as a business cycle.

Interest rates

An **interest rate** is the amount of **interest** due per period as a proportion of the amount lent, deposited or borrowed (called the principal sum). ... It is the **rate** a bank or other lender charges to borrow its money or the **rate** a bank pays its savers for keeping money in an account.

Investing in foreign collective investment schemes (FCIS)²²⁶

You can invest in a locally registered collective investment portfolio fund with international exposure or in foreign markets by using your R10 000 000 annual foreign investment allowance.

²²³ Understanding Financial Statements, 2nd Edition, Mark Graham, Jimmy Winfield

²²⁴ South African Financial Planning Handbook, 2019

²²⁵ <https://www.avatrade.co.za/education/economic-indicators>

²²⁶ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/the-facts-on-investing/>

Unit 6

CIS developments reported in the media



Analyse new developments reported in the media that could impact on the collective investment industry.



The pricing of collective investment schemes and the various elements that influence its performance.



You will need to achieve the following:

- Pricing of a participatory interest;
- Advantages and disadvantages of different investment options;
- Switching between funds;
- Health warnings;
- How to read the data printed in the newspaper.



- Use a financial newspaper to answer questions on the collective investment scheme funds of a specific manager;
- Research various fund managers and provide examples of fund fact sheets;
- Analyse new developments in the printed media and report your findings.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za
- Classification of Collective Investment Schemes:
 - <http://www.fsca.co.za>
 - <http://www.asisa.co.za>
 - <http://www.inseta.org.za>



Purpose²²⁷

The focus will be on the pricing of collective investment schemes and the various elements that influence its performance.

An investor valuing his/ her investment in a collective investment scheme requires the unit price provided by the manager to determine the investment value. Where different methods and principles were used, it became a focal point and a factor for the consumer public and the press in evaluating the collective investment scheme industry. It is, therefore, essential that pricing is done consistently and correctly throughout the industry, and ASISA has a standard for pricing that all managers follow.

In the past, we had two different prices.

The buy or purchase price was the price the investor paid for his units when investing in the fund, and the sell or repurchase price was the price the Manco paid when it bought back the units from the investor.

The difference between the two prices was called the spread and reflected the charges levied when purchasing units from the Manco.

The ASISA Code of Practice on Advertising²²⁸ ("COP Advertising") prescribes broad principles that should be applied by all managers when reporting on pricing and performance. These principles are that they are decent, honest, legal and truthful. These broad principles further relate to the disclosure of prices and performance and prescribe that this reporting must be:

- a) Fair;
- b) Consistent;
- c) Transparent;
- d) Accurate; and
- e) Compliant with international best practice standards where appropriate.

These principles find general application across the industry and provide the client with a measure with which to compare different portfolios and manager performance.

Most of the disclosures dealt with below are found in portfolio fund fact sheets, and financial advisors and clients are advised to consult these fact sheets before investing or advising clients to invest.

KO1: Pricing of a participatory interest²²⁹**1.1 Single pricing**

In the past, collective investment scheme managers quoted both a buy and a sell price. Now they quote a single price, which is the net asset value of the fund divided by the number of participatory interests in the fund. Certain charges which were previously added to the buy price to make up the sell price are now allowed as deductions in the fund. Permissible deductions include any costs related to running a portfolio (for example trustees'/customer fees, audit fees, the manager's annual service fee and regional services accrual levies, securities transfer tax and brokerage fees).

Generally, unit prices are fixed for a day and do not follow the minute by minute changes of the underlying securities. Prices are calculated using either historical or future (forward) pricing.

²²⁷ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 154

²²⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 154

²²⁹ South African Financial Planning Handbook, 2019

1.2 Historic pricing

It means that the nett asset value of the collective investment scheme is based on the day's closing prices of the individual securities held by the trust. All transactions on the following day are based on this value. This price is published in the press the following day and the price the investor sees is the price at which participatory interests will be bought or sold. This price is not a true reflection of the fund's value as any shifts in the market are not accounted for. Participatory interests may be re-priced at any time during the day should violent market movements cause investors to sell at a higher price than the participatory interests are worth. This is to prevent investors from being unfairly prejudiced.

1.3 Future pricing²³⁰

It occurs when the value of the fund is calculated in the evening and applied to transactions that occurred during the day. It means that transactions can only be priced and processed at the end of the day. It is a more realistic price and takes into account market changes. However, the investor only knows the value of transactions the following day.

How to read the newspaper regarding collective investment scheme prices

The table below gives an example of how collective investment scheme prices are reported in the press.

Fund name	Fee	Nav	Yield	Cpu	High	Low
ABSA						
Allrounder FoF	4,56	226,96		2,93	225,85	124,37
Balanced A	5,70	223,14		5,38	224,67	135,22
Balanced R	5,70	223,29		5,58	225,18	135,22
Bond A	1,14	122,53	8,63	10,11	125,61	108,81
Cautious A	5,70	125,26		8,19	126,46	102,39

- The first column shows the name of the fund by the manager.
- The second column shows the maximum fee charged as a percentage of net asset value.
- The third column shows the net asset value of a unit in the fund.
- The fourth column shows the annual effective yield on the fund. It applies to bonds funds, income funds and money market funds.
- The fifth column shows the total amount in cents paid out per unit over the past 12 months.
- The sixth column shows the highest sell price for the unit over the past 12 months.
- The seventh column shows the lowest sell price recorded over the past 12 months.

1.4 Fees

Collective investment scheme management companies normally levy management fees at a rate of 1%+ per annum, plus VAT, of the average monthly market value of the portfolio. Fee prices, however, are now more flexible than they have been in the past. Some funds now link the fee charged to the performance of the fund. The collective investment scheme manager can only deduct management fees from the accrued income of the fund and not the capital invested.

²³⁰ South African Financial Planning Handbook, 2019

Part of the initial fees charged by the collective investment scheme manager is intermediary/financial planner fees. These comprise about 3% of the initial investment. This amount usually decreases as the size of the investment increases.

There has been an international move towards direct buying and selling of collective investment schemes. It can be done through the internet, toll-free numbers or direct desks at the management company of the collective investment scheme.

Brokers' commissions are negotiable. Investors can ask for a discount. Certain management companies have consultants who answer questions on collective investment schemes and also sell collective investment schemes. They can discount the initial fees if asked to do so.

Collective investment scheme management charges were deregulated in June 1998. New funds created after that date, were permitted to set their fees provided they notified investors of those fees. Existing funds were only allowed to alter their fees with the approval of unitholders. Unitholders were not in favour of increased fees.

Consequently, in April 2000, further deregulation occurred. Existing funds had to maintain their old fee structure for existing investors (Class R fees) but could introduce a different scale of fees for new investors (Class A fees). A different fee structure applies to institutional or wholesale clients, that is, class B and C fees.

A management company may, therefore, have four or five sets of charges for its collective investment scheme funds. These could vary from 0,25% per annum to 1,5% per annum. In certain cases, performance fees may also be charged if an agreed benchmark is exceeded. This variation in fees applies not only to management fees but also to initial charges.

The question of fees has become a significant issue in South Africa. Not only does the issue frequently appear in the press, but it also appears to be attracting the interest of the authorities. Two issues need to be separated: first, transparency about the fees being charged and, second, the overall level of fees being charged and how this is divided between the asset management company, the intermediary introducing and servicing the business and the body providing the administrative service, that is the LISP. Another issue raised is who should benefit when a large supplier of funds receives a rebate or discount on fees from the asset management company.

In the future, we can anticipate increasing pressure to reduce the overall level of fees and that each player in the distribution channel will have to justify the fees they charge.

1.4 Standard on Effective Annual Cost (EAC)²³¹

While collective investment schemes use Total Expense Ratio's to compare costs, the long-term insurance industry has used the Reduction in Yield method to compare costs. It would be useful if investors and advisors were able to compare charges and their impact on investment returns across most savings and investment products.

From October 2016 they can do so by using the new ASISA Standard on Effective Annual Cost. It allows consumers and advisers to compare charges in a meaningful way irrespective of whether they are using a collective investment scheme (unit trust), a living annuity, a retirement annuity or an endowment policy.

As from 1 October, the EAC Standard applies to all local collective investment schemes (including foreign collective investment schemes) approved by the Financial Services Board for marketing in South Africa, contracts issued by linked investment services providers, long term insurance saving contracts (including endowments and living annuities, retirement annuity funds and preservation funds).

²³¹ South African Financial Planning Handbook, 2019

Product providers have to disclose four separate components of charges, including VAT and perform the EAC calculations assuming that an investor terminates the investment of at the end of specific periods. It must be shown in the disclosure table.

The four separate components of charges are:

- **Investment Management Charges** – costs and charges for the management of all underlying investment portfolios.
- **Advice Charges** – initial and annual fees, both lump sum and recurring.
- **Administration Charges** – all charges relating to the administration of a financial product.
- **Other Charges** – catch-all for all remaining charges such as termination charges, penalties, loyalty bonuses, guarantees, smoothing or risk benefits, wrap fund charges and risk benefits like waiver of premium.

In terms of Standard, the EAC must be calculated separately for each of the four components and then totalled to provide one EAC figure for the financial product, expressed as a percentage. The Standard specifies how these costs must be calculated.

All charges that an investor will incur must be included in the EAC measure. Where a charge is not available, a reasonable best-estimate must be used. It must be disclosed.

The table below (which must be presented with prescribed explanatory wording) is an example of what investors can expect to receive from product providers from October 2016 when obtaining a quotation for a savings or investment product:

Charges	1 Year	3 Years	5 Years	Term to maturity
Investment Management	1,1%	1,1%	1,1%	1,1%
Advice	0,5%	0,5%	0,5%	0,5%
Administration	0,9%	0,9%	0,9%	0,9%
Other	0,3%	0,3%	0,3%	0,0%
Effective Annual Cost	2,8%	2,8%	2,8%	2,5%

The EAC Standard and detailed examples of the disclosure table that must be provided to consumers and advisers can be downloaded from the ASISA web site: <http://tinyurl.com/zub94zr>.

As part of a phased implementation, investors can expect companies to provide them with an EAC, for products sold after 1 April 2010, from 1 June 2017.

From 1 June 2018, products sold after 1 April 2000 must be compliant. Moreover, from 1 June 2019, products sold before 1 April 2000 must be compliant.

KO2: Advantages and disadvantages of different investment options

There are many real and potential advantages and disadvantages offered by collective investment schemes. Different points are essential to different investors, and all of them should be carefully considered before an investment decision is made.

2.1 Advantages of collective investment schemes²³²

2.1.1 Professional portfolio management

Collective investment scheme companies employ a team of expert analysts and portfolio managers, and unitholders receive the benefit of their expertise. Collective investment scheme companies generally use the expertise of portfolio managers who manage large pension funds and insurance portfolios. The collective investment schemes are thus in a position to receive the research data and information needed for successful portfolio management techniques. Portfolio

²³² South African Financial Planning Handbook, 2019

managers possess expertise in many fields, including quantitative science, economics, accounting, finance, statistics, computer science and investments.

Large banks and insurance companies manage the majority of collective investment schemes in South Africa. They use collective investment schemes to show their investment expertise.

Portfolio managers are responsible for the investment decisions that will influence the performance of the collective investment scheme. These include security selection, risk and return characteristics and trading decisions.

2.1.2 Smaller limits

Few stockbrokers would be interested in managing a client's R100 per month investment. This money can be placed with a collective investment scheme company offering a small investor exposure to a fully diversified portfolio.

2.1.3 Marketability

It refers to the speed at which units can be converted to cash should the need arise. Collective investment schemes are the most marketable of share and fixed interest mediums. Collective investment scheme holders can redeem their units at any time for the current value of the investment. At present, there need not be a buyer in order to sell, as the management company is obliged to buy back the unit at the current selling price.

2.1.4 Diversification

The definition of this term is the spread of capital among different shares and industries so that an unfavourable development in a specific company or sector of the market does not mean a financial disaster. Diversification into different industries is very important. Collective investment schemes provide diversification in a manageable and compact manner (diversification decreases portfolio risk).

Diversification may also take place in the bonds market with government, semi-government and corporate bonds, fixed deposits and money market securities. Sector funds have limited diversification options because, according to their mandate, they may not hold securities that are not relevant to the sector on which they are concentrating.

Due to the effects of diversification, collective investment schemes are more likely to move in the direction of the general market than individual shares. It makes them less volatile and more attractive.

2.1.5 Reduction of transaction costs

An investor requires less time to select a good collective investment scheme than several desirable individual stocks. Therefore, less time is spent on investment research, and the result is often better.

2.1.6 Record keeping is simplified

Collective investment scheme management companies provide the investor with information relating to income tax, investment performance and income distributions.

2.1.7 Services to unitholders

Unitholders receive statements detailing their investments, fund earnings and the annual reports of the management company. Investors have the choice of reinvesting the income earned or having it paid out to them. An investor can invest a lump sum of cash or make regular monthly contributions to the fund. Income tax statements are provided detailing the interest and dividends earned by the units held.

2.1.8 Disadvantages of collective investment schemes

2.1.9 Costs

Although negotiable, the most significant disadvantage is the up-front fee, which can be around 5%. However, if the investor bought and sold shares via a stockbroker, they would incur both buying and selling costs.

2.1.10 Types of assets

Collective investment schemes provide no exposure to investments such as gold coins, diamonds and stamps in which an individual investor might invest. They are limited to investing their holdings in listed financial assets such as shares, bonds, derivative instruments and money market instruments.

2.1.11 Excessive turnovers

Collective investment schemes share turnover may be significantly higher than the average individual investor; therefore, the trading cost incurred will be higher. The turnover rate is the measure of the buying and selling activities of the portfolio managers.

2.1.12 Strict legislation

Mandated diversification in specific portfolios leads to less concentrated portfolios.

KO3: Switching between funds²³³

As the South African investment public becomes more knowledgeable, they will hopefully become less concerned with short-term investment performance. They will grow disenchanted with financial planners who are continuously switching to try to keep up with the latest investment fad. Investors who switch tend to perform worse than the collective investment schemes out of which they switch.

A manager of a linked product company indicated that on one day it had 7 000 requests to switch. Does such an active investment management policy work? Research would indicate that it does not.

The competent financial planner and their client continually find themselves in a state of tension: the tension between comfort and performance; the tension between action and patience. It is not easy to adhere to an investment strategy when the market is not performing according to plan. It is also not easy to adhere to a plan which is progressing as it is designed to do when the client knows of someone else whose investments are doing better.

Financial planners who can control their own emotions and who can persuade their clients to do the same are worth their fees. A Dalbar study in the USA showed that investors who consulted with an advisor achieved a return of 8,5% over the period studied compared with a return of only 2,9% for those who invested without an advisor.

If the financial planner has done their homework, the best benefit that can be offered to a client is the reassurance of the soundness of the plan and advice to stay with the strategy. Warren Buffet has expressed surprise at the inability of investment managers to sit quietly. He has said that he has concluded that he makes more money while he sleeps than while he works. However, it is not easy for either the financial planners or their clients to sit quietly when markets are volatile. The result, apart from additional costs, is errors in judgment, which are quite understandable. It is difficult to sell when investment prices are rising. It is even more difficult to buy when prices are falling. Human psychology is programmed to act inefficiently. It is also where the study and application of the principles of behavioural finance can add tremendous value to a client's investment portfolio management.

²³³ South African Financial Planning Handbook, 2019

It is not to suggest that there are no inefficiencies in the market which can be exploited. There are also investors with exceptional skills at picking mid-priced investments. The ordinary investor is not likely to have these skills. The inefficiencies which appear in markets are neither inexpensive nor straightforward to exploit. Once they are discovered, they tend to disappear as professional investors take advantage of the opportunities.

The financial planner will give better value by designing a diversified portfolio of investments to meet clients' needs and risk profiles and by encouraging them to stay with their investment strategies.

What is then required of the financial planner is a disciplined approach to the regular rebalancing of the investment portfolio to ensure that it continues to meet the client's needs.

Risk in terms of the FAIS Act is that the financial planner gives portfolio management advice or manages a portfolio on behalf of his client. It is essential that a financial planner should be cautioned not to do this and that he should understand what his functions are versus that of a portfolio manager.

Market timing is the attempt on the part of an investor to predict the peaks and troughs in the stock market. The investor desires to buy low and sell high. Market timers track the number of factors in the making of their decisions. These include interest rate, level of new business, the direction of business activity, corporate profits and other similar signals.

Collective investment schemes have always been marketed as long-term investments. However, investors can now switch between funds with a great deal of ease. The costs involved are also decreasing with the advent of linked products.

A collective investment scheme investment is highly flexible. Many of the management companies operate more than one trust and allow an investor to switch from one fund to another in their family of funds at a reduced or no initial cost if an investor elects to switch their investment from one collective investment scheme manager to another, they give written notice that their wish to sell their participatory interests and then buy participatory interests with another company.

Switching between funds in the same family does not have a high cost attached to it, but switching between management companies will involve paying the initial charge again and can be a costly exercise if done frequently.

Studies indicate that in order to beat the returns of an investor taking a buy and hold strategy, an investor timing the market will have to be correct more than 75% of the time. Investors should know that the top-performing fund for this quarter will not necessarily repeat the performance in the next quarter, so decisions should not be based on past performance.

Predicting future market movements is challenging, both for professional managers and investors in collective investment schemes. One of the problems is that investors often act emotionally to market movements and make changes which are against their long-term interests.

Collective investment scheme investments are not exempt from the market-timing problem given the flexibility that the investor has in moving between different funds.

KO4: Health warnings

4.1 Investment Performance

Investment performance can be advertised provided such figures:

- Are consistent with industry norms;
- Are truthful;
- Do not create unreasonable expectations of future returns;
- Historical performance should be advertised against relevant benchmarks or indices;
- Referenced to a source and data.

4.2 Generic Non-performance advertising

The Manager must, before entering into a transaction with an investor, disclose information about:

- Investment objectives;
- Calculation of net asset value and dealing prices;
- Charges;
- Quantifiable/ non-quantifiable:
 - Risk factors;
 - Date of income distributions;
 - Give, timeously, and in a comprehensible (understandable) manner, information that the manager considers necessary to enable an investor to make an informed decision.

4.3 Total Expense Ratios (TER)²³⁴

It is not easy to work out exactly what it costs to invest in a collective investment scheme. Clients often focus on the initial cost but fail to realise the significance of ongoing costs.

To enable investors to work out how much it does cost, ASISA has made it compulsory for all their members to disclose their total expense ratios as well as total investment charge. They have also issued a detailed explanation of total expense ratios. The explanation is reproduced below:

4.3.1 What is a TER?

The Total Expense Ratio or TER of a portfolio is:

a measure of the fund's assets that have been sacrificed as payment for services rendered in the management of the fund,

- expressed as a percentage of the daily average value of the portfolio;
- calculated over a period of usually a financial year.

4.3.2 Why disclose TERs?

The Collective Investment Scheme (CIS) industry supports a principle of disclosure and transparency to its investors. TERs have been implemented in the interests of investors, as these should assist investors and their advisors in understanding the disclosure better.

- TERs enable investors to evaluate their portfolios by quantifying the costs incurred in the management of the fund in a single number so that the impact of these costs on returns is more apparent;
- Costs matter. Investors should understand the costs they are paying for and the value they are getting for their money. The TER methodology was selected as the concept of expenses is well known and understood by all consumers;
- There is an international precedent for using TERs to measure expenses elsewhere in the world. However, a higher TER ratio does not necessarily imply a poor return, nor does a low TER ratio imply a good return. The current TER cannot be regarded as an indication of future TERs.

²³⁴ <https://www.asisa.org.za/wp-content/uploads/2019/05/ASISA-Standard-Calculation-Disclosure-of-Total-Expense-Ratios-and-Transaction-Costs-20190528.pdf>

4.3.3 Expenses included in the TER calculation

Costs incurred in the prudent operation of a fund are included. The costs are deducted from the assets of the fund.

- management fees (including performance fees);
- fixed operating costs;
- custody and Trustee fees;
- audit fees;
- bank charges, other than those charged by an investor's bank;
- value-added taxes;
- liquidity costs;
- net negative interest charges (this is applicable in the unlikely event of a fund owing interest to a bank as a result of temporary liquidity pressure);
- for investments in other funds;
- weighted portion of the underlying portfolio's TER (for funds of funds);
- upfront fees;
- exit fees or reduction of redemption;
- where the providers of scrip-lending services earn income and if this income is not passed back to the portfolio, such an amount that is retained by the provider must be included.

4.3.4 Investor expenses not included in a TER

Costs that are incurred directly by the investor and not the fund itself are not included, such as:

- costs of entry to investment, i.e. Initial fees;
- initial and on-going costs for financial advice – if applicable;
- other costs incurred directly by the investor, because of the investment, e.g. bank charges;
- exit costs;
- costs that are related to specific products, where these products invest in collective investment schemes, such as some life and LISP products. An example of this would be the cost of a Retirement Annuity, which invests in collective investment schemes.

The expenses mentioned above are not included in the TER calculation as they:

- do not form part of the actual fund investment;
- should be disclosed separately to investors, e.g. by the life company, LISP, bank and/or the intermediary; and
- are often of a once-off nature.

4.3.5 Brokerage and transaction costs

Brokerage and expenses relating to the settlement of transactions and taxes incurred on these items, i.e. Vat on brokerage, STT, and do not need to be included in the TER calculation.

However, ASISA is now also requiring that transaction costs be disclosed separately.

4.3.6 Transaction Costs

Transaction costs are shown separately and are a necessary cost in administering the Financial Product and impacts Financial Product returns. Transaction costs should not be considered in isolation as many other factors may impact a return over time including market returns, the type of Financial Product, the investment decisions of the investment manager and the TER.

4.3.7 Total Investment Charge

The sum of the TER and transaction costs is shown as the Total Investment Charge. Since Fund returns are quoted after the deduction of these expenses, the TER and transaction costs should not be deducted again from published returns

4.3.8 Performance Fees

Performance fees, designed to motivate fund managers to focus on fund performance rather than inflows, have become increasingly popular, not least because they increase revenue for the management company when good returns are achieved. Calculation of performance fees can be complicated, and care must be taken when looking at performance fees to see if they are fair to investors.

Excluding hedge funds, fewer than one in five of South African retail unit trusts make provision for performance fees. All hedge funds currently work on a performance fee model, usually at 20% of outperformance. The influence of this category is already being felt in the industry. Recently, several unit trusts have changed their fee structures to allow for uncapped performance fees at a rate of 20%, a significant shift from historical norms.

Performance fees typically reward fund managers for outperforming a specified target or benchmark, often referred to as the fee hurdle. Often the annual fee structure for funds with performance fees will stipulate a minimum and maximum, the first being the annual fee payable in the case of under-performance, the latter the cap on the annual fee in the case of outperformance. The minimum fee may also be referred to as a base fee or fixed fee. The most crucial factor is an appropriate benchmark - a low-performance target favours the fund manager and disadvantages the investor.

Whether performance fees are beneficial from an investor's point of view often depends on the actual day-to-day calculation of these fees. The most popular calculation method applies a rolling benchmark over a defined period (such as two years). When fund performance is above the fee hurdle, the fund manager captures a defined portion of the outperformance up to the maximum fee permitted. If this is calculated daily, the performance fee is charged as long as the fund's two-year performance exceeds the fee hurdle. Given a fee hurdle of, say, the benchmark less 10%, performance fees will apply most of the time.

A more stringent calculation methodology, used by a small minority of those funds that apply performance fees, employs as the fee hurdle a high watermark (i.e., the highest level of outperformance at which fees were previously collected). This system requires the fund to recoup any under-performance that occurs after fee collection before more performance fees can be levied.

Advisors and investors should ask the following questions when considering performance fees:

- **Is the benchmark appropriate?** A fee hurdle based on an undemanding benchmark may mean unwarranted fees for the manager. CPI as a performance benchmark for an equity fund, for example, would be inappropriate, as would a straight index rather than a total return index (TRI) for a dividend fund.
- **Is the fee hurdle appropriate?** A target that is too low (e.g., benchmark less 30%) rewards the fund manager for pedestrian performance, whereas a benchmark that is too high can cause the manager to take undue risks.
- **Is a high watermark applied?** If not, make sure that the basis on which rolling periods are

measured is fair.

- **Is the rolling period appropriate?** An overly long-time frame often prejudices new investors (who end up paying fees related to a historical performance from which they have not benefited) and sees exiting investors escaping performance fees, whereas an overly short time frame can cause the fund manager to follow riskier short-term strategies.

Are the fees capped? Where no maximum fee is stipulated performance fees can rob investors of a significant portion of their return

In August 2015 the ASISA board approved a Performance Fee Standard which became effective for ASISA members in January 2017. The eleven-page document, available on the ASISA website, seeks to guide the actions of managers to ensure acceptable practices in the levying of performance fees. The standard aims to embed the principles of fairness, consistency, transparency, accuracy, completeness and appropriateness in the design, calculation and disclosure of performance fees.

4.3.9 Portfolio Charges

Portfolio charges refer to certain costs incurred in securities trading and administration which managers may levy directly against the fund.

Up until 2002, all equity-based unit trust funds levied so-called "compulsory charges", which usually amounted to about 0.7% of the amount invested. (Tracker funds charged the same level of mandatory charges, as the brokerage costs for buying underlying shares were typically the same as for actively managed funds.) This charge was designed to cover the costs to the fund of purchasing securities.

These costs consist of:

- STT (Securities Transfer Tax): 0.25% of the value of shares purchased.
- Brokerage charges levied by the stockbroking firm: anywhere from a fraction of a percent (discount brokers) to 1.0% (full-service brokers).
- STRATE settlement costs: 0.005787% but capped at R57.87 per trade (min R11.58).
- Investor protection levy: 0.0002% of the transaction value.

CISCA did away with "compulsory charges". Instead, various costs associated with portfolio management (including the transaction costs shown above) may be charged directly to the portfolio by the manager.

It differs significantly to what happened with "compulsory charges", where the management company collected a set fee whenever units were purchased, regardless of the actual costs of buying securities. The "compulsory charges" accumulated in the Management Company's coffers, and the Management Company paid the costs of buying and selling securities from these fees. Under CISCA, brokerage and other costs are directly charging against the portfolio itself and form part of the total fund expenses. These are, of course, a direct charge against fund performance.

Hopefully, this gives fund managers an incentive to monitor costs, to keep costs as low as possible, and to avoid any unnecessary turnover in holdings.

In terms of CISCA (section 93), the amounts which a manager is entitled to deduct from a portfolio are as follows:

- All charge is payable by the manager in the process of buying and selling securities and other assets for the portfolio. These include:
 - ☐ Brokerage.
 - ☐ marketable securities tax.
 - ☐ value-added tax.
 - ☐ stamp duties.

- Auditor's fees, bank charges, trustee and custodian fees and other levies or taxes.
- Share creation fees payable to the Registrar of Companies for the creation of authorised capital or, in the case of a collective investment scheme in property, the costs incurred in the creation and issue of participatory interests.
- The agreed and disclosed service charges of the manager (i.e., the "annual service fees" discussed in the previous section).
- Any costs incurred as a result of a collective investment scheme in a property.

4.3.10 Total Expense Ratios²³⁵

As discussed under "Portfolio Charges", CISCA allows fund managers to recover various costs directly from the portfolio. The Total Expense Ratio (TER), a cost measure which must be published by ASISA members, helps investors understand the extent of these costs.

TER vs OCF vs EAC

In the UK the TER has been replaced by the OCF (Ongoing Charges Figure). If looking at Overseas funds quoting the OCF, it is essential to note that the figures are not interchangeable as the calculation methodology differs in some respects. The TER in South Africa, for example, includes performance fees and tax charges (where applicable) - both are excluded in the OCF. Both OCF and TER exclude costs associated with transactions (such as brokerage). The "TIC" figure in SA is mostly comparable to OCF *plus* performance fees *plus* trading costs in the UK.

Key differences between TER and EAC in South Africa:

TER is backwards-looking, EAC is forward-looking

EAC includes various costs excluded from the TER, such as initial charges, contract penalties and exit charges

The effect of expenses charged directly to each fund has not been that visible to investors because they are only disclosed in the annual reports of the funds, which require analysis, and which are not always readily available.

Since April 2007 ASISA members have been required to quantify their "direct costs" by way of a ratio which shows these expenses as a percentage of the total assets of the fund. The TER, therefore, shows the percentage of portfolio value that was "used up" in fees and operating costs things like trading costs, audit fees and bank charges). The TER is designed to capture costs for all layers of holdings. In other words, the costs of underlying funds, where applicable - and funds held in turn by those underlying funds, if relevant - must all be reflected in the reporting fund's ER.

The difference between the TER and the annual service fee percentage gives an idea of the operating cost-efficiency of the fund. A TER of 2.5% and an annual service fee of 1.5% means that operating costs eroded 4% per annum of portfolio value.

TERs are provided quarterly by all member funds. Single-tier funds are required to provide updated figures within a month of the quarter end, multi-tier (hybrid) funds within six weeks and funds of funds (FoFs) within two months of the quarter-end.

From an interpretation point of view, the TER needs to be regarded as an indicative figure other than an absolute figure.

4.3.11 TER v annual management fee²³⁶

- An annual management fee (AMF) is the fee a CIS Manager charges for asset management and fund administration. It is expressed as a percentage of the portfolio's assets under management;

²³⁵ <https://www.asisa.org.za/wp-content/uploads/2019/05/ASISA-Standard-Calculation-Disclosure-of-Total-Expense-Ratios-and-Transaction-Costs-20190528.pdf>

²³⁶ <https://www.asisa.org.za/wp-content/uploads/2019/05/ASISA-Standard-Calculation-Disclosure-of-Total-Expense-Ratios-and-Transaction-Costs-20190528.pdf>

- A TER, as previously stated, is comprised of the actual expenses paid out of a fund for the management of the fund and it includes the annual management fee;
- The TER will, therefore, be higher than the AMF;
- The costs included in the TER calculation are not new; they are disclosed in a portfolio's financial statement for the relevant financial period.

4.3.12 Who will calculate the TER?

- The CIS Manager will calculate and publish a TER for each portfolio under its management quarterly.

4.3.13 Where will TERs be disclosed?

- TERs will be available through the newspapers and magazines that carry fund performances and charges;
- with financial statements – interim or annual, audited or provisional;
- in monthly, quarterly and annual reports;
- in fund fact sheets;
- in Internet publications;
- with annual unitholder communications;
- The latest TER must be disclosed to an investor before investing. This TER disclosure must be in addition to the other disclosures required under CISCA and the FAIS Act, e.g. notifications of risk and costs.

A typical TER disclosure is:

TER: 2.65%

The Happy Equity Fund, A class, has a Total Expense Ratio (TER) of 2.65%. For the period from 1 April 2007 to 31 March 2008, 2.65% of the average Net Asset Value of the portfolio was incurred as charges, levies and fees related to the management of the portfolio. A higher TER does not necessarily imply a poor return, nor does a low TER imply a good return. The current TER cannot be regarded as an indication of future TERs.

Inclusive in the TER of 2,65%, a performance fee of 1,25% of the Net Asset Value of the class of portfolio was recovered.

4.3.14 Quarterly Review

- CIS Managers will update TERs for all portfolios and classes at the end of each calendar quarter;
- The calculation will include all applicable costs for the previous rolling twelve-month period, to the end of the previous quarter;
- The new TER will be disclosed by the last day of the month in which the TER was reviewed.

4.3.15 A high TER vs a low TER

- A high TER is not necessarily an indication of a bad investment choice;
- A high TER should not be viewed negatively if a fund outperforms other funds or adds additional value for the higher costs incurred;
- A high TER is also not necessarily an indication of superior performance;

- TERs are reported in a standardised manner, enabling investors to compare the costs of their portfolios better.

4.3.16 TERs use historical information

- As is the case when calculating fund performance, a TER is calculated using historical data;
- Past expenses are not always indicative of future costs as external factors influence costs. It is therefore not possible to forecast future costs accurately – we do not know what the future holds, but we can measure the past!
- However, the information used in the TER calculation is based on real costs, i.e. what was paid out of a fund; these are not projections that are based on assumptions.

4.3.17 Multi-layering of fees

- Investments in funds that have tiered structures, such as a fund of funds, are likely to have higher TERs than single funds, due to the multi-layering of fees inherent in these investment structures;
- FAIS prescribes that all disclosures must be made to investors;
- The TER of the top tier fund will not be revealing a new fee; it will merely quantify the already disclosed fees to investors in a more consumer-friendly manner.

4.3.18 Small versus large funds

- In all likelihood, funds with lower assets under management will reflect a higher TER as their fixed costs per unit will result in higher TERs compared to that of funds that have more considerable assets under management. It is due to economies of scale.
- TERs for new funds:
 - TERs do not have to be calculated for funds that have been in existence for less than six months.
 - If a fund has been active for less than one year but more than six months, a CIS Manager may calculate a TER since inception.

4.3.19 Comparing TERs

- When comparing TERs, it is imperative to ensure that one is comparing 'apples with apples'. It is advisable to note that costs and TERs are just one factor to take into consideration when comparing funds and when making an investment decision. Consideration must also be given to:
 - the sector the fund falls into – this relates to the type of fund one invests in, e.g. an equity fund invested into listed shares or a fixed interest fund invested in bonds, money market investments and other interest-bearing securities;
 - fund objectives - all funds have mandated objectives that investment managers set out to achieve;
 - the structure of the investment, i.e. a fund of funds or a single-tiered fund;
 - the anticipated net, risk-adjusted return of a fund, relative to an investor's total investment portfolio;
 - costs - these include both the costs included in the TER calculation and those not included;
 - investment risk – investors should evaluate their tolerance for risk and then match this risk profile with a suitable investment.

4.3.20 Implications of disclosing TERs

TERs will result in costs now being more understandable.

- TERs should facilitate investor education and their understanding of the investment.
- Investors will be better able to evaluate the total investment offering, including subjective and value-added information.

It is important to note that TERs and therefore, costs are not the only factor to consider when making investment decisions. Investors need to know what they are investing in and what they are paying for.

4.3.21 The New TER and Transaction Costs²³⁷

From January 2016 the TER standard changed to eliminate minor differences in calculation methodology that were permissible under the old system (mainly, whether trading costs were included or excluded).

Under the new TER rules (effective from January 2016) transaction costs are excluded from the ER. However, these are now quantified in a new 'TC' (Transaction Costs) statistic which all managers are required to publish on an ongoing basis. Note that "TC" is sometimes taken to mean "Total Costs" (which is not correct as per the FSCA definition). To avoid confusion, some managers are quoting a "TIC" figure ("Total Investment Costs"), which is the sum of the TER and the Transaction Costs percentages.

Under the new rules, transaction costs are the only exclusion from the TER. The TER includes management fees, performance, administration costs, custody fees, trustee fees, audit fees, bank charges, taxes, interest paid, and scrip-lending costs.

The TC ratio includes brokerage (including VAT), securities transfer tax (STT), investor protection levies, STRATE contract fees, FX spread costs, bond spread costs, and CFD costs. Where transaction costs are capitalised in the trading price (as is the case with bonds, CFDs and specific forex instruments), the fund manager must make estimates based on fair principles and include such estimates in the TC calculation.

In summary, since January 2016:

- The TER does not include entry costs
- The TER does include annual fees and performance fees and other portfolio charges
- Transaction costs are quantified separately in the new TC ratio

4.3.20 Performance Fees

Performance fees are included in the TER. However, to enable investors to determine the extent of performance fees (which may vary considerably over time), the fund manager must disclose the performance fee for the period as a percentage of the fund.

So, for example, if a fund which charges a performance fee discloses a TER of 3.5%, an annual service fee of 1.5% and a performance fee of 1.2%, we know that 0.8% of portfolio value (on average) was expended in operating costs.

4.3.21 Technical Details

Technically, the TER is the total of expenses and fees expressed as a percentage of the daily average value of the portfolio calculated over usually a financial year. Taxes (like Vat and stamp duty) are included in the TER.

²³⁷ <https://www.asisa.org.za/wp-content/uploads/2019/05/ASISA-Standard-Calculation-Disclosure-of-Total-Expense-Ratios-and-Transaction-Costs-20190528.pdf>

According to the ASISA standard, both the TER and the TC must be calculated over three year rolling periods to coincide with quarter-ends. Quarterly fact sheets, in other words, must reflect the average annual expenses over the last 36 months. Where there is insufficient data (e.g., the fund is less than three years old), the manager must annualise the available data - except for funds younger than one year, where the manager must make estimates grounded on fair principles.

TERs are reported by unit class, but operating costs are nearly always charged to the portfolio. Managers are therefore required to apportion the operating costs by unit class based on the proportion of the fund held in each unit class. The annual service fees (and actual performance fees charged, where applicable) for each unit class are then added to the apportioned operating costs for each class to establish the total costs for each class.

Multi-tier funds (such as funds of funds) must also report TERs, but they can only do this once the TERs of the underlying funds are available. Funds of funds are therefore given an extra month to do the calculation. Fund managers are also required to advise investors if they become aware of some event or situation which is likely to cause the TER (excluding performance fees) to change materially.

4.3.22 Other Cost Indicators

While TERs have improved transparency around costs in the unit trusts industry, the FSCA has pushed for an even more inclusive TCO (Total Cost of Ownership) measure that can be applied across a range of product types. The Effective Annual Costs measure (EAC), announced by ASISA in 2016, goes some way to answering the FSCA's call.

A TCO calculation seeks to quantify all the costs associated with a product, including the costs of acquisition (such as initial charges, which are excluded from TERs), the ongoing costs, and exit charges (such as early termination penalties for defined period products) where applicable.

4.3.23 Effective Annual Cost Measure

ASISA announced in 2016 the introduction of a new method of disclosing the costs of financial Products, the Effective Annual Cost measure (EAC). Already in force for new products, from June 2017 EAC will apply to all products launched since 1 April 2010, and from June 2018 it will apply to all products launched since 1 April 2000. Older products must be EAC compliant by 1 June 2019. Note that at this stage, the EAC is not an MDD requirement.

The EAC, which does not replace any existing standards, applies to all financial products, not just collective investment schemes. Once in place, published EACs will allow investors to compare different types of products and different channels, including unit trusts, endowment policies, wrapper funds, RAs, preservation funds and living annuities.

The reason for another cost measure is that the TER does not allow for all the expenses associated with fixed-term products. Unlike the TER, the EAC makes it possible to compare costs over defined periods, which is essential for charges like initial fees which need to be amortised - over the life spans of product options to achieve comparable results.

The EAC comprises four components which are calculated separately and then combined to reflect the total EAC:

- Investment Management Charges (IMC): costs and charges associated with management all underlying investment portfolios
- Advice Charges: initial and annual fees, both lump sum and recurring
- Administration Charges: all costs of administration
- Other Charges: a category for all remaining costs, including exit charges, penalties, loyalty bonuses, guarantees, smoothing or risk benefits, wrap fund charges and risk benefits (such as waiver of premium)

Four mandatory disclosure periods are required, as illustrated in *Chart 3.3*. For open-ended products, this is 1, 3, 5 and 10 years. For "term" products the 10-year column must reflect the "end of term" period, as defined, or age 55 term in the case of a retirement annuity or other retirement product.

The need for disclosure periods arises because of once-off costs. In the case of unit trusts, example, a mandatory initial charge that is expressed as a percentage of a lump sum investment must be amortised on a straight-line basis over the relevant disclosure period (i.e., the initial charge is divided by the number of years).

The EAC must be calculated once a year by end-March (using data up to 31 December).

Technically, the EAC standard provides for a combination of calculation methodologies to cope with the full range of products to which it applies. Like RiY, EAC is a forward projection, but certain costs must be based on historical data (e.g., for IMC, the TER principles are specified). Where a RiY (reduction in yield) methodology must be used (for example, where a pay-out depends on the term and the capital value on termination), the EAC standard specifies a growth rate of 6% per annum (gross).

Chart 3.3 illustrates EAC disclosure for a financial product that includes a mandatory initial charge, a compulsory advice fee, and an exit charge if held for less than 10 years. The latter is reflected in 'Other'. Note that the 'Other' row may be omitted from the table if all values are zero.

4.3.24 Reduction in Yield

RiY (Reduction in Yield) is a method used by the life assurance industry to illustrate the possible effect of costs on investment. It is expressed as a percentage designed to estimate the decrease in total annual returns likely to be attributable to costs.

The total annual return is the percentage gain per year as a result of capital appreciation, interest and dividends (assuming these are reinvested). A RiY of 3% means that the product provider expects that 3% of the annual return — over the life of the product — will be absorbed by costs. This figure can be deceptive: it reflects actual percentage points, not a fraction.

For example, assuming total growth of 10% per annum, a RiY of 3% means a net return of 7% per annum (not 93% of 10%, which would be a net return of 9.3% per annum). To put it differently, if a fund suffered zero growth, a so-called 3% RiY would mean a 3% per annum reduction in the *capital*, which equates to 14% total loss over 5 years (ignoring income).

RiY, as a future estimate rather than a historical calculation, is fraught with problems and can be misleading. Firstly, the projected annual return, which is an unknown, impacts the RiY inversely (i.e., RiY rises with returns where annual *fees* are a percentage of investment value). So conservative projections understate RiY. Secondly, because it includes upfront costs (like commissions), it is sensitive to the period — the RiY on a product held for 10 years will be lower than the RiY over 5 years, all other things being equal. Hence assurers can play down RiY by using long time-period projections. Thirdly, RiY does not take into account penalties that may be levied, if contractual contributions are reduced or stopped (and, historically, a minority of policies go the distance). These and other factors mean that RiY is a highly inexact method of estimating costs to the investor.

KO5: How to read the data printed in the newspaper

The following table reflects some of the data an investor will see when reading a newspaper.

Name	NAV	Fee %	Quart	Q Rank	1-year	Rank	3-year	Rank	3-year volat.	5-year	Rank
Domestic Asset Allocation: Flexible											
ABSA All-rounder FF	276.19	4.56	12.88		42.4	7	156.17	6	3.35	143.18	6
ABSA Flexible	233.64	5.7	13.04		39.49	12	193.51	1	3.95	160.67	5
<i>Business Day Report 21 April 20xx</i>											

Note that the above figures are quoted in cents and reflect the price of 20 April 20xx. The newspaper always publishes the price of the previous day.

The NAV is the price of a unit in cents. The fee will have to be added to the price. The performance of the fund is shown in percentage terms for the past quarter, 1 year, 3 years and 5 years. The rank of the fund compared to its peers, is shown for the same periods. The volatility of the fund over 3 years is also shown.

NAV = Net Asset Value

KO6: New developments reported in the media

Since CISs are such central vehicles in the investment arena, several pieces of legislation and subordinate legislation will have a substantial impact on how CISs operate in the investment universe. The purpose of this chapter is to highlight some of these recent developments.

As an advisor, you will need to stay ahead of all new developments by scanning the media for proposed changes in the environment that might impact on your clients and the advice that you provide to them.

6.1 Consumer Protection Act²³⁸

The Consumer Protection Act ("CPA") was promulgated in 2008 to provide a more level playing field for consumers. Financial services regulated under FAIS are currently exempt from the provisions of the CPA, under the clear condition that an investigation needs to be conducted to align the FAIS legislation with the levels of protection envisaged by the CPA.

The services provided as a product supplier are however fully regulated by the CPA, and the Managers, therefore, need to take particular care to ensure that their operations meet the levels of protection required by the CPA. The CPA, therefore, has a substantial impact, *inter alia*, on the operations of the CIS industry. One of the more critical impacts that this Act holds for the CIS industry is the requirement that all transaction forms, marketing material, statements, fund fact sheets, etc., have to be written in the plain and simple language.

On the face of it, this does not appear to be a substantial task. However, determining what is meant by plain and simple language is in itself a very subjective task. This task must be accomplished concerning the CIS's average client. Amending the documents above to comply with these requirements requires a substantial amount of work and involves quite a substantial amount of resources.

Other impacts are the prohibitions against some protections in favour of the Manager, traditionally built into the application form and/or investment contract and other transactional documents. Of

²³⁸ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, page 84

importance, here is the part of the CPA dealing with the “Right to the fair, just and reasonable terms and conditions” and the “Right to fair value, good quality and safety”.

To mention two examples briefly:

- Consumers’ attention needs to be drawn very clearly to specific terms and conditions where these are included in contracts;
- Written contracts need to have an itemised breakdown of the consumers’ financial obligations under the agreement.

As already mentioned, the CIS industry is already highly regulated and self-regulated, but the Managers will have to work carefully through all the protective measures and assess whether their current practices and industry body Codes satisfy the requirements of the CPA. These protections will have to be considered in the light of the Consumer Protection Act and amended where necessary.

6.2 Protection of Personal Information Act (Published in Government Gazette 37067 – 26 November 2013)

POPI protects personal information by restricting how it can be collected and used by a company, organisation or person, and sets out eight principles:

1. Accountability:

The responsible party (those who process the personal information) must ensure that all of the Act’s principles and the measures are complied with.

2. Processing limitation:

Processing of information must be done lawfully, and, in a manner, that does not infringe the privacy of the individual. Personal information can only be processed if the processing is adequate, relevant and not excessive, given the purpose for which it is to be used.

3. Purpose specification:

Personal information must only be collected for a specific purpose, and the individuals must be aware of this. Records must not be kept for longer than necessary to achieve the purpose for which it was collected.

4. Further processing limitation:

Further processing of the information must be compatible with the purpose of collection.

5. Information quality:

The holder of the data must take reasonable steps to ensure that personal information is complete, accurate, not misleading and updated when necessary. All the while, considering the purpose for which the information was initially collected.

6. Openness:

Steps are required to ensure that the data subject is aware of the personal information being collected and the purpose of collection.

7. Security safeguards:

The responsible party must secure personal information under their possession/control. Should a security breach occur, the responsible party must notify the subject whose information is compromised.

8. Data subject participation:

The data subject can request whether an organisation holds their private information and what information is held. They may also request the correction or deletion of information that is inaccurate, irrelevant, excessive, out of date, incomplete, misleading or obtained unlawfully

6.3 Conflict of interest²³⁹

The concept of avoiding conflicts of interest is not new to the financial services arena. The most recent amendments to the General Code of Conduct for FSPs and Representatives have brought this aspect into the limelight. These amendments are incredibly restrictive and carry harsh penalties should any FSP flout them.

The General Code has two very distinct key impacts:

1. Firstly, the FSP and representative must avoid, and where this is not possible, mitigate any conflict of interest. Further, the FSP and representative need to disclose to a client any conflict of interest including:
 - Measures were taken to avoid or mitigate the conflict;
 - Any ownership interest or financial interest that the FSP or representative may become eligible for;
 - The nature of any relationship or arrangement with a third party that gives rise to a conflict.
2. Secondly, the General Code is very specific as to the circumstances under which an FSP or representative may offer or receive a financial interest to or receive from a third party.

The term “third party” is widely defined in the General Code and includes:

- an FSP;
- another FSP;
- an associate of a product supplier or FSP – associate in turn also being widely defined in the General Code;
- a distribution channel;
- any person who in terms of an agreement or arrangement with a person above provides a financial interest to an FSP or its representatives.

The amendments not only prohibit the FSP and an associate (the definition of which covers practically every variation of a subsidiary or business affiliation) from giving any material financial interest to another FSP to entice the latter FSP to place business with the former FSP, but also prohibit any FSP from receiving any material financial interest from a third party.

In many instances, the CIS manager is an associate or a third party of an FSP, and the conflicts of interest amendment has substantially changed and increased the risk associated with the interaction between these parties.

The General Code is not of significance only to CIS Managers but also to every FSP and representative.

²³⁹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 86

6.4 Regulation 28²⁴⁰

Recently National Treasury introduced proposed amendments to Regulation 28 to the Pension Funds Act of 1956.

Regulation 28 provides the investment parameters that a retirement fund has to apply when investing funds for the benefit of its members.

Currently, Regulation 28 is applied at a fund level, and it is, therefore, possible for particular members' investments not to be Regulation 28-compliant. The amendments that have been published to date require that the Regulation 28 investment limits be applied at a member level. It would require substantial monitoring and systems restrictions (that would have to be built).

Additional proposed amendments are the look-thru principle and the extended foreign investment limits. The look-thru principle would require the CIS portfolio to ascertain its compliance with the investment restrictions contained in Regulation 28 by delving down to the most basic level of securities held in that portfolio or range of portfolios.

In summary, the main reasons for the proposed amendments to Regulation 28 are:

- To accommodate new developments in the investment environment;
- To ensure consistency with other investment regulations;
- To provide more appropriate guidance to retirement fund trustees;
- To apply the look-thru principle;
- To apply the Regulation at a member level.

Other noteworthy amendments are:

- A long-term insurance policy with a guarantee, including retirement annuities, is currently exempt from Regulation 28. The new December draft proposes that only long-term policies with a full guarantee remain exempt. The exemption for retirement annuities is removed;
- Related to foreign assets – the proposal (different from the February 2010 proposals) is to allow unlisted foreign equity but subject to strict diversification and valuation requirements.

The current provision related to housing loans remains, still at the level of 95% of retirement savings; these loans may still be issued but based on the new proposal, now only if issued through a bank against the retirement savings as security. Housing loans issued directly by a pension fund are curtailed to 5% of a member's retirement savings.

By way of example:

Should a member has invested in a linked retirement fund and that retirement fund has allowed the member's funds to be invested in a fund of funds portfolio, it would be insufficient for the fund of funds to merely state that the investment of the member's funds comply with Regulation 28 at a fund of funds level.

What would be required is for the fund of funds to determine the asset allocation holdings in each of the underlying portfolios it has invested in. These holdings would have to be aggregated up to the member level to determine whether the member's exposure complies with the asset allocation limits specified in Regulation 28.

The situation is compounded if the underlying portfolio has as a small part of its holdings, participatory interests in another portfolio. You will appreciate the systems and reporting capabilities, which will be required to be able to report on issues such as compliance, not to mention the practical implications involved when a member selects underlying investments.

²⁴⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 87

6.5 Board Notice 90 of 2014

What is the investment and borrowing restrictions on retail funds?

Collective investment schemes in securities may not borrow any funds, save where the manager must repurchase participatory interests, but insufficient liquidity exists in a portfolio or assets cannot be realised. In such circumstances, the manager may borrow the necessary funds for such repurchase (and grant security over the assets of the portfolio in question), from registered financial institutions at the best commercial terms available, provided that the maximum amount borrowed does not exceed 10 per cent of the market value of such portfolio at the time of borrowing. Also, collective investment schemes may enter into eight-day loans for purposes of bridge funding in order to acquire assets.

Collective investment schemes in securities are subject to specific prudential investment restrictions contained in Board Notice 90 of 2014. The restrictions distinguish between standard portfolios, money market portfolios, fund of funds' portfolios and feeder fund portfolios. Notable restrictions relating to standard portfolios include the following:

- limitations on the maximum exposure of a portfolio to equity securities issued by any one entity, calculated concerning the value of the portfolio and the weighting of the applicable security in applicable indexes;
- limitations on the maximum exposure to listed or unlisted non-equity or debt securities, based on who the issuer or guarantor is (e.g., maximum exposure to the debt of an unlisted issuer is 5 per cent of the value of the portfolio);
- a requirement that at least 90 per cent of the market value of a portfolio must consist of the following:
 - securities listed on an exchange that is a full member of the World Federation of Exchanges;
 - securities acquired by the manager under the exercise of rights attaching to securities listed on an exchange; and
 - permissible unlisted non-equity securities and derivatives; and
 - derivatives, such as listed futures, options contracts, warrants or index-tracking certificates and unlisted swaps (relating to exchange rates, interest rates of indexes) may not be used to leverage or gear the portfolio and exposures must be covered at all times (Chapter V of Board Notice 90 of 2014).

Applicable restrictions apply to other types of retail funds.

Summary

From 1 March 2003, the costs of a fund will be paid out of the fund itself. It was introduced with the implementation of CISCA legislation.

These costs include the management company's initial fees, the financial planner's fee, marketable securities tax, trustee fees and bank charges. The management company will also disclose another cost separately on the unitholder statement. Single pricing means that only one price is used for all transactions and that all initial charges must be shown separately.

The Manco can use two methods of determining the unit price daily. The most commonly used method is future pricing. The NAV price is determined by using either historical or future pricing.

In March 2000, the Association of Collective investment schemes now known as the Association of Collective Investment Schemes introduced multiple classes of units, in line with international pricing standards.

This system caters to different types of investors and managers are, therefore, able to differentiate between the service offered to different clients and the annual fees they charge accordingly.

Investment performance can be advertised provided such figures:

- Are consistent with industry norms;
- Are truthful;
- Do not create unreasonable expectations of future returns;
- Historical performance should be advertised against relevant benchmarks or indices;
- Referenced to a source and data.

CISs are reported in the media regularly. In order to avoid any unfair advantage accruing to any Manager, the erstwhile ACI (now ASISA) published a Code on Advertising. ASISA has adopted the Code of Practice on Advertising of Collective Investment Schemes in Securities.

We also looked at recent or prospective legislative and subordinate legislative amendments that would impact on the CIS environment. While some of these amendments do not directly address CISs, it will impact on CIS business.

Because CISs are such central vehicles in the investment arena, several pieces of legislation and subordinate legislation will have a substantial impact on how CISs operate in the investment universe. The purpose of this chapter is to highlight some of these recent developments.

Unit 7

Tax and Cost Implications



Analyse the impact of taxation and costs on the collective investment Scheme.



Advisors should have a clear understanding of the nature of costs and know when and where to challenge for lower rates in the interests of their clients.



You will need to achieve the following:

- Define the Income Tax on Foreign and Local Funds;
- Define the Capital Gains Tax on Foreign and Local Funds;
- Discuss the costs;
- Discuss the different types of transactions.



- Process the CIS transaction timeously and by regulatory requirements;
- Discuss client expectations after the purchase of a collective investment scheme portfolio.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments (Latest edition), Nic Oldert, www.profile.co.za
- Classification of Collective Investment Schemes:
 - <http://www.fsca.co.za>
 - <http://www.asisa.co.za>
 - <http://www.inseta.org.za>



Purpose

Compared to other investment vehicles, collective investment portfolios are a great deal in terms of Capital Gains Tax (CGT), which became from effective 1 October 2001:

Collective investment portfolios are exempt from paying CGT, and collective investment portfolio investors will only incur CGT when they sell their units in a collective investment portfolio.

Collective investment portfolio investors will only bear a CGT cost once - when they sell their units. When a portfolio manager restructures a collective investment portfolio, that sells an underlying share or bond in adherence to its mandate, CGT will not be incurred. Certain other investment products, in comparison, will not be as tax effective. They will sustain a CGT cost every time a transaction in the portfolio is realised, which could be many times over the lifetime of a product. In the US, for example, wherein contrast, collective investment portfolios do pay CGT within the collective investment portfolio, extra costs to investors were more than 0,5% in 1999.

Having CGT paid outside of the collective investment portfolio means that collective investment portfolio managers can focus on their core business of managing an investment portfolio according to a mandate, rather than being distracted by tax issues. It could result in a more focused and better investment performance.

The CGT rate applicable is dependent on the investor's marginal tax rate.

Collective investment portfolio investors are empowered to decide when to become liable for CGT, allowing them to defer tax and to plan their investments appropriately. Relief measures such as the R40 000 exemption and the offsetting of losses against gains, can also be used.

CGT policy for collective investment portfolios is transparent. Collective investment portfolio investors will know when CGT is incurred.

In conclusion, CGT policy is in line with the objective of a collective investment portfolio as a medium- to long- term savings and investment vehicle and should encourage collective investment portfolio investors to treat them as such. You could, for example, not pay CGT for as long as 20 years, if you hold onto your investment. Collective investment portfolio investors should, however, not become obsessed with not paying CGT, thereby losing sight of their overall investment objectives.

All local and foreign collective investment portfolios will be subject to CGT, except for money market funds, which have a fixed price and which generate income rather than capital gains or losses.

KO1: Define the Income Tax and Capital Gains Tax on Foreign Funds

Most foreign dividends received by individuals from foreign companies (shareholding of less than 10% in the foreign company) are taxable at a maximum effective rate of 20%. No deductions are allowed for expenditure to produce foreign dividends. Any income earned from foreign investment is taxable. Unlike dividends earned from investments in South Africa, which were tax-exempt until 31/03/2012, dividends you receive from foreign investments are taxable as income.

Interest earned by non-residents who are physically absent from South Africa for at least 181 days during the 12 months before the interest accrues and the debt from which the interest arises is not effectively connected to a fixed place of business in South Africa, is exempt from income tax.

If you are a South African resident, the same Capital Gains Tax (CGT) rules apply to your offshore collective investment portfolios in the same way that it applies to your South African collective investment portfolios, that is, any capital gain on your investment may be subject to taxation.

KO2: Define the Income Tax and Capital Gains Tax on Domestic Funds

Dividends received by individuals from South African companies are generally exempt from income tax, but dividends tax at a rate of 20% is withheld by the entities paying the dividends to the individuals. Dividends received by South African resident individuals from REITs (listed and regulated property-owning companies) are subject to income tax and non-residents in receipt of those dividends are only subject to dividends tax. Until 31/03/2012 dividends from South African companies were not subject to tax in the hands of the investor. From 01/03/2017 dividend withholding tax of 20% is deducted before the dividend is paid over to the investor.

Interest from a South African source earned by any natural person under 65 years of age, up to R23 800 per annum, and persons 65 and older, up to R34 500 per annum, is exempt from income tax.

Where one portfolio holds participatory interests in another portfolio, the disposal/sale of the second portfolio's participatory interests do not constitute a CGT event for the end investor.

The question arises, when will CGT be payable?

2.1 Understanding the Basics of CGT²⁴¹

On 1 October 2001, Capital Gains Tax (CGT) was implemented in South Africa. Up until this date, capital gains have not been taxable in South Africa, only income as defined in the Income Tax Act, 1962.

Capital gains on the disposal of assets are included in taxable income.

The maximum effective rate of tax:

Individuals and special trusts: 18%

Companies: 22.4%

Other trusts: 36%

Events that trigger disposal include a sale, donation, exchange, loss, death and emigration. The following are some of the specific exclusions:

- R2 million gain or loss on the disposal of a primary residence;
- most personal use assets;
- retirement benefits;
- payments in respect of original long-term insurance policies;
- annual exclusion of R40 000 capital gain or capital loss is granted to individuals and special trusts;
- small business exclusion of capital gains for individuals (at least 55 years of age) of R1.8 million, when a small business with a market value not exceeding R10 million is disposed of; and
- instead of the annual exclusion, the exclusion granted to individuals is R300 000 for the year of death.

To give effect to the proposals relating to CGT, an Eighth Schedule has been added to the Income Tax Act, which determines what constitutes a taxable capital gain or an assessed capital loss. A new section 26A of the Act provides for the inclusion of a taxable capital gain in taxable income. Gains or losses are therefore not treated in terms of a separate taxation mechanism but included in the existing income tax mechanism as set out in the Eighth Schedule.

²⁴¹ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/collectinvest-portfolios/>

Gains or benefits you may receive, by definition, are either capital or income. Whereas before 1 October 2001, if the amount was not income, the gain was tax-free, it is now either included in your income or excluded by the exemption in the Eighth Schedule. Understanding the treatment of various types of capital gains that you may enjoy in your lifetime is, therefore, essential.

2.2 CGT as it Applies to Collective investment portfolios²⁴²

The Association of Collective Investments, in its representations to SARS when CGT legislation was being drafted, strongly motivated that collective investment portfolios should be exempt from CGT.

Unlike other share portfolios, CGT is not triggered when the portfolio manager sells shares within the portfolio. Collective investment portfolio managers are therefore enabled to manage the portfolio according to their mandate, without having to concern themselves with CGT.

However, upon deciding to sell your investment in a collective investment portfolio, CGT will be triggered. Thus, the investor is empowered to decide when to become liable for the payment of CGT, with the benefit of deferring the tax and planning appropriately. Furthermore, other relief measures can be utilised by the unitholder - these are explained below.

2.3 How Gains are Included in Your Income

Your disposal of an asset triggers the taxation of capital gains. In this sense, your role in managing your exposure to this tax is very important.

When you decide to sell an asset, such as units in your collective investment portfolio, you are triggering a "CGT event".

2.4 Measuring Gains

To measure gain, it is necessary to have a base of which to measure that gain.

This "base" is referred to as the "base cost" in the Act. Hence, the gain or loss becomes the difference between the market value of your units at the date of sale, less the base cost.

It is essential to realise that this gain or loss is calculated per individual asset that you may have sold. For collective investment portfolios, the calculation is therefore done per fund.

2.5 Determining Aggregate Gains²⁴³

Once the gain or loss has been calculated for each asset sold, the gains and losses are added together to determine an overall gain.

Three relief measures apply:

1. The first R40 000 gain is exempt from CGT for each taxpayer;
2. Losses can be offset against gains;
3. Losses can be carried forward.

Each tax year, the South African Revenue Service (SARS) will allow each taxpayer an exclusion of R40 000 on the sum of all realised capital gains and losses.

It means that should you have sold units, the first R40 000 gain will be exempt from CGT. It also means that should units sold in one fund have been sold at a loss and the units from another sold at a gain, you have the benefit of setting off the loss against the gain. The net gain is then further reduced by the R40 000-exclusion benefit. If the sum of the capital gains and losses is negative, the aggregate loss must also be reduced by the annual exclusion of R40 000.

²⁴² <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/collectinvest-portfolios/>

²⁴³ <https://www.sars.gov.za/taxtypes/cgt/assets-cgt/base-cost/Pages/default.aspx>

In future years, your net capital loss as assessed by SARS may be used to reduce further this figure, which is then referred to as a "net capital gain" or "assessed capital loss".

2.6 Rate of Inclusion in Your Income²⁴⁴

In addition to the measures mentioned above, further relief is provided by including only a percentage of the "net capital gain" in your taxable income for the year. This rate is 80% for trusts and companies, and 40% for individuals.

Hence, only 18% of the gain as calculated above is included in your taxable income and taxed at your marginal tax rate and 22.4% for companies, and 36% for trusts. It is essential to realise that only gains are taken into account at this stage.

Losses cannot be used to offset income. Such an assessed capital loss is, therefore, ring-fenced and can only be set-off against capital gains arising during future years of assessment.

2.7 Practical Considerations²⁴⁵

Base Cost for Investments Made Before 1 October 2001.

For unitholders invested before 1 October, an average price will be calculated, by using the average of the repurchase or sell price at which a unit would be redeemed by a collective investment portfolio management company, for the preceding five business days.

Foreign collective investment portfolio funds, however, do not necessarily price their units every day, and will, therefore, be valued according to the last published sell price before 1 October 2001.

To make it easy for you to determine the base cost of existing collective investment portfolio investments, ASISA will publish a list of all calculated prices for local and foreign collective investment portfolios registered with the Financial Services Conduct Authority and who are associate members of the Association on its website at www.asisa.org.za.

These prices will, in due course, be published in the Government Gazette by SARS. Furthermore, your collective investment portfolio management company should send you a statement following 1 October, clearly recording the base cost of your investment.

2.8 Base Cost for Investments Made on or After 1 October 2001²⁴⁶

For an asset acquired before the valuation date and disposed of after that date, CGT will be payable only on the capital gain attributable to the period after the valuation date. In other words, any gain attributable to the pre-valuation date period is not subject to CGT. The gain attributable to the period of ownership of an asset before the valuation date is excluded from CGT by establishing its "valuation date value" on 1 October 2001 using one of three methods: market value on 1 October 2001, time apportionment and 20% of proceeds. A fourth method, namely, weighted average base cost, is available for certain identical assets such as listed shares and unit trusts.

For assets held on the valuation date (1 October 2001) that were acquired before that date base cost is equal to the "valuation date value" of the asset plus any further qualifying costs incurred on or after that date (paragraphs 20 and 25 of the Eighth Schedule).

For assets acquired on or after the valuation date, the base cost of the asset generally comprises the costs incurred in acquiring the asset and improving it. Paragraph 20 of the Eighth Schedule sets out what costs qualify to be part of the base cost.

An asset can also be deemed to be acquired for a base cost equal to the market value of the asset at the time of acquisition (for example, if the asset is acquired by donation or for a non-arm's length price from a connected person (paragraph 38 of the Eighth Schedule)).

²⁴⁴ <https://www.sars.gov.za/taxtypes/cgt/assets-cgt/base-cost/Pages/default.aspx>

²⁴⁵ www.asisa.org.za

²⁴⁶ <https://www.sars.gov.za/taxtypes/cgt/assets-cgt/base-cost/Pages/default.aspx>

Base cost includes those costs incurred in acquiring, enhancing or disposing of an asset that is not allowable as a deduction from income. Thus, the base cost of trading stock would generally be nil because its cost would have been deducted from income.

The following are included in the base cost of an asset:

- Acquisition cost

The costs incurred in acquiring or creating an asset. For example, these costs could include the cost of purchasing an asset or the cost of erecting a building. The expenditure should not have been claimed against income.

- Incidental costs of acquisition and disposal

Any of the following costs incurred as expenditure directly related to the acquisition or disposal of an asset.

- The remuneration of a surveyor, valuer, auctioneer, accountant, broker, agent, consultant or legal advisor, for services rendered
- Transfer costs
- Stamp Duty, Transfer Duty, Securities Transfer Tax or similar duty or tax
- Advertising costs to find a seller or to find a buyer
- The cost of moving the asset from one location to another
- The cost of installing an asset, including the cost of foundations and supporting structures
- A portion of donations tax paid according to a formula
- If that asset was acquired or disposed of by the exercise of an option (other than the exercise of an option acquired before the valuation date), the expenditure incurred on the acquisition of the option
- Value-added tax not allowed as an input deduction (section 23C)
- Capital costs of establishing, maintaining or defending title or right to an asset

These costs would include, for instance, legal costs incurred in respect of a court dispute relating to maintaining your right or title to an asset you own.

- Cost of improvements or enhancements
- The improvement or enhancement must still be reflected in the asset's state of nature at the time of its disposal.
- Valuation date value of an option
- One-third of the interest incurred in acquiring listed shares or unit trusts
- Specific amounts that have been included in the person's income and amounts arising as a result of value shifting arrangements.

2.9 Foreign Currency Gains

The regulations on foreign currency transactions are available as a draft and have as at the date of writing, not been finalised by SARS. It is expected by the end of 2002.

It is, however, expected that foreign exchange gains realised at the time of sale of units in a fund denominated in a foreign currency and converted back into Rands, will represent a taxable gain.

2.10 Tax Returns

At the end of the tax year, you will receive a statement (IT3E) from all South African collective investment portfolio management companies reflecting any gains or losses you may have incurred during the tax year.

It is then up to the taxpayer to include any net gains in his or her tax return. All local management companies are obliged to send copies of the IT3E to SARS. Foreign collective investment portfolio funds will not issue tax statements and unitholders in these schemes are required to calculate the gains and losses themselves.

2.11 Events that trigger a CGT event and need to be taken into account on your tax return²⁴⁷:

1. Sales of units or switches out of a fund.
2. Transfer of units, where beneficial ownership of the unit's changes.
3. The death, sequestration or emigration of a unitholder.
4. The divorce of a unitholder married in community of property.

The management company will report the event as at the date of the transaction. However, a valuation certificate for an account can be obtained from the management company for the actual date of the event and be used in the unit holder's income tax return.

2.12 Events That DO NOT Trigger a CGT Event²⁴⁸

Where a unitholder transfers unit from a personal account with a management company to a bulk account of a Linked Investment Service Provider (LISP) or vice versa, or where a unitholder donates units to a spouse, no CGT event is triggered. The original base cost has to be transferred to the new account. To facilitate this management company will issue valuation certificates to enable the base cost to be carried forward.

KO3: Costs

3.1 Initial Fees²⁴⁹

Initial fees are those fees that are deducted from the investment amount at the inception of the investment or *ad hoc* contribution to an investment.

These fees consist of the initial advisor fee, administration costs associated with giving effect to the new application or *ad hoc* investment (i.e. the staffing and systems costs associated with making a new investment or adding to an existing investment) and marketing costs.

Often the manager reduces these fees when the investment amount is large.

Under the Unit Trust Control Act, the initial charge was regulated. Cisca currently does not regulate this initial fee. Consequently, there are two types of initial fees prevalent in the investment industry.

The initial charge that may be charged by an Administrative FSP should also be noted. Although this fee may not directly relate to the CIS, this charge has an impact on the net investment return to the investor. Most Administrative FSPs are, however, able to negotiate lower initial charges at the Collective Investment Scheme level.

²⁴⁷ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/collectinvest-portfolios/>

²⁴⁸ <https://www.asisa.org.za/transformation-home/transformation/consumer-education/facts-collective-investment-portfolios/collectinvest-portfolios/>

²⁴⁹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 144

The simple fact is that the advisor and the client need to be aware of the possibility of this potential extra layer of initial fees; only then will they be able to make an informed decision on the suitability of the investment.

3.2 Annual service fees²⁵⁰

Section 93 of CISCA permits the manager to charge an agreed-upon service fee. In essence, the investor has to agree to pay the service fee. This consent is normally contained in the application form. Service charges are normally quoted annually as a percentage of the portfolio calculated daily and accrued monthly. Advisors and clients have to note that this fee is not regulated under CISCA.

3.3 Portfolio fees²⁵¹

3.3.1 VAT

Section 93 of CISCA permits the manager to deduct from the value of the portfolio all VAT payable as a result of buying or selling securities in the portfolio.

3.3.2 Other Fees

Section 93 of CISCA also allows the manager to deduct other portfolio charges from the portfolio. Examples of these portfolio charges are auditors' fees, bank charges, trustee and custodian fees and other levies or taxes.

3.4 Transaction costs²⁵²

3.4.1 Switch fee

The manager charges typically an administrative fee called a switch fee when an investor switches an investment from one portfolio to another.

This fee is raised concerning the administration necessary to disinvest the investor from one portfolio and to invest the investor into another portfolio. It may also occur that the manager raises an initial fee.

Depending on the nature of the financial product ("wrapper") invested in; the switch may also qualify as a disposal for capital gains tax purposes. By way of example, should the investor be invested in a portfolio (direct CIS investor), the switch would raise a capital gains tax event.

However, should the investor be invested in a portfolio through a linked retirement fund, the disposal would not be subject to capital gains tax.

In certain instances, Administrative FSPs market their services based on zero switching fees. In this instance:

- The switching fee may very well exist under the CIS structure.
- There may be an initial fee involved at either the Administrative FSP level or the CIS level. In this instance, the switch would take the form of disinvestment from one portfolio (e.g. Money Market portfolio) and initial investment in the other portfolio invested in (e.g. Equity portfolio, which traditionally has a higher initial fee). There could even be a fee at both levels, making the investment much more expensive and ultimately eroding the net investment return to the portfolio.

²⁵⁰ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 145

²⁵¹ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 145

²⁵² Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 145

3.4.2 Withdrawal fees

Specific portfolios also charge an administrative charge when the investor disinvests from the portfolio

3.5 Trailer Fees

These are fees paid to the financial advisor for providing the client with on-going advice and services relating to the investor's investment.

This fee is normally deducted from the portfolio through the sale of participatory interests. It is suggested that the client be made aware of the impact of the initial fee, particularly where the Administrative FSP, on the face of it, seems to be quite low in costs due to their being able to negotiate very low initial charges at the CIS level, zero initial charges at the Administrative FSP level itself, BUT quite high on-going fees.

The impact of this on-going fee usually expressed as a percentage of the investment value could have a much more significant impact on the ultimate performance of the investment than in the case of initial charges.

KO4: Different types of transactions²⁵³

There are mainly four types of transactions that a client can effect when invested/investing in a Collective Investment Scheme. These transactions are:

4.1 A new investment application

Through the conclusion of this transaction, the client establishes a contractual relationship with the Collective Investment Scheme. The successful conclusion of this transaction results in both the client and the manager receiving rights and incurring obligations. New investments are typically associated with initial administration and advice fees.

4.2 A withdrawal

This transaction results in the client wholly or partially disinvesting his investment.

This transaction would constitute a disposal for capital gains tax purposes and may result in capital gains tax is payable (where the client has experienced a capital gain).

In certain instances, a withdrawal administration fee may be payable. In the case of full disinvestment, the client is terminating the contractual relationship with the manager.

4.3 A switch from one portfolio to another

This transaction results in the client withdrawing from one CIS portfolio and investing in another CIS portfolio. From a fees perspective, the manager may levy an administration fee on the exit from the first portfolio and a new instruction fee in respect of the investment into the new portfolio (this will differ from manager to manager).

Where the client is directly invested into a portfolio, the switch to another portfolio will be regarded in law as the disinvestment from the first portfolio (with accrual to the investor) and an investment into a new portfolio. Where the client has experienced a capital gain, the switch will be disposal and capital gains tax will be payable.

In the instances where the client has invested in the portfolio through another financial product, the capital gains tax implication is dependent on the rules relating to that financial product.

²⁵³ Section 8: Second Level Regulatory Examinations Participatory Interests in Collective Investment Schemes, Page 147

4.4 A unit transfer from the client to another person

In certain instances, the manager may allow the transfer of participatory interests from one person to another person.

It often occurs in the case where a beneficiary of a deceased estate becomes the new owner of the investment, or the parties' divorce order stipulates that the ex-spouse will become the new owner.

In order to avoid the client's investment being "out of the market" for a period of time, i.e. to ensure that the investment remains invested in the market, the parties may agree that the participatory interests remain invested in the market but that the ownership of those participatory interests be transferred to the new owner. The manager may elect to charge an administration fee and may also curtail the circumstances under which a "unit transfer" will be allowed.

Each of these transactions has different legal and cost implications, and it is prudent for the client and financial advisor to know or be informed about these implications.

Summary

Necessarily, a Collective Investment Scheme portfolio can have three taxable instances. Typically, the portfolio experiences capital growth (the value of the participatory interests increases because the value of the underlying assets increases), receives dividends or interest.

Any income earned from foreign investment is taxable unlike dividends earned from investments in South Africa, which were tax-exempt until 31/03/2012. Dividends you receive from foreign investments are taxable as income.

Events that trigger a CGT event and need to be taken into account on your tax return:

1. Sales of units or switches out of a fund;
2. Transfer of units, where beneficial ownership of the units change;
3. The death, sequestration or emigration of a unitholder;
4. The divorce of a unitholder married in community of property.

Initial fees are those fees that are deducted from the investment amount at the inception of the investment or *ad hoc* contribution to an investment.

These fees consist of the initial advisor fee, administration costs associated with giving effect to the new application or *ad hoc* investment (i.e. the staffing and systems costs associated with making a new investment or adding to an existing investment) and marketing costs. Often the manager reduces these fees when the investment amount is large.

In this section, we briefly looked at the costs and taxes associated with investing in a CIS. We also considered initial and trailer fees payable to the financial advisor and other parties.

Finally, we considered the types of transactions that could be processed by a CIS.